STATE OF NEW YORK
DEPARTMENT OF PUBLIC SERVICE

Case 19-G-0309 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

Case 19-G-0310 - Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.

STAFF REPLY BRIEF

BRANDON F. GOODRICH
NICHOLAS FORST
RAQUEL PARKS
Staff Counsel

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STAFF REPLY BRIEF

I. INTRODUCTION

In this Reply Brief, Department of Public Service Staff (Staff) responds to the arguments made by the parties in their respective Initial Briefs. On April 6, 2020, ten parties to these proceedings filed Initial Briefs.[1] In its own Initial Brief, Staff has already addressed many of the arguments made by parties in their respective Initial Briefs. To that extent, Staff will not repeat those same arguments in this Reply Brief.[2]

In their Initial Brief, the Companies seek revenue requirements far in excess of the amount necessary for them to provide safe, adequate, and reliable service during the Rate Year. The rates proposed by the Companies are not just and reasonable. At every turn, the Companies portray Staff's recommendations as draconian. However, a review of the record demonstrates that Staff's recommendations provide reasonable revenues that will allow the Companies to provide safe, adequate, and reliable service during the Rate Year without unduly burdening customers.

While many of the Companies arguments should be summarily rejected outright, a few overarching arguments merit discussion here. First, with regard to myriad issues, the

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[1] In addition to Staff, the following parties submitted Initial Briefs: The Brooklyn Union Gas Company d/b/a National Grid NY (KEDNY) and KeySpan Gas East Corporation d/b/a National Grid (KEDLI) collectively, the Companies); the Utility Intervention Unit of the New York Department of State's Division of Consumer Protection (UIU); the City of New York (NYC), which submitted a letter in lieu of a brief; the Public Utility Law Project (PULP), Environmental Defense Fund (EDF); the Long Island Power Authority; Estates NY Real Estate Services, LLC; Family Energy, Inc.; Sane Energy Project; and AARP. Throughout this Reply Brief, citations to parties' initial briefs will refer to the party's name, "IB" and the page number.

[2] Silence on an issue in this Reply Brief should not be interpreted as a concession or acquiescence, rather Staff's desire to focus this Reply Brief on arguments not previously addressed.

Companies seek to shift the burden of proof onto Staff. However, in rate proceedings the Commission's regulations explicitly place the burden of proof on "the utility whose rates, rules and regulations relating thereto, charged or proposed to be charged, are being considered."[3] Thus, if the Companies believe some unperformed analysis would demonstrate the reasonableness of their position, as opposed to the Staff's alternative recommendation, it is their burden to perform that analysis and introduce it into the record, rather than argue that Staff has not proffered such analysis.[4]

Second, the Companies' claim that Staff, in cutting the Companies' rate recovery for information technology (IT) and capital expenditures (Capex), does not provide the Companies with sufficient rate recovery to proceed with all of their proposed programs.[5] However, these adjustments are not meant to deny specific programs. Rather, these adjustments reflect the Companies' historical ability to actually complete programs during a given year. Thus, Staff seeks to ensure that customers are not required to pay for more in rates than the Companies can realistically be expected to accomplish during the Rate Year. Staff's adjustments reach an appropriate balance between the interests of the Companies and its customers.

The remainder of Staff's Reply Brief addresses the Companies specific claims, as well as those of other parties. Staff's Reply Brief, together with Staff's Initial Brief, present a reasonable resolution of the issues raised in these proceedings. Accordingly, Staff's recommendations set forth in its Initial and Reply Briefs should be adopted.

III. SUMMARY OF REVENUE REQUIREMENT

As set forth in this Reply brief, Staff recommends that the New York State Public Service Commission (the Commission) reduces KEDNY's and KEDLI's requests, as of the evidentiary hearing in these proceedings, by approximately $148.5 million and $75.5 million, respectively. Staff recommends authorizing rates for KEDNY that will increase its annual gas revenue requirement by approximately $31.332 million, or an increase of approximately 4.52% in delivery revenues and 3.12% in total revenues. Staff recommends authorizing rates for KEDLI that will decrease its annual gas revenue requirement by approximately $37.915 million,

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3 16 N.Y.C.R.R., §61.1.

4 See, e.g., Companies IB, pp. 30 – 31, 69.

5 See, e.g., Companies IB, pp. 36 – 37, 122.

or a decrease of approximately 1.86.% in delivery revenues and 1.28% in total revenues. Staff presents these revenue requirements in Appendices 1 and 2 to this Reply Brief.

The revenue requirements presented in the appendices reflect five changes from those presented in Staff's Initial Brief. The first change provides recovery of the entire amount of Rate Case expense in the Rate Year, rather than one quarter of the amount. The second, third, and fourth changes were identified in Staff's Initial Brief, but inadvertently not reflected in the associated revenue requirements. The Second change includes an incremental 0.25 full-time equivalent employees (FTEs) for each of KEDNY and KEDLI for the Energy Assistance Program. The third change forecasts property taxes using a three-year average growth rate on a fiscal year basis, rather than on a calendar year basis. The fourth change updates net utility plant, to include the Reactive Main Replacement Program and the Plastic Fusion QA/QC Re-digs in Staff's capital budget. The fifth change adjusts KEDLI's depreciation expense in correlation with the changes to net utility plant.

In addition, at this time Staff recommends two further adjustments to the Companies' capital budgets. Staff recommends delaying Phase 5 of KEDNY's MRI project, and Phase 3 of KEDLI's Northwest Nassau Transmission Main project. These recommendations do not impact the revenue requirements. Spending for these projects would have been be booked to interest-bearing Construction Work in Progress (CWIP), as these projects would not have been, and still will not be, in service during the Rate Year.

IV. REVENUES

A. Gas Sales Forecast

Staff's recommended Rate Year gas sales forecasts should be adopted because they accurately reflect the impacts from three external, yet related events: the Companies' moratorium, the expanded demand response program from the November 2019 Order,[6] and the energy efficiency impacts from the 2020 Energy Efficiency Order.[7] In particular, a point of contention between Staff and the Companies is Staff using actual meter counts through

[6] Case 19-G-0678, Proceeding on Motion of the Commission to Investigate Denials of Service Requests by National Grid USA, KEDNY, and KEDLI, Order Adopting and Approving Settlement (issued November 26, 2019) (November 2019 Order).

[7] Staff IB, p. 10.

November 2019 to provide the most comprehensive forecast.[8] Additionally, Staff notes that the Companies' expanded demand response program, as required in the November 2019 Order, should result in an increase in demand-response customers.

The Companies argue that Staff's adjustment to the forecasted number of demand-response customers is not supported by the historical record showing non-firm customers moving out of the service classification.[9] Staff does not recommend its adjustment based on historical experience. Rather, Staff recommends its adjustment to reflect the November 2019 Order, which requires that the Companies increase their energy efficiency and demand-response programs,[10] and to reflect the Companies' forecasted gas supply deficiencies, which the Companies are addressing in their Long Term Capacity Report.[11] To reflect these realities, the number of demand response customers cannot follow the recent historical declining trend. Indeed, the number of demand response customers must increase, and this should be reflected in the gas sales forecast for the Rate Year.

The Companies also argue that Staff's adjustment to the number of non-firm customers is flawed and one-sided because there is no corresponding reduction in the number of firm customers.[12] However, Staff does not expect firm to non-firm migration to increase, nor does Staff expect the Companies to be unable to provide firm service for the number of firm customers they are currently forecasting. The Companies misinterpreted the purpose of Staff's adjustment. Staff made adjustments to the firm customers to remove the Companies' proposed monthly average migration of non-firm to firm customers provided in the response to IR DPS-1063.[13] There is no need to reduce the Companies' forecasted number of firm customers beyond that adjustment because Staff does not expect further movement of non-firm customers to firm customers. Thus, Staff's forecasts appropriately reflect the necessary adjustments to non-firm and firm customer counts.[14]

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8 Staff IB, p. 10.

9 Companies IB, p. 14.

10 November 2019 Order, Exhibit 1, p. 4-5 (Section III) and p. 6 (Section VI.a).

11 Case 19-G-0678, supra, Natural Gas Long-Term Capacity Report (filed February 24, 2020).

12 Companies IB, p. 15.

13 Ex. 520, p. 21-22 (Response to IR DPS-1063).

14 Ex. 520, p. 19 (Response to IR DPS-1063).

Finally, the Companies argue that their proposed forecasts, which were based on actual meter counts as of February 2019, are the most comprehensive forecasts available.[15] Staff does not agree that the Companies' forecasts are the most comprehensive available. Staff's adjustments to the Companies' forecasts use actual meter counts through November 2019.[16] Furthermore, the Companies assert that their forecasts account for the moratorium and energy efficiency measures from the 2020 Energy Efficiency Order.[17] However, Staff made clear in its Initial Brief that while the Companies properly accounted for energy efficiency measures, their forecasts failed to reflect the moratorium impacts.[18] Using actual meter counts through November 2019 provides a more comprehensive forecast than the Companies as it accurately reflects the effects of the moratorium.[19] It simply is not logical that using meter counts from ten months earlier, February 2019 as the Companies propose, would achieve more comprehensive forecasts. For these foregoing reasons, and those previously mentioned in Staff's Initial Brief, Staff recommends that the Commission adopt Staff's adjustments to the Companies' forecasts.

V. EXPENSES

A. Operation and Maintenance

1. Consultants

Staff recommends removing the charges for the consultant AlixPartners LLP (AlixPartners) from the Companies' Historic Test Year Consultants expense. These Historic Test Year charges were extraordinary and similar charges cannot reasonably be expected to recur during the Rate Year. Staff's recommendation decreases KEDNY and KEDLI's Rate Year Consultants expense by $1.146 million and $0.714 million, respectively.[20]

Staff's Initial Brief already addresses most of the arguments the Companies make in their Initial Brief. In addition to the arguments already addressed, the Companies argue that Staff ignores the additional work AlixPartners performed for the Companies beside refreshing

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15 Companies IB, p. 15.

16 Staff IB, p. 10.

17 Companies IB, p. 14.

18 Staff IB, p. 10; Ex. 520, p. 3 (Response to IR DPS-1057).

19 Ex. 520, p. 19 (Response to IR DPS-1063).

20 Staff IB, p. 17.

the Companies' IT strategy or executing a transformation plan.[21] In response, Staff notes that the Companies initially contracted with AlixPartners to assist with designing, launching and executing a Fact Base, Opportunity Assessment, and Roadmap of National Grid's IT division.[22] The additional work AlixPartners performed all stemmed from executing this transformation plan.[23] Staff is not ignoring this "additional work" AlixPartners performed. Rather, Staff argues this work will not recur during the Rate Year, because it stems from executing the transformation plan, which cannot reasonably be expected to recur in the Rate Year. The Statement of Work 2 and Statement of Work 3 documents demonstrate that the work the Companies contracted AlixPartners for, after the development of the transformation plan, was for "… executing a transformation plan that includes making strategic investments in capabilities and infrastructure as well as driving performance/service and productivity/efficiency improvements across six workstreams"[24] and "continued, dedicated delivery support of the Improve Vendor Spend and Service Results workstream."[25]

The Companies further argue that Staff recommends measures to enhance the Companies' IT performance, which the Companies state will require the use of consultants like AlixPartners to assist the Companies.[26] Staff does recommend process improvements such as, continue quarterly and annual filings, meeting with Staff, implementing key performance indicators, improving the investment request papers and sanction papers.[27] However, Staff has not recommended that the Companies undertake another transformation of their IT division, which is the type of work AlixPartners performed during the Historic Test Year. Thus, the Companies' post hoc rationalization continues to ignore their own acknowledgement that the engagement with AlixPartners was extraordinary and went "beyond traditional reviews and analysis offered by technology consultants."[28] The Companies had an IT division in 2016 and 2017, however until the Companies commenced this undertaking at the end of 2017, they did not

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21 Companies IB, pp. 22-21.

22 T. 2348; Ex. 504, p. 799 (Response to IR DPS-932).

23 Ex. 504, pp. 810, 818 (Response to IR DPS-932).

24 Ex. 504, p. 810 (Response to IR DPS-932).

25 Ex. 504, p. 818 (Response to IR DPS-932).

26 Companies IB, pp. 23 – 24.

27 T. 1010, 3591.

28 Ex. 504, p. 799 (Response to IR DPS-932).

incur costs from AlixPartners in either of those years, or use another consultant to performed the work AlixPartners performed in the Historic Test Year.[29] This demonstrates that the work AlixPartners performed is not an every year occurrence and such charges should be removed from the Rate Year.

For the Reasons stated above and those stated in Staff's Initial Brief, the Commission should adopt Staff's recommended adjustment to Consultants expense.

2. Contractors

a. Snow Removal Costs (KEDNY)

Staff recommends using a three-year average of snow removal costs, plus inflation, to forecast KEDNY's snow removal costs for the Rate Year. Instead, KEDNY proposes to use only the Historic Test Year snow removal costs plus inflation. Staff's recommendation lowers KEDNY's revenue requirement by $1.263 million.[30]

In addition to the arguments Staff already addressed in its Initial Brief, the Companies' argue that use of Historic Test Year alone to forecast Rate Year snow removal costs treats customers and KEDNY fairly over time.[31] KEDNY reiterates that in the 2016 Rate Order,[32] the rate allowance for snow removal expense was approximately $0.689 in each of the three rate years, while actual expenses in calendar years 2017 and 2018 (rate years one and two of that rate plan) were $1.8 million and $3.337 million, respectively, and that snow removal expense for calendar year 2019 (rate year three), as of September 2019, was $2.115 million.[33] Therefore, KEDNY claims that it did not fully recover its actual snow removal costs at any time during the rate plan adopted in the 2016 Rate Order. KEDNY claims that utilizing Staff's proposed three-year average in this case is inconsistent with the historical forecasting methodology and would continue the inequitable result of including a rate allowance that prohibits KEDNY from fully recovering its costs of this expense.

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29 Ex. 504, pp. 824 – 825 (Response to IR DPS-933).

30 Staff IB, pp. 20 – 21.

31 Companies IB, p. 25.

32 Cases 16-G-0058 & 16-G-0059, KEDNY & KEDLI – Gas Rates, Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans (issued December 16, 2016) (2016 Rate Order).

33 Companies IB, p. 25.

KEDNY's assertion that use of the Historic Test Year "treats customers and the Company fairly over time" does not serve as a reasonable basis to forecast the Rate Year. KEDNY is implying that since the 2016 Rate Order forecasted KEDNY's snow removal costs based on the amounts incurred in the Historic Test Year, and actual snow removal costs were greater, this is now KEDNY's turn to be "treated fairly," and allow them an opportunity to now "recover" what was "under recovered" in the past. Such an argument would purport to set rates for the Rate Year in a manner to recover past period costs, rather than to approximate the Rate Year cost of service. This would be retroactive ratemaking.

Staff's use of a three-year average is a reasonable effort to forecast the weather-dependent variable nature of snow removal costs. It does include KEDNY's high water mark of snow removal costs in the Historic Test Year. By doing so, it allows KEDNY recovery of greater snow removal costs than it incurred in either of calendar years 2016 or 2017. Accordingly, the Commission should adopt Staff's recommended forecast of Rate Year snow removal costs.

3. Other Expense

a. NYC Notices of Violation Fines (KEDNY)

Staff recommends making a 25% adjustment to KEDNY's Other Expense, related to fines that KEDNY pays to NYC when it violates work permit conditions.[34] The Companies oppose this adjustment. Staff, in its Initial Brief, has already addressed most of the arguments made by the Companies in their Initial Brief. Accordingly, Staff will not reiterate its arguments here. However, in addition to those arguments, the Companies also assert that:

> KEDNY did not make a normalizing adjustment to account for the impact that the incremental capital workplan will have on the level of fines and permits in the Rate Year although such an adjustment would have been reasonable based on historical data. Tr. 2605, lines 18-21. Therefore, KEDNY's Rate Year forecast already reflects a reduction in fines and summons as reflected in the CY 2018 annual report.[35]

While it is undisputed that the Companies did not make a normalizing adjustment to KEDNY's Other Expense, the reason for this is unknown. It is the Companies' burden to

[34] Staff IB, pp. 25 – 26.

[35] Companies IB, p. 29.

explain the facts surrounding its proposals. They have not done so with regard to why they did not make a normalizing adjustment here. The Companies could have provided such an explanation in their initial filings, in their supplemental filings, in their corrections and updates filings, or in their rebuttal filings, however they did not do so. It was only at the evidentiary hearing that the Companies' counsel asked the Staff Accounting Panel whether a normalizing adjustment was made.[36] A counsel's question is not sworn testimony. Thus, the record is devoid of an explanation for the Companies' decision not to propose a normalizing adjustment for this expense. The Companies post hoc rationalization that the lack of a normalizing adjustment was an effort to minimize this expense cannot be credited.

Additionally, for the lack of a normalizing adjustment to have any import, one must assume it would be reasonable for increased capital work to lead to increased fines. The Companies have not provided any evidence of this purported fact. Furthermore, even assuming that the lack of a normalization adjustment should be recognized, there is no evidence as to the magnitude of the savings reflected due to the lack of the normalizing adjustment. The Companies have not made an effort to identify or quantify this amount. Thus, neither Staff, nor the Commission can assess the validity of the Companies' argument.

For the reasons stated above, as well as those stated in Staff's Initial Brief, the Commission should adopt Staff's recommended 25% adjustment to KEDNY's Other Expense.

4. Service Company Rent Expense (Information Technology)

The Companies argue Staff's proposed IT capital program adjustment significantly impacts their rent expense recovery.[37] The Companies also argue that Staff's adjustments to Rate Year IT operating expense severely impairs National Grid's ability to develop and advance important IT projects.[38]

Staff's recommended IT budget is appropriate because it aligns the Companies' budget with their historical spending.[39] The proposed budget appropriately reflects the level of spending and project completion that the Companies have demonstrated they are capable of

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[36] T. 2607.

[37] Companies IB, p. 31 – 32.

[38] Companies IB, p. 32.

[39] Staff IB, p. 36.

implementing in a year.[40] Staff does not recommend that the Companies eliminate any specific IT Capital Investment.[41] Staff acknowledges this does not include SAP S/4 HANA and CIS which require additional development and consideration outside of these proceedings.[42] The Companies draw a false comparison with Staff's support for Cybersecurity projects arguing that if Staff believes Cyber-Security is important so it must be for all IT investments.[43] Yet, the Companies' fail to reconcile Staff's acknowledgement of and support for the Companies' proposed Cybersecurity projects, with the Companies' continual underspend. Staff noted, the Companies' actual spending is approximately 23% less than forecast for the last five years.[44] Further, Staff has not recommended specific adjustments to remove some or all programs.[45] Staff's adjustment advocates for a reasonable rate allowance based on the Companies' past performance.[46] This includes normalizing the impact of accelerated spending in 2017, which the Companies admitted was abnormal and unlikely to occur again.[47] Staff does not supplant the Companies judgement in prioritizing its IT investments, instead our adjustments align the Companies' rate allowance with what is demonstrably achievable for the Rate Year.[48] This alignment strikes a necessary balance between the Companies' and customer's interests, and therefore, the Commission should reject the Companies' arguments and adopts Staff's recommendations.

a. Gas Business Enablement Contingency Costs

The Companies argue Staff's recommendation that the Commission adopt a "reasonable budget" to implement the Gas Business Enablement (GBE) program lacks a basis in fact.[49] The Companies argue that Staff has also erred by failing to acknowledge the $20.1

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40 Staff IB, pp. 33 – 34.
41 Staff IB, p. 36.
42 Staff IB, pp. 36 – 42.
43 Companies IB, p. 23; T. 1033 – 1037.
44 Staff IB, p. 47.
45 Staff IB, p.47.
46 Staff IB, p. 37.
47 Staff IB, p. 34; T. 927 – 929.
48 Staff IB, p. 37.
49 Companies IB, p. 32.

million of development cost that the Companies are not seeking recovery, and that Staff lacks the expertise and experience to critique the Companies' performance.[50]

The Companies began these proceedings seeking an increase in program costs for GBE from $458.1 million to $515.4 million.[51] As of November 25, 2019, the Companies indicated the project costs had increased from $539.3 million to $569 million.[52] Further, as part of that $569 million increase, the Companies' admitted that a majority of the GBE project milestones are undergoing various re-planning activities.[53] This also includes a GBE reset, which the Companies are actively working through, but for which the Companies could not relay the resulting timing or the increase to costs.[54]

Staff recommends that the Commission adopt its recommendation to reject the Companies' proposal for additional funding. The continual cost increases and schedule delays of the GBE program is deeply concerning. Staff must rely on accurate information to perform its analysis to enable the Commission to make sound decisions regarding utility capital budgets, it is therefore unreasonable to increase GBE program budget, which has increased multiple times during these proceedings, while its current costs and revised milestones are yet to be determined.[55] While the Companies argue that Staff failed to explain whether these increases are unreasonable, it is the Companies burden of proof to demonstrate that their proposed increases are just and reasonable.

Finally, the Companies argue that none of Staff's witnesses who testified regarding GBE have direct experience implementing or overseeing a large information technology project or program.[56] Regardless, the Staff IT Panel has considerable experience performing the analyses necessary in the prosecution of utility rate cases, reviewing Capital projects and budgets across a diverse set of subject areas, which include both, construction, IT, and other process improvement projects. The Staff IT Panel has an abundant wealth of experience using a variety of analytical tools including benefit-cost analyses to formulate its

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50 Companies IB, p. 33.

51 Companies IB, p. 32.

52 Staff IB, p. 30, Ex. 664 (Response to IR DPS-1045).

53 Staff IB, pp. 29 – 30; T. 3436 – 3437.

54 Staff IB, p. 30.

55 Staff IB, p. 31.

56 Companies IB, p. 33.

recommendations. To assert that Staff lacks the necessary experience to opine on these issues is a spurious argument.

In addition, the Companies originally proposed the GBE project in Case 17-G-0239, at which time the Commission authorized the Companies' to pursue the GBE project.[57] Since that time, Staff has observed the GBE program encounter numerous delays which translate directly to increases in the program costs and budgets. Due to the uncertainties surrounding the Companies' ability to implement the GBE program on-time and within budget coupled with the ever-increasing program costs, Staff recommends that any additional funding beyond what was previously approved by the Commission, should be rejected.[58] Staff recommends that the Commission reject the Companies' requests because customers must be protected from runaway costs for a project that continues to encounter an exceptionally high degree of uncertainty regarding meeting scheduled milestones.[59]

b. Historical Spending Forecasting Adjustment

The Companies argue that Staff's proposed forecasting adjustment is not supported by the Companies' historical spending, claiming the actual spend over the five-year period from fiscal year (FY) 2015 through FY 2019 was on average, approximately 8% below budget, not 25.5%.[60]

The Companies initially proposed a Service Company IT Capex budget of $194.288 million budget for the Rate Year and proposed an increased budget of $243.846 million budget for the Rate Year in their Corrections and Updates filing.[61] A significant portion of Staff's adjustment to the Companies' proposed Service Company IT Capex budget was the removal of Capex associated with CIS, totaling to $70.2 million.[62] The adjustment resulted in an

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57 Case 17-E-0238 and Case 17-G-0239, Niagara Mohawk Power Corporation d/b/a National Grid (Niagara Mohawk) – Electric and Gas Rates, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans (issued March 15, 2018) (2018 Niagara Mohawk Rate Order) pp. 19, 31.

58 Staff IB, p. 31.

59 Staff IB, p. 31.

60 Companies IB, p. 36.

61 Staff IB, p. 31.

62 The $70.2 million is inclusive of an adjustment for the removal of the Community Distributed Generation Low Income Program.

adjusted IT capital budget of $173.6 million. From the linear regression analysis, Staff's recommended Service Company IT capex budget was $129.4 million, or a 25.5% reduction of the adjusted IT capital budget.

Staff disagrees with the Companies' statement that the actual spend over the period from FY 2015 through FY 2019 was on average 8% below budget. The Companies included their actual spend in FY 2017 in their average, which Staff argues is an outlier.[63] Staff did not state that the Companies underspent their budget by "25.5%," but argues rather the application of a 25.5% forecasting adjustment to the IT capital budget is necessary to more accurately reflect the Companies' ability to spend their budget during the Rate Year. The Companies claim that through January 2020, for IT projects, the Companies had invested $132 million of its annual $151 million budget and was on track to achieve the budget amount by fiscal year end. Staff cannot confirm that the Companies are on track to spend the entirety of their budget by the end of FY 2020.[64] While Niagara Mohawk has filed its FY 2021 capital report,[65] the Companies have not provided any evidence that the Service Company can or will ramp up spending as they have continually underspent their budgets.[66] Further, Staff has no basis to assert that the Companies will be able to ramp up spending in the Rate Year to a total budget of $243.8 million considering, on average the Service Company has spent $97.5 million from FY 2015 to FY 2019.[67] Staff based its analysis on the Companies' historical performance, which showed that the Service Company underspent its budget in four out of the previous five years, and recommends that the Commission adopt a rate allowance which is reasonably based on said performance. Staff acknowledged that the Companies' spending has increased over the years, and therefore Staff's use of a linear regression analysis appropriately reflects the upward trend in total IT expenditures.[68] In addition, Staff's analysis also accounts for outliers, such as the accelerated spending in 2017.[69] As stated above, this includes normalizing the impact of the accelerated spending in 2017, which the Companies admitted was abnormal and unlikely to

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63 Staff IB, p. 32.

64 Staff IB, p. 36.

65 17-G-0238 and 17-G-0239, supra, NMPC FY21 IT Capital Investment Plan (filed April 10, 2020).

66 Staff IB, p. 37.

67 Staff IB, p. 37.

68 Staff IB, p. 37.

69 Staff IB, p. 37.

occur again.[70] Staff's recommended budget is a more accurate representation of the Companies' capable spending level. Therefore, the Commission should reject the Companies' arguments and adopt Staff's recommendations.

c. SAP S/4 HANA

The Companies argue that the costs of the SAP S/4 HANA project should not be "squeezed" into Staff's proposed $129.4 million budget.[71] The Companies also argue that SAP S/4 HANA project has been sanctioned and thereby requests recovery of proposed SAP S/4 HANA costs, with an additional opportunity to defer amounts in excess of the level reflected in rates.[72]

Staff disagrees with the Companies' proposal.[73] Staff also disagrees that the Companies should be able to defer amounts in excess of the level of spending that the Companies proposes to spend, to protect customers from paying for a project that has not been adequately developed and supported by the Companies, and thereby thoroughly reviewed by Staff.

In addition, the Companies are attempting to force adoption of the SAP S/4 HANA project in conjunction with CIS. The Companies claim that a simultaneous launch of SAP S/4 HANA and CIS will provide customer benefits, but have yet to demonstrate how those benefits will be achieved.[74] On the one hand, there may be operational efficiencies derived from combining the two projects; on the other, however, tying the two projects together seeks to artificially induce the Commission to support both programs when neither are adequately developed on their own.[75] Staff agrees that SAP S/4 HANA is needed, given that the Companies' current system, SAP ECC 6.0 will not be supported by SAP by 2025. Staff recommends that the Commission approve the O&M costs in the Rate Year, however, any related capital expenditures be incurred within Staff's forecasted IT budget of $129.4 million.[76]

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70 Staff IB, p. 34; T. 927 – 929.

71 Companies IB, p. 37.

72 T. 901 – 902.

73 Staff IB, p. 38.

74 Staff IB, p. 39, Ex. 617.

75 Staff IB, pp. 39, 42.

76 Staff IB, p. 39.

Further, the Commission should also adopt Staff's recommendation to reject the Companies' deferral request. The Commission should not put customers at risk to fund the blanket authorization proposed by the Companies.

e. IT Sanction and Process Improvements

As described throughout these cases and in Staff's Initial Brief, the Companies have been unable to deliver their IT investments on-time and on-budget.[77] Attestation by the Companies' Chief Information Officer (CIO), coupled with Key Performance Indicators (KPIs), provides the necessary level of accountability for the Companies to deliver on their promises.[78] A significant majority of the Companies' projects forecasted for the Rate Year and beyond do not have sanction papers containing the necessary information for Staff make an appropriate assessment regarding the timing and cost of the project. Staff has demonstrated that the Companies' IRS papers, which the Companies propose as an alternative basis for review, provide variances between -50% and +200%.[79] In the absence of credible documentation to enable Staff to determine if the proposed Service Company IT budgets are reasonable and appropriate, controls are necessary to ensure the Companies deliver IT investments on-time and on-budget. We recommend that the Commission adopt Staff's recommendations to implement the attestation process and the other process improvements as it has done so for National Grid's other New York Utilities.[80]

5. Labor

a. Management Wage Increase

The Companies correctly acknowledge that Staff performed an independent assessment of the results of the benchmarking study and concluded that National Grid's total compensation was within the reasonable range of plus or minus 10% of median total compensation of its similarly situated peers.[81] Yet, the Companies misconstrue Staff's position regarding whether this +/- 10% range constitutes a bright-line standard to determine whether a

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77 Staff IB, p. 45.

78 Staff IB, p. 45.

79 Staff IB, p. 45.

80 Staff IB, p. 46.

81 Companies IB, p. 41.

company's compensation is reasonable, arguing that any increase to compensation within this band is entirely permissible.[82] Staff disagrees; changes to compensation within that band to whatever degree are not inherently valid by virtue of maintaining the Companies' relative position within the band.

The WorldatWork Handbook of Compensation, Benefits & Total Rewards: A Comprehensive Guide for HR Professionals, which is a widely accepted authority, states the value of compensation and benefits paid to a company's employees should fall within plus or minus 10% of the market median.[83] This range merely represents a zone of reasonableness. Compensation levels outside of this zone should be called into question; it follows logically that a company compensating at 10% below the median should be not given free license to raise compensation by almost 10%, or even 20%. There are countless factors which may indicate that across the board management wage increases are or would be unreasonable. The Companies' argue that their 3.35% increase would not cause them to exceed the peer group median from the compensation study. The Companies' argument is not an adequate basis to support its proposed wage increase.[84] The Commission should reject the Companies' argument and adopt Staff's recommendation.

In addition, the Companies also disagree with Staff's adjustment to reduce their 3.35% increase on the basis that it already occurred in July 2019, which the Companies argue is now a "known and measurable" change.[85] The Companies argue that since the Companies followed through with the 3.35% increase in July 2019, it is now known it is therefore reasonable, and ultimately beyond reproach. The opposite is actually true. Since 2019 has concluded, the actual WorldatWork 2019 median increase was 3.0%.[86] In comparison, the Companies' 3.35% increase for 2019 is obviously in excess to the actual 3.0% market increase for this time period. There is no longer any uncertainty associated with the forecast of salary increases in the market for this time period. Thus, there no longer is a need to argue over which of the Companies' forecasts is correct. Based on actual data from 2019, the Companies' wage

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82 Companies IB, p. 42.

83 T. 5268.

84 Companies IB, p. 42.

85 Companies IB, p. 44.

86 T. 5275; Ex. 474.

increases exceeded the 2019 median increase by 0.35%, the Commission should therefore, reject the Companies' argument and adopt Staff's adjustments.[87]

b. Vacancy Rate Adjustment

Staff recommended a vacancy rate adjustment to reflect the number of FTEs that can be expected to be vacant from the end of the Historic Test Year through the Rate Year.[88] In addition to the arguments amply addressed in Staff's Initial Brief, the Companies argue that Staff's vacancy rate adjustment amounts to a double count, as the Companies reflected vacancies in their forecast, just in a different manner than Staff. The Companies assert that they started their forecast of headcounts for the Rate Year with the actual employees on payroll as of December 31, 2018. By using this methodology, the forecast specifically accounts for vacancies that existed as of the end of the Historic Test Year.[89]

Staff does not dispute that the starting point for the Companies' forecast of Rate Year FTEs, i.e., the headcount as of December 31, 2018 reflects the then-existing vacancies. However, Staff disputes that simply adding the Companies' requested incremental FTEs to this baseline headcount, as the Companies propose, provides an appropriate forecast of Rate Year FTEs.

The 2016 Rate Order set labor expense using the methodology the Companies propose for these cases. The forecast in the 2016 Rate Order started with the headcount as of December 31, 2015, with vacant positions removed, just like the Companies' proposal here. To achieve the Companies' rate allowances for each of the three rate years under that rate plan, the 2016 Rate Order layered on the incremental FTEs the Companies were authorized to hire. Rate year two under the 2016 Rate Order was calendar year 2018, which is also the Historic Test Year. If the Companies' preferred methodology appropriately forecasted the headcount, we would expect that the actual headcount as of December 31, 2018 would closely approximate the 2016 Rate Order's forecasted headcount for calendar year 2018.

Staff's analysis demonstrates that, rather than being roughly equivalent, the Companies' actual experience demonstrated that KEDNY had 48 fewer FTEs and KEDLI had 63

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87 Staff IB, pp. 53 – 54.

88 Staff IB, p. 54.

89 Companies IB, p. 45.

fewer FTEs than allowed at the end of 2018. This demonstrates that simply reflecting the vacancies in the headcount as of the end of the Historic Test Year does not adequately reflect vacancies that will occur during the Rate Year. Staff's recommended adjustment applies the lessons of the 2016 rate cases to the instant cases.

In its Initial Brief, Staff explained that one of the reasons for the additional Rate Year vacancies is that the Companies hire internally to fill the authorized incremental FTEs, and then it takes time to back fill those now vacated positions.[90] The Companies acknowledge this fact. However, the Companies then argue that, by imposing a vacancy adjustment to the Rate Year forecast of FTEs, Staff would deny the Companies needed incremental FTEs.[91] However, this is not accurate. Rather, Staff's recommended vacancy adjustment merely reflects the realities of the hiring process on the Companies' Rate Year FTE headcounts.

As an example, assume that a utility's baseline headcount, having removed vacant positions, was 100. Then assume the utility was authorized to hire 10 incremental FTEs for the rate year. Under the Companies' proposal, this utility should be given a rate allowance for 110 FTEs. Now, following this through the hypothetical utility's rate year, assume it does hire all 10 incremental positions, six from outside its existing workforce, and four from within the utility's existing workforce. Those four internal hires have now vacated other positions, which need to be backfilled. As it takes time for this hypothetical utility to backfill those four positions,[92] it only fills two of them during the rate year. Thus, for this hypothetical utility, its rate year FTE headcount is 108, two less than would be authorized using the Companies' methodology. This hypothetical utility should not be allowed to pocket the rate allowance for these two vacant FTEs. Staff's vacancy adjustment merely reflects this reality, demonstrated by the Companies' own historical experience during the rate years forecasted in the 2016 Rate Order, and applies it to the forecast of the Companies' Rate Year FTEs. Staff's adjustment ensures that the forecast of Labor expense for the Rate Year reflects the vacancies that will occur due to the Companies' demonstrated practice of filling the allowed incremental positions with internal employees.

Finally, the Companies' assert that Staff's recommended vacancy adjustment ignores other reasons that could account for differences between the level of operating company

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90 Staff IB, p. 56.

91 Companies IB, p. 48.

92 Alternatively, the hypothetical utility could choose not to backfill one or more of those positions.

employees between the time of the last rate case and the end of the current Historic Test Year. Specifically, the Companies argue that employees could have transferred between the Service Company and the KEDNY and KEDLI operating companies between the time of the two rates cases. The Companies note that the total headcount at the Service Company, as of December 31, 2018, exceeded the total headcount authorized in the 2016 Rate Order.[93] The Companies assert that, in calculating the proposed vacancy adjustment, Staff did not undertake any effort to determine whether any work function had been transferred from KEDNY or KEDLI to the Service Company.[94]

The Companies' argument is nothing more than a red herring. First, Staff's adjustment does not apply to the headcount at the Service Company. Second, if the Service Company hired additional employees, that does not mean that those employees performed work for KEDNY or KEDLI, as the Service Company supports other utilities as well. Third, the Companies' assertion that Staff did not undertake any analysis of the transfer of work functions merely seeks to shift the Companies' burden of proof onto Staff. The Commission's regulations unambiguously state that "[t]he burden of proof is upon the utility whose rates, rules and regulations relating thereto, charged or proposed to be charged, are being considered."[95] It is the Companies that could have responded with a demonstration that the missing KEDNY and KEDLI FTEs had actually been transferred to the Service Company.[96] They made no such demonstration, rather they proffered only possibilities without evidentiary support.

Applying a vacancy rate to the Companies' proposed staffing levels for the Rate Year helps ensure that customers are not paying the Companies for non-existent FTEs in unfilled positions. For the reasons stated above and in Staff's Initial Brief, the Commission should adopt Staff's recommended vacancy rate adjustments.

7. Uncollectible Accounts (KEDNY and KEDLI)

Staff and the Companies agree that a three-year average should be used to forecast Rate Year Uncollectible expense. However, Staff recommends using data from the 36-

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93 Companies IB, p. 47.

94 Companies IB, p. 48.

95 16 NYCRR §61.1.

96 Moreover, even if such an analysis was provided, the issue would not be resolved. Customers would still be providing funding for an expected level of KEDNY and KEDLI operating company FTEs.

month period ending May 31, 2019, whereas the Companies propose to use older data from the 36-month period ending December 31, 2018.[97] Staff amply explained why the Commission should adopt Staff's recommendation in its Initial Brief. Those arguments will not be repeated here. However, Staff will address two unfounded assertions in the Companies' Initial Brief. First, the Companies claim that "the three-year period of data proposed by Staff to forecast uncollectible expense bears no rational relationship to either calendar year or fiscal year data, which service as the points of reference for virtually all other calculations and targets proposed in these cases."[98] Further the Companies also suggest Staff's proposal randomly selects a time period for no other reason than to reduce the Companies' forecast of uncollectible expense.

Staff disagrees with the Companies statements. As explained in testimony, Staff merely sought to use the latest known information.[99] Additionally, the Companies have provided zero evidence to support their contention that uncollectible expense varies differently in a rate year, calendar year, fiscal year, or any complete twelve-month period.

Finally, the Companies stated that "while the Companies' efforts have moderated uncollectible expense over the past few years, this expense experiences annual variability and is actually projected to increase due to the Companies' recent reduction in the number of accounts terminated for non-payment, along with the Companies' recent suspension of collection activities, including service disconnections, to assist customers in light of the COVID-19 pandemic."[100] However, this is mere speculation. At this time, it is not possible to reasonably predict the impacts the COVID-19 pandemic may have on the Companies' uncollectible rate. Moreover, the Companies can file a deferral petition with the Commission if the variance in uncollectible expense is material.

For the reasons stated above, as well as those provided in Staff's Initial Brief, the Commission should adopt Staff's recommended Uncollectible rate.

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97 Staff IB, pp. 66 – 67.

98 Companies IB, pp. 53 – 54.

99 T. 2552 – 2553.

100 Companies IB, p. 53.

9. Site Investigation and Remediation (SIR)

a. Response to PULP and AARP

PULP and AARP argue that KEDNY shareholders should share a portion of KEDNY's SIR costs, rather than rely solely upon on a 2% "charge" or surcharge that could span generations of customers' monthly bills to cover the costs.[101] The Generic SIR Order states "… sharing of some proportion may serve as an incentive to constrain SIR costs for utilities that appear to need such an incentive."[102] Based on the information provided by the Companies in this proceeding, Staff supports the concept that consultant and remediation contractor procurement and competitive bidding practices enable the Companies to effectively carry out the SIR programs, while utilizing a competitive bidding processes to minimize costs for individual sites.[103] Therefore, we disagree with PULP and AARP's assertions that KEDNY needs to be further incentivized, and that an additional portion of these costs should be borne by shareholders.

Further, PULP's assertion that the Companies rely solely on a 2% surcharge to recover its SIR costs is incorrect. The Companies' are actively recovering SIR costs through their base rates. The 2% surcharge serves as an additional protective measure to recover incremental SIR costs over and above KEDNY's SIR rate allowance. In the event the difference between actual SIR costs, inclusive of the Gowanus Canal and Newtown Creek, and the SIR base rate allowance exceeds $25 million on a cumulative basis, KEDNY is authorized to recover through the SIR Recovery surcharge.

PULP and AARP argue that any of KEDNY's earnings in excess of the allowed Return on Equity (ROE), should be allocated to SIR costs.[104] Yet, PULP also states that since this case has been fully litigated and will most-likely result in a one-year rate plan, it supports Staff's proposal that an Earnings Sharing Mechanism (ESM) containing an allocation of SIR costs to KEDNY be imposed.[105] PULP's understanding of Staff's position in this regard is only

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[101] PULP IB, p. 17; AARP IB, p. 4.

[102] Case 11-M-0034, Proceeding on Site Investigation and Remediation (SIR) Costs, Order Concerning Costs for Site Investigation and Remediation (issued November 28, 2012), p. 3.

[103] T. 3536.

[104] PULP IB, p. 19; AARP IB, p. 4.

[105] PULP IB, p. 19.

partly correct. Staff recommended that the Commission apply an ESM for the period after the end of the Rate Year, and that a portion of such excess earnings be retained for customers.[106] Staff did not propose that any portion of either the customers' share, or the Companies' share, be used to offset specific costs. Staff maintains its position that a portion of any excess earnings should be deferred to the benefit of customers, and not be used to offset one specific cost category.

b. Response to the Companies

The Companies' assert that they have effectively controlled costs related to their respective SIR Programs and should therefore be permitted to recover their full forecast SIR costs.[107] The Companies further argue that their forecasts for the current fiscal year benefit from a clearly defined, New York State Department of Environmental Conservation (DEC) approved scope of work, while the scope of work for future years are more speculative. As such, the Companies argue, the Commission should rely on the Companies' forecasts and work schedules, rather than Staff's.[108] Lastly, the Companies' argue, Staff's objective to stabilize rate impacts could be undermined by the use of a four-year average if actual SIR costs are greater than anticipated, which may result in increasing bill impacts to future customers resulting from the recovery of the difference through the reconciliation mechanism.

The Companies' failed to acknowledge that Staff utilizes the four-year projected averages which the Companies provided, which "considered the status of each site and worked with project managers for the sites to account for site progress and potential delays"[109] The Companies also neglect to address the significant underspend experienced over the last three years. Under the Companies' current rate plan adopted by the Commission in the 2016 Rate Order, for rate years one and two KEDNY had combined rate recovery for its MGP sites of $99.514 million, with combined actual spending of only $36.089 million, a difference of $63.425 million. This is variance is approximately 65% from KEDNY's projection. For rate years one and two, KEDLI had a combined rate recovery for its MGP sites of $20.844 million, and

[106] Staff IB, p. 161.

[107] Companies IB, p. 57.

[108] Companies IB, p. 59.

[109] Companies IB, p. 57.

combined actual spending of only $15.56 million, a difference of $5.284 million. This is variance is approximately 25% from KEDLI's projection.

Staff's adjustment does not reduce or otherwise alter the Companies' projected spending. Rather, given the variability the Companies have experienced in recent history, Staff's recommended methodology provides a reasonable approach to stabilize rate impacts for customers. Based on a historical disparity between the Companies' forecasts and actual SIR expenditures over the past several years, and the Companies' forecasts for the Rate Year and the following three years, the Commission should set the Rate Year rate allowance for SIR costs at an appropriate level as Staff recommends.

10. Savings (Accelerate Program)

a. Costs to Achieve

The Companies incurred certain costs to achieve some of the Accelerate Program savings. The Companies propose to amortize these costs over four years, thus recovering one quarter of these costs during the Rate Year.[110] Staff recommends rejecting this amortization request, as these are one-time, out of period expenses. Further, these costs will not recur during the Rate Year.[111]

Staff's Initial Brief already addresses most of the arguments the Companies make in their Initial Brief. In addition to the arguments already addressed, the Companies state that they "are unaware of any Commission precedent disallowing costs to achieve because they were incurred on a one-time basis to enable a utility to deliver savings over a multi-year period," and that doing so would serve as a disincentive to pursue savings.[112] However, the Companies' characterization is misleading. When forecasting the Rate Year, only costs that are expected to occur during the Rate Year are included in the revenue requirement. Thus, if the Companies proposed to undertake some effort for which they would incur costs in the Rate Year to achieve savings, netting such costs against the expected savings may be appropriate. However, that is not the case here. The Companies seek recovery of costs they incurred prior to the Rate Year. Moreover, the Companies do not even assert that similar costs will occur during the Rate Year.

[110] Staff IB, p. 72.

[111] Staff IB, p. 73.

[112] Companies IB, p. 78.

Instead, they outright request amortization of these one-time prior period costs. The Companies have not pointed to a single Commission order allowing such treatment in a similar circumstance.

Moreover, there is no disincentive for utilities to pursue savings opportunities even if the Commission disallows the recovery of one-time costs to achieve in an instance such as this. Here, where the Companies incurred the costs to achieve prior to the Rate Year, and where the Companies' achieved resulting savings in the period prior to the Rate Year, their shareholders retained the benefit of those pre-Rate Year savings, more than two and one half times the costs to achieve them.[113]

Thus, equity would dictate that either the proposed amortization of costs to achieve incurred prior to the Rate Year be denied, as Staff recommends, or the Companies should also amortize the savings achieved prior to the Rate Year, netting them against the pre-Rate Year costs. The Companies try to argue that, as the Companies are reflecting savings in the Rate Year at the same level that resulted in the Historic Test Year, they are providing the savings to customers.[114] However, this is not accurate. The Companies are not providing savings that occurred in the Historic Test Year to customers in the Rate Year. Rather, the Companies are forecasting that the level of savings that occurred in the Historic Test Year will recur annually. Thus, the Companies' shareholders have retained the actual savings that occurred during the Historic Test Year, and are merely reflecting that the measures the Companies undertook will result in the same savings occurring again in the Rate Year.

As an example, assume the Companies achieved $100 in savings during the Historic Test Year, and that those savings will recur on an annual basis. For simplicity, assume that the bridge period, between the end of the Historic Test Year and the beginning of the Rate Year is only 12 months, rather than approximately 15 months. The Companies' efforts will achieve an additional $100 in savings during the bridge period, and then an additional $100 in savings during the Rate Year, for a total of $300 in savings over the three annual periods. The Companies only propose to give customers the benefit of the $100 to be achieved during the Rate

[113] Staff IB, p. 73.

[114] Companies IB, p. 78.

Year, while the Companies' shareholders retain the other $200 that were achieved during the Historic Test Year and the bridge period.

Finally, the Companies assert that Staff's argument, that these expenses have already been booked to expenses and thus should not be recovered in the Rate Year, fails because all expenses incurred during the Historic Test Year were booked to expense.[115] The Companies' argument is irrelevant. While all expenses incurred during the Historic Test Year were booked to expense, not all expenses are amortized and recovered in a future time period, as the Companies propose to do with the costs to achieve. The expenses booked during the Historic Test Year are relevant to the Rate Year, only to the extent that those Historic Test Year expenses can be expected to recur during the Rate Year. Companies cannot keep costs on the books beyond the year in which the transaction occurred without permission from the Commission to defer such costs,[116] and the Companies did not seek such treatment for these costs.

For the reasons stated above, as well as those stated in Staff's Initial Brief, the Commission should deny the Companies' request to amortize the one-time prior period costs to achieve.

b. Level Three Savings

Staff recommends reflecting the benefits that will accrue from completion of Accelerate Program initiatives presently at Level Three in the Companies' revenue requirements for the Rate Year.[117] Staff's Initial Brief already addresses most of the arguments the Companies make in their Initial Brief. In addition to the arguments already addressed, the Companies argue that: (1) reflecting both the Accelerate Program's expected savings and the traditional 1% Productivity Adjustment is contrary to prior Commission rate orders; (2) Staff's estimate of the savings that will result from initiatives currently at Level Three is mere conjecture; (3) Staff's adjustment is too large as it assumes that all of the initiatives currently at Level Three will be implemented by the beginning of the Rate Year; (4) Staff's overall revenue requirement recommendations will make it difficult for the Companies to pursue the Accelerate Program initiatives; and (5) acting on Staff's recommendation will disincentivize utilities from actively

[115] Companies IB, p. 78.

[116] 16 NYCRR §312.4.

[117] Staff IB, p. 75.

seeking out efficiencies.[118] As explained below, none of these arguments are persuasive; each merely tries to rationalize the Companies' effort to not provide customers with the full benefits that can reasonably be expected from the Accelerate Program during the Rate Year.

First, the Companies argue that the Accelerate Program goes above and beyond the Commission's policy on reflecting rate year efficiencies.[119] The Companies cite to a Commission order from1980 that stated the productivity adjustment is only needed if explicit forecasted efficiencies and productivity improvements are absent.[120] While the Commission's 1980 order does state what the Companies present, the productivity adjustment has evolved since that time. More recently, in an order issued in 2017, the Commission made it clear that the productivity adjustment "… is based on our policy that New York's utilities can reasonably be expected to achieve nonspecific, unquantified and unidentified productivity gains."[121]

Furthermore, the Commission has adopted the traditional 1% productivity adjustment in cases where the revenue requirement also reflects specified efficiencies. In the 2011 Niagara Mohawk Rate Order, the Commission reflected both a traditional 1% productivity adjustment and specific forecasted savings, stating that "… remainder of the imputed savings from mergers and business initiatives represent a reasonable and achievable level of savings, independent of the rationale for the conventional 1% productivity adjustment."[122] This is logical, because just by reflecting some amount of savings in a revenue requirement, one cannot

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[118] Companies IB, pp. 61, 67, 74, 75.

[119] Companies IB, p. 61.

[120] Case 27567, Spring Valley Water Company - Rates, Opinion No. 80-16 (issued April 24, 1980), 1980 N.Y. PUC Lexis 14, 18.

[121] Case 16-G-0257, National Fuel Gas Distribution Corp. (NFGD) – Gas Rates, Order Establishing Rates for Gas Service (issued April 20, 2017) (2017 NFGD Rate Order), p. 34.

[122] Case 10-E-0050, Niagara Mohawk – Electric Rates, Order Establishing Rate for Electric Service (issued January 24, 2011) (2011 Niagara Mohawk Rate Order), p. 29 – 32.

conclude that there are not presently unidentified efficiencies that the Companies can and should be encouraged to achieve during the Rate Year.[123]

Second, the Companies also argue that Staff's forecast of Rate Year savings that can be expected to be achieved from the Accelerate Program initiatives currently at Level Three is mere conjecture,[124] and that Staff did not support with any of its own analysis or specific information.[125] This is not true. Indeed, Staff based its forecast on the Companies' own estimates of the savings that can be achieved from initiatives at Level Three. The Companies rigorously evaluated these initiatives to determine their ability to deliver value, and "initiatives that do not demonstrate a tangible ability to contribute value will not go forward."[126] Further, the Companies are not wasting resources to pursue ineffective initiatives.[127] The initiatives at Level Three have made it all the way through Levels Zero, One and Two and through the Companies evaluation process. If the Companies did not believe these initiatives would realize savings, they would have cancelled them by now. Further, Staff reviewed the Companies' own supporting documentation for these Level Three initiatives, and reviewed historically how previous level three initiatives moved through to full implementation.[128] Moreover, the entire Accelerate Program is a company-initiated program, for which the Companies have stated that their targets were aggressive, but achievable.[129] The Companies have created this savings program for a

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123 See, Case 29541, et al., New York State Electric & Gas Corporation (NYSEG) – Electric Rates, Opinion 88-2, Opinion and Order Determining Revenue Requirement and Refunding Excess Earnings, (issued January 20, 1988), 1998 N.Y. PUC Lexis 8 at 36 – 39 (accepting the proposition that the 1% productivity adjustment "was intended to reflect unquantified savings, and that known, measurable savings warranted additional adjustment."); Case 95-G-1034, Central Hudson Gas & Electric Corporation (Central Hudson) – Gas Rates, Opinion No. 96-28, Opinion and Order Concerning Revenue Requirement and Rate Design (issued October 3, 1996) (1996 Central Hudson Rate Order), pp. 4 – 5 (agreeing with a Staff-proposed 2% productivity adjustment, stating that "[b]y its nature, the 1% adjustment for gains from unidentified sources is necessary to recognize the impossibility of specifying all rate year productivity improvements in advance. In proposing the other 1% adjustment, approximately a $90,000 disallowance for known but unquantified gains, staff's purpose was to impute savings that could reasonably be expected from implementation of recommendations in a management study and a Commission audit.).

124 Companies IB, p. 67.

125 Companies IB, pp. 67 – 69.

126 Ex. 504, p. 348 (Response to IR DPS-394).

127 Ex. 504, p. 348 (Response to IR DPS-394).

128 Ex. 504, p. 617 – 625 (Response to IR DPS-755); Ex. 504, p. 633 – 637 (Response to IR DPS-757).

129 Ex. 504, p. 346, (Response to IR DPS-394).

reason and identified these savings amounts for each initiative. Staff did not come up with or calculate these savings; rather Staff merely relied on the Companies own documentation and seeks to ensure that the Companies rely on their own estimates as well.

Third, the Companies argue that the Staff's recommended imputation reflects annual savings amounts, which assumes that the initiatives will be fully implemented by the start of the Rate Year.[130] These are unusual rate proceedings. Staff filed its testimony at the end of August 2019, seven months prior to the start of the Rate Year. And yet, this brief is dated April 21, 2020, three weeks into the Rate Year. Having seen Staff's recommendation, and understanding the unique timing of these proceedings, the Companies could have delayed implementation of these initiatives to provide a rationale for arguing against recognizing for customers' benefit in the Rate Year, savings the Companies referred to as "bankable" for internal budgeting purposes.[131] The Commission should impute savings in the Rate Year for the Companies' Accelerate Program Level Three initiatives to ensure that the Companies do not have such a perverse incentive.

Moreover, as explained in Staff's Initial Brief, National Grid identified approximately $175 million in potential savings from Accelerate Program initiatives currently at Levels One and Two.[132] While Staff does not expect that the Companies will achieve that level of savings in the Rate Year from these less developed initiatives, it is reasonable to assume that some level of savings will be achieved. This will compensate for any delays in the Companies' implementation of their initiatives identified as of the evidentiary hearing as being at Level Three. Furthermore, including the savings associated with Accelerate Program initiatives at Level Three will incent the Companies to dedicate appropriate time and resources to implement these initiatives expeditiously.

Fourth, the Companies argue that Staff's overall recommended revenue requirements will make it difficult for the Companies to advance the initiatives.[133] The Companies have not supported this assertion. While the Companies may prefer the excessive revenue requirements that they have proposed, the record demonstrates that Staff's

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130 Companies IB, p. 75.

131 T. 2388 – 2389; Ex. 504, p. 362 (Response to IR DPS-394).

132 Staff IB, p. 77; Ex. 504, p. 781 (Response to IR DPS-917).

133 Companies IB, p. 74.

recommended revenue requirements will provide the Companies with sufficient revenues to allow them to provide safe, adequate, and reliable service. The Companies failed to demonstrate that any of Staff's adjustments would adversely affect the Companies' efforts to implement these initiatives and produce the forecasted savings. There is no guarantee that a change in budgets will impact these initiatives from moving up.

Fifth and finally, the Companies argue that "Staff is effectively creating a policy that punishes companies for looking for innovative way to reduce costs for customers."[134] Utilities are required to provide safe and reliable service at just and reasonable rates. Utilities should be looking for way to reduce costs for customers regardless, and it is irresponsible for utilities to not pursue cost saving opportunities. As mentioned above, utilities are able to realize and retain savings, for shareholders benefit, that arise from efficiency efforts until rates are reset. Moreover, National Grid has made this very same argument to the Commission in a past rate case for Niagara Mohawk. In rejecting that argument, the Commission made clear that it will "hold utilities responsible for operating in an efficient manner. Utilities that fail to identify efficiency programs may be subject to higher productivity adjustments, or other forms of adjustment, where circumstances indicate that the opportunity for efficiency savings exists."[135] The Commission should similarly reject that argument in the instant proceedings.

For the reasons stated above, as well as those stated in Staff's Initial Brief, the Commission should adopt Staff's recommendation to reflect savings from the Companies' Level Three Accelerate Program initiatives in the Rate Year revenue requirements.

B. Amortization of Regulatory Deferrals

In its Initial Brief, the Companies state:

> there are certain provisions of the current rate plan, such as terms regarding specific deferrals (*e.g.*, exogenous costs, SIR, pensions, property taxes) and code of conduct/affiliate rules that have been an historic feature of KEDNY and KEDLI's rate plans. The Companies submit these terms should continue to ensure consistency and avoid disputes in the future.[136]

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134 Companies IB, p. 75.

135 2011 Niagara Mohawk Rate Order, p. 31.

136 Companies IB, p. 88.

It is unclear what, precisely, the Companies seek from this request. Of note, Staff has explicitly rejected the Companies proposal to be allowed to defer property taxes in the single Rate Year resulting from these proceedings. However, that issue is explicitly dealt with in a separate section of both the Companies' and Staff's briefs, i.e., Section V.D. Thus, it is unclear what the Companies even propose in this sentence with regard to property taxes.

Furthermore, the Companies seem to be requesting the continuation of the "exogenous costs" provision of the rate plan adopted in the 2016 Rate Order. That provision of the prior multi-year rate plan provided the Companies with the treatment of costs not specifically contemplated in the rate plan, but which might be imposed during its three-year term. Such provisions are not appropriate in a rate order setting forth a rate plan for a single rate year, as will result from the litigation of these proceedings. In such instances, the Companies can file for new rates at any time, whereas, in multi-year rate plans, the utilities specifically agree not to file for new rates for an extended period of time. Thus, the reasonableness of the exogenous clause in the 2016 Rate Order reflected that the Companies agreed not to seek new rates and reasonably needed some protection from exogenous impacts on their revenue requirements during the term of the rate plans. Additionally, the Commission has regulations that allow utilities to request deferral authority for unanticipated material costs.[137] That deferral authority is sufficient for a single Rate Year.

For these reasons, the Companies' request to include an exogenous costs clause in the rate order for the single Rate Year should be rejected in its entirety. With regard to the other provisions that the Companies alluded to in their Initial Brief, the Companies must clarify precisely what provisions they propose, and why they are reasonable, in their Brief on Exceptions, so that Staff and other parties can respond to unambiguous proposals.

C. Depreciation

The Companies argue that Staff's recommended adjustments to the depreciation rates are very modest compared to the Companies' total revenue requirements, and thus unnecessary.[138] Such an argument is irrelevant. It could be said about almost any individual

[137] See, e.g., Case 15-G-0711, Petition of St. Lawrence Gas, Inc. for Deferral Authority, Order Approving Deferral (issued February 24, 2017).

[138] Companies IB, p. 91.

adjustment. As the cliché goes, a million dollars here, a million dollars there, eventually it adds up to real money. Moreover, Staff's recommended depreciation adjustments would represent a significant portion of Staff's recommended revenue changes as of this Reply Brief: an adjustment of $13.7 million compared to a revenue increase of $31.3 million for KEDNY, and an adjustment of $10.6 million compared to a revenue decrease of $37.9 million for KEDLI. In addition, Staff does not recommend that the treatment of LPP assets adopted by the Commission in this case necessarily remain immutable for the reminder of the LPP replacement program. Rather, Staff's recommendations should be considered a step forward, and these deprecation rates can be revisited, as may be warranted, in future rate cases. Unlike NYC, which recommends keeping current depreciation rates, Staff recognizes the need to increase LPP depreciation rates while still limiting the impact to customers in these proceedings. Thus, for the reasons stated above, as well as those stated in Staff's Initial Brief, Staff's recommendations and adjustments reflect reasonable steps, which the Commission should adopt.

D. Taxes other than Income Taxes

1. Property Taxes

Staff recommends that the Commission reject the Companies' request for a symmetrical reconciliation of Property Tax expense.[139] In their Initial Brief, the Companies state that the Commission has adopted similar reconciliation mechanisms in several recent rate cases in the context of joint proposals, and that there is Commission precedent to support the adoption of a property tax reconciliation mechanism in a one-year, litigated case.[140]

The Companies references are unpersuasive. Multi-year rate plans resulting from joint proposals are the works of parties negotiating a variety of issues. Even though these cases were not litigated, Staff in each of these cases did not support a property tax reconciliation mechanism for a single rate year.[141] The Companies point to a single example where the

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139 Staff IB, p. 89.

140 Companies IB, p. 99.

141 Cases 16-G-0058 & 16-G-0059, supra, Prepared Testimony of the Staff Tax Panel (filed May 20, 2016), pp. 12 – 13; Cases 17-E-0239 & 17-G-0239, supra, Prepared Testimony of the Staff Accounting Panel (filed August 25, 2017), pp. 35 – 36; Cases 17-E-0459 & 17-G-0460, Central Hudson – Electric and Gas Rates, Prepared Testimony of Staff Accounting Policy and Revenue Requirements Panel (filed November 21, 2017), pp. 59 – 61.

Commission, in 2008, adopted a property tax reconciliation mechanism in a one-year litigated case. However, that case is the exception that proves the rule, as the Commission has not adopted reconciliations in more recent one-year litigated cases.[142]

Additionally, as the Companies can in these proceedings, in Case 16-G-0257, NFGD was allowed to update property tax expense with the latest known information in its Brief on Exceptions.[143] The ability to provide this late update to Property Tax expense provides additional reason that a reconciliation is not warranted in for a single Rate Year. Finally, the Companies can petition for deferral of expenses if the variance is material.

E. Amortization of Excess Accumulated Deferred Federal Income Taxes

Staff recommends amortizing the unprotected plant and non-plant excess accumulated deferred income taxes (ADIT) over 10 years.[144] The Companies propose to amortize the unprotected excess ADIT over the depreciable lives of the underlying assets, or 44 years for KEDNY and 47 years for KEDLI.[145] PULP proposes a new method for returning the unprotected excess ADIT in its Initial Brief.[146] Finally, AARP, proposes to amortize the excess unprotected ADIT over the term of the "rate plans in these proceedings," which Staff understands to mean the Rate Year.[147]

Staff addressed many of the arguments and proposals in its Initial Brief, including explaining why amortizing the unprotected excess ADIT would result in undesirable rate shock as the credits would be exhausted in a single year.[148] Below, Staff addresses a new argument set forth in the Companies' Initial Brief, as well as PULP's new proposal.

The Companies state "if the unprotected EDIT is returned to customers over 10 years, there would be a mismatch for over 30 years in which the customers in later years would

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142 2017 NFGD Rate Order, pp. 40 – 41; Case 13-W-0295, United Water New York Inc. - Water Rates, Order Establishing Rates (issued June 26, 2014), pp. 31 – 32; 10-E-0362, Orange and Rockland Utilities, Inc. (O&R) – Electric Rates, Order Establishing Rates for Electric Service (issued June 17, 2011) (2011 O&R Rate Order), pp. 61 – 63; 2011 Niagara Mohawk Rate Order, p. 54.

143 2017 NFGD Rate Order, p. 41.

144 Staff IB, p. 91.

145 Companies IB, p. 99.

146 PULP IB, pp. 20 – 21.

147 AARP IB, pp. 4 – 5.

148 Staff IB, p. 92.

pay a greater share of the costs of the assets over their service lives."[149] However, customers who paid rates reflecting the higher tax rate should not have to wait 30 years to receive the associated benefits. A 10 year amortization period provides a reasonable and moderate time period in which to return the unprotected plant and non-plant balances and stands by this proposal.[150]

Furthermore, the Companies neglected to mention that the unprotected excess accumulated deferred income tax can be passed back in any fashion the Commission could deem appropriate. As an example, in the recent gas and electric rate cases for Consolidated Edison Company of New York, Inc. (Con Edison), the Commission adopted a five-year amortization of the unprotected excess ADIT.[151]

PULP proposes a completely new amortization scheme in its Initial Brief. First, PULP points to the latest COVID19 health pandemic, which has led to increases in unemployment and economic slowdown, and which PULP claims will lead to increases in missed payment by low income customers and arrears. PULP then proposes to allocate the excess unprotected ADIT in the following way: (1) 50% to "the low-income residential customers' Affordability Program;" (2) 25% to moderate rates in the Rate Year; and, (3) 25% to "paydown the arrears/uncollectibles" at the end of the present "public health emergency and moratoria."[152]

While PULP may have an admirable impulse in seeking to use these funds to benefit low-income customers, Staff disagrees with this approach. The income taxes collected at the 35% tax rate were collected from all customer classes. Thus, the excess ADIT should be passed back to all customer classes. Returning the excess accumulated deferred income taxes in any other manner would be inequitable. Furthermore, the record is devoid of evidence supporting the reasonableness or impact of PULP's proposal.

For the reasons stated above, as well as those stated in Staff's Initial Brief, the Commission should amortize the excess unprotected ADIT over a 10-year period.

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[149] Companies IB, p. 100.

[150] Staff IB, p. 92.

[151] Cases 19-E-0065 & 19-G-0066, Con Edison – Electric and Gas Rates, Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plan (issued January 16, 2020), p. 31.

[152] PULP IB, pp. 20 – 21.

F. Amortization of Expenses (Management Audit and Rate Case Expenses)

In their Initial Brief, the Companies' explained that their initial filing contemplated a multi-year rate plan, and that certain expenses, such as Rate Case and Management Audit expenses, were being amortized over the term of the potential four-year rate plan. Since the Companies and parties are now litigating a one-year rate case, the Companies' assert that these costs should be fully recovered in the Rate Year.[153]

1. Rate Case Expense

Given that litigation in these proceedings will likely result in the Commission setting rates only for the Rate Year, Staff agrees that Rate Case expenses should be fully recovered in the Rate Year. This results in an upward adjustment to both KEDNY and KEDLI of $0.722 million, for total Rate Year Rate Case expense of $0.963 million for each KEDNY and KEDLI. However, Staff recommends that if the Companies do not file for new rates immediately after rates becomes effective, both KEDNY and KEDLI should be required to record a deferral for the $0.963 million on an annual basis, until they file for new rates. The recorded deferral will serve as a customer credit to be used in future rate proceedings. This accounting treatment is necessary to protect customers and prevent the Companies from recovering their Rate Case expense multiple times.

2. Management Audit Expense

Staff disagrees with the Companies' proposal to recover the full amount of Management Audit expenses in the Rate Year. First, the Companies' claim that Management Audit expenses were being amortized over the term of the proposed four-year rate plan is incorrect. As demonstrated in Exhibits 304 and 314, within the Consultants O&M expense line item, the Companies' proposed to amortize these Management Audit expenses over five years.[154] The Companies' proposal for Management Audit expenses as presented its Correction and Updates filing is proper, as the circumstances associated with these costs have not changed. Specifically, management audits for the utilities typically occur once every five years, thus recovery of the costs over that period is reasonable. Accordingly, Staff recommends that the

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[153] Companies IB, p. 101.

[154] Ex. 304, Schedule 1, p. 4; Ex. 314, Schedule 1, p. 4.

Commission allow the Companies to amortize their Management Audit expenses over a five-year period.

VI. RATE BASE ISSUES

A. Capital Projects and Expenditures

In Case 19-G-0678, National Grid was required to file a long-term capacity report to inform the future of gas supply in the KEDNY and KEDLI service territories.[155] Moreover, on March 19, 2020, the Commission instituted a Gas Planning Proceeding to consider issues related to gas utilities' planning procedures. Therein, the Commission stated that it "… seeks to establish planning and operational practices that best support customer needs and emissions objectives while minimizing infrastructure investments and ensuring the continuation of reliable, safe, and adequate service to existing customers. The manner in which gas utilities conduct planning and manage supply constraints will have implications for economic development, emissions, consumer prices, and customer choice."[156] The Commission should, therefore, consider what capital investments to continue or modify in the instant rate cases in view of state-wide policy goals and the Companies' evolving long-term capacity plan. This could prevent unnecessary capital investments that may not be required to provide safe and reliable service in the future.

One project that the Commission should consider modifying is the Metropolitan Reliability Infrastructure (MRI) project. This project was originally proposed in Case 16-G-0059. Its stated purpose was to reinforce the backbone of KEDNY's Brooklyn gas system, a.k.a., the "Brooklyn Backbone" through the installation of approximately 34,000 feet of 30-inch, 350 psig transmission main from Linden Boulevard in Brownsville to Maspeth Avenue in Greenpoint. KEDNY further explained that the MRI project would increase supply diversity, pressure support, outage contingency, operational flexibility and operational autonomy by reducing dependence on gas from Con Edison at Newtown Creek. The MRI project was also planned to maximize existing and proposed upstream capacity that would better position KEDNY to meet customers' long-term supply needs over the next 15 to 20 years. Specifically,

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155 November 2019 Order, p. 5, Exhibit A, p. 5.

156 Case 20-G-0131, Proceeding on Motion of the Commission in Regard to Gas Planning Procedures, Order Instituting Proceeding (issued, March 19, 2020).

the MRI project would provide an operational loop to the Brooklyn Backbone and immediately improve reliability by having the ability to move gas from any directly connected supply point across KEDNY's system.[157] This would improve system reliability by reducing reliance on any individual gate deliveries and allow the Brooklyn Backbone to be taken out of service for system integrity work, while still maintaining gas operations.[158]

More than three years later, portions of the MRI project are complete, and are nearing a point where the MRI project can provide some of the safety and reliability benefits contemplated in 2016. According to the response to IR DPS-1091, MRI Phases 1 through 3 are finished, except for a difficult sewer crossing in the southern portion of Phase 1. For that remaining crossing, the pipe must go under a 100 year old brick sewer line, which has been reinforced so that a micro tunnel can be constructed to insert the 30 inch gas main. Additionally, KEDNY has installed all but 800 feet of main for Phase 4. At the moment, KEDNY has paused all work on the MRI project construction work due to COVID-19; however, it estimates that it will complete the entirety of Phases 1 through 4 by October 2020, during the Rate Year. KEDNY has spent about $200 million on Phases 1 through 4 as of March 31, 2020 and plans to spend about $50 million to complete the sewer line crossing and remaining portion of Phase 4.[159] The MRI project as currently completed provides KEDNY with, at best, an oversized distribution main.[160] If the entirety of Phases 1 through 4 are completed, the MRI project would provide an operational transmission loop, which would provide many of the reliability and safety benefits identified above, even without the completion of Phase 5.[161]

KEDNY has already spent $200 million on Phases 1 through 3 of the MRI project. At present, the completed portions can be used as a very expensive distribution main. Fully completing Phases 1 through 4 will provide real reliability and safety benefits to KEDNY's gas system, and thus to its customers. Additionally, the safety benefits accrue not just to customers but all residents of KEDNY's Brooklyn service territory. Accordingly, the Commission should allow KEDNY to complete Phases 1 through 4 of the MRI project. To do

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157 Case 16-G-0059, supra, "KEDNY-KEDLI Book 4-NY" (filed January 29, 2016), p. 82 of 128.

158 Case 16-G-0059, supra, "KEDNY-KEDLI Book 4-NY" (filed January 29, 2016), p. 83 of 128.

159 Ex. 735, pp. 3 – 5 (Response to IR DPS-1091).

160 Ex. 735, p. 6 (Response to IR DPS-1091).

161 Ex. 735, pp. 7 – 9 (Response to IR DPS-1091).

otherwise would saddle KEDNY, and its customers, with a large investment that would not provide any reliability benefits, and at best function as an oversized distribution main.

At the same time, the benefits of Phase 5 are less clear, given the benefits that can be provided once Phases 1 through 4 are completed, and in light of the Companies' evolving Long-Term Capacity Report and the new Gas Planning Proceeding. For example, the Independent Monitor's report filed on April 17, 2020 provided recommendations regarding the clarity and accuracy of National Grid's demand forecast, as well as the impact COVID-19 has on the future demand for natural gas in the region.[162] Accordingly, Staff recommends that the Commission require KEDNY to pause work on Phase 5 of the MRI project until such time that all of the supply options have been vetted. Staff's recommendations regarding the MRI project do not result in any new changes to net plant or depreciation expense in the instant cases because KEDNY did not anticipate that MRI Phase 5 would be placed in service until after the conclusion of the Rate Year.

Similarly, KEDLI proposed the Northwest Nassau Transmission project in Case 16-G-0058 to address three aging transmission lines in northwestern Nassau County. The purpose of the project was to replace and down rate three transmission pipelines to mitigate system risks, increase reliability, resolve low pressure issues and position the gas transmission system to accommodate a future supply in three phases.[163]

Staff's understanding of the status of the Northwest Nassau Transmission Project is as follows. Phase 1 of the Northwest Nassau Transmission project, which consists of 2.1 miles of gas transmission pipeline, two 350 psi regulator stations and downrating portions of old transmission mains, is complete. Phase 2 is separated into two segments (north and south), which consists of 4.3 miles of gas transmission pipeline, and is behind schedule. Phase 2 has been permitted and engineered, and 3,300 feet were constructed in early 2019. However, that portion must be rebuilt because of contractor error. All materials have been purchased, coated and are being stored by a vender. KEDLI re-bid the north segment of Phase 2 in March 2020, but the bid award has been postponed and deferred to April 2021. KEDLI is presently drafting the request for proposals for the south segment of Phase 2. Phase 3 is 4.8 miles of proposed

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[162] Case 19-G-0678, supra, Monitor's Second Quarterly Report (filed April 17, 2020), pp. 6 – 7.

[163] Case 16-G-0058, supra, "KEDNY-KEDLI Book 4-LI" (filed January 29, 2016), pp. 79 – 80 of 114.

transmission main that parallels an existing old transmission main along the Long Island Expressway from Lake Success to Roslyn Heights. Once Phase 3 is in service, KEDLI plans to reduce the pressure on the existing old transmission main to distribution pressure.

Again, because of the Companies' evolving Long-Term Capacity Report and the new Gas Planning Proceeding, Staff recommends that the Commission require KEDLI to pause work on Phase 3 of the Northwest Nassau Transmission project until such time that all of the supply options have been vetted. Staff's recommendations regarding the Northwest Nassau Transmission project do not result in any new changes to net plant or depreciation expense in the instant cases because KEDLI did not anticipate that Phase 3 would be placed in service until after the conclusion of the Rate Year.

D. Earnings Base Capitalization / Working Capital

Staff recommends reversing the adjustments KEDNY proposes to separately reflect city state construction (CSC) working capital requirements. These reflect the delay in recovery from NYC of costs KEDNY expends on reimbursable CSC work. Staff explained that these costs are reflected in KEDNY's working capital, based on the use of the Federal Regulatory Energy Commission (FERC) formula. Staff's recommendations decreases rate base by $28.273 million.[164] The Companies disagree with Staff's recommendation. In addition to arguments that Staff already addressed in its Initial Brief, the Companies argue that the delays in NYC's reimbursement of CSC costs are due to NYC's audit process, and that KEDNY's agreement with NYC regarding reimbursable CSC work does not provide for late fees.[165]

KEDNY's attempt to blame the delays on payment on NYC for NYC's increased audit scrutiny is misleading. NYC testified in these proceedings that there is indeed a need for a more thorough audit of costs for which KEDNY seeks reimbursement. However, NYC explains that it is KEDNY's own billing practices that give rise to the need for NYC to scrutinize KEDNY's reimbursable CSC charges before making payment. NYC states that its "audit process is very thorough and can result in longer processing times. However, the process is necessary given that we have found instances in the past where claimed work is not subject to cost sharing, and/or DEP cannot verify that certain work is reimbursable based on the documents

[164] Staff IB, pp. 120 – 121.

[165] Companies IB, pp. 133 – 134.

provided by National Grid."[166] Thus, rather than support KEDNY's need for special recovery of working capital requirements related to reimbursable CSC, this demonstrates that the lag in KEDNY receiving reimbursement is at least partially KEDNY's own fault. As explained in Staff's Initial Brief, customers should not be burdened for financing the delayed CSC reimbursements when KEDNY contributes to those delays.[167]

While Staff concedes that the Gas Facility Cost Allocation Act does not require NYC to pay KEDNY within a particular timeframe or require NYC to pay late payment charges,[168] it is inappropriate for KEDNY to seek what amounts to late payment charges from customers. KEDNY's customers are not responsible for negotiating the contractors or ensuring that KEDNY is paid in a timely fashion. That responsibility is KEDNY's, and to put that burden on the customer for KEDNY's inability to incorporate a late payment charge is inappropriate. For the reasons stated above and in Staff's Initial Brief, the Commission should adopt Staff's recommended adjustments to KEDNY's rate base regarding KEDNY's working capital requirements and earnings base / capitalization adjustment.

VII. FINANCIAL ISSUES

To formulate Staff's ROE result of 8.2%, we applied the Commission's preferred, well established, and time-tested methodology.[169] This methodology has been consistently applied in previous litigated cases.[170] The Commission's consistent application of this methodology has aligned investors reasonable expectations with its results.[171] Moreover, it will enable the Companies to maintain their current credit ratings during the Rate Year.[172] Both PULP and AARP support Staff's ROE approach which exemplifies the Commission's well-established practice.[173] AARP states, "[t]he Commission and DPS Staff have used the Generic

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166 T. 5526.

167 Staff IB, pp. 125 – 126.

168 Companies IB, p. 133.

169 Staff IB, pp. 127 – 161.

170 2017 NFGD Rate Order, pp. 53-58; 2011 O&R Rate Order, p. 64; Case 08-E-0539, Con Edison – Electric Rates, Order Setting Electric Rates (issued April 24, 2009), pp. 119 – 121.

171 Staff IB, p. 127.

172 Staff IB, p. 159.

173 AARP IB, p. 5; PULP IB, p. 23.

Financing Methodology to determine the appropriate return on equity (ROE) for the better part of three decades."[174]

Staff and the Companies apply similar DCF and CAPM financial models to estimate the Companies' cost of equity, however, Staff and the Companies differ on many key aspects of the analysis. Specifically, Staff and the Companies disagree regarding: (1) composition of an appropriate proxy group; (2) appropriate growth rates in DCF analyses; (3) key inputs employed in the CAPM analyses; (4) the relative weighting of the CAPM and DCF results; (5) the appropriate version of Microsoft internal rate of return Excel function in discounting dividend cash flow in the DCF model to use; and (6) the credit metric analysis relating to three cash flow items.[175]

Staff's recommendations apply the Commission's preferred approach, which provides reasonable returns that balance the interests of customers and shareholders. Staff's results provide sufficient financial support for the Companies to secure necessary financing, and to maintain sufficient credit ratings.

A. Applicable Legal Standard

The Companies argue that the applicable legal standard for setting rates is results based, unburdened by specific precedent or formula.[176] The Companies rely on the US Supreme Court's standard in Federal Power Commission v. Hope Natural Gas Co. ("Hope"), however, the Companies ignore the central and more critical objective of the rate-making process, which the Court stated as: "[t]he rate-making process under the Act, i.e., the fixing of 'just and reasonable' rates, ***involves a balancing of the investor and the consumer interests***" (emphasis added).[177] The Companies do not address how their proposed rate of return balances the interests of customers and investors. Rather, the Companies expend considerable amounts of ink arguing that Staff's pursuit of such balance results in a return the Companies ultimately decry as insufficient for their shareholders.

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174 AARP IB, p. 5.

175 Staff IB, p. 127.

176 Companies IB, pp. 143 – 147.

177 Federal Power Commission v. Hope Natural Gas Co., 320 U.S. at 602.; 320 U.S. 591, 64 S. Ct. 281, 88 L. Ed. 333 (1944).

As the Court plainly acknowledged in Hope "[f]rom the investor or company point of view it is important that there be enough revenue not only for operating expenses but also for the capital costs of the business. These include service on the debt and dividends on the stock" (citations omitted).[178] The Court in Hope recognized that companies are predisposed to first consider their needs, and the needs of their shareholders. Staff does not dispute that the Companies are similarly predisposed to this view, in fact, the Companies are overly concerned with providing a return for their investors. The Companies argue that rates should be "just and reasonable" so long as rates provide additional returns to their investors, not on balance and in further consideration of customers' interests.

The Companies elaborate, stating that commensurate returns, as defined in Hope, are those commensurate to returns "on investments in other enterprises have corresponding risks."[179] The Companies further rely on the Court's decision in Bluefield Waterworks & Imp. Co. v. Public Service Comm. Of W. Va.:

> A public utility is entitled to such rates as will permit it to earn a return on the value of the property which it employs for the convenience of the public equal to that generally being made ***at the same time and in the same general part of the country on investments in other business undertakings which are attended by corresponding risks and uncertainties*** (emphasis added).[180]

Thus, by the Companies' own argument there is a significance or primacy afforded to the geographic location of, and business or risk profile of the companies used to make the comparison for purposes assessing commensurate returns. Staff's proxy group analysis evaluates 28 utilities, both combination gas and electric and electric utilities.[181] Although, the Companies attempt to undermine the results of Staff's analysis, claiming that the exclusion of gas-only distribution companies skews our results, as demonstrated at the time of the Evidentiary Hearing and in Staff's Initial Brief, inclusion of gas-only distribution utilities results in an ROE on-par with Staff's initial recommendation.[182]

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178 320 U.S. at 603.

179 Companies IB, p. 142.

180 262 U.S. 679, 692 (1923).

181 Staff IB, p. 134.

182 Staff IB, p. 132.

The Companies also argue that Staff's analysis is flawed because it is a mechanical application of the Commission's accepted methodology.[183] In doing so, the Companies refer again to Hope, "[i]t is not theory but the impact of the rate order which counts."[184] Yet, the Companies acknowledge that the Commission has applied these standards on several recent occasions.[185]

The Companies point to the Court of Appeals decision in Abrams v. Public Service Com. (Abrams) to support their preferred interpretation of Hope. However, the Companies misunderstand the Court's decision in Abrams, which concerns the attribution of a formula or threshold as it applies to the "prudent investment" in infrastructure projects by a utility, and not a threshold to determine adequate returns for investors.

In Abrams, which concerned Con Edison's investment in the Cornwall Pump Storage Facility, the Court of Appeals stated:

> "[w]hile it is true that a regulated company is generally entitled to recapture its prudently incurred costs, including a return on its investment (see, Power Commn. v Hope Gas Co., 320 U.S. 591, 603), due process does not 'insure values or restore values that have been lost by the operation of economic forces' (Market St. Ry. Co. v Commission, 324 U.S. 548, 567). Neither justice nor the Constitution obliges consumers to ensure a profitable return on an unprofitable enterprise (see, San Diego Land & Town Co. v Jasper, 189 U.S. 439, 446-447)." (Matter of Rochester Gas & Elec. Corp. v Public Serv. Commn., 108 AD2d 35, 37, supra.)[186]

More specifically, the Court stated that "if the end result ***is a just and reasonable balancing of consumer and investor interests***, the PSC *may* employ the "prudent investment" test or any other formula or combination of formulae without offending the Federal Constitution or decisional law" (emphasis added).[187] More recently, the Albany Supreme Court in Energy Assn. v PSC, reiterated:

> "[j]ust and reasonable" rates do not necessarily guarantee utilities net revenues … "regulation does not insure that the business shall produce net revenues, nor does the Constitution require that the losses of the business in one year shall be restored from future earnings". (Power Commn. v Pipeline Co., 315 US 575, 590 [1942]; San Diego Land & Town Co. v Jasper, 189 US 439, 447 [1903]; see also, Covington

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183 Companies IB, p. 141.

184 320 U.S. at 602; Companies IB, p. 143.

185 Companies IB, p. 143.

186 Abrams v Pub. Serv. Com., 67 NY2d 205, 217 (1986).

187 Abrams v Pub. Serv. Com., 67 NY2d 205, 215 (1986).

> & Lexington Turnpike Rd. Co. v Sandford, 164 US 578, 596 [1896] [wherein the court held that the public need not be subject to unreasonable rates so that stockholders may earn dividends; rather, in order to be "just and reasonable", rates simply must reflect a fair balancing of ratepayer and shareholder interests].)[188]

The Companies seek to refute Staff's application of the Commission's preferred and well-established methodology to determine ROE, not because it is improper for the Commission to apply, rather, merely because it does not provide result in an ROE to the Companies' liking. Further, the Companies have failed to demonstrate the appropriate balance of consumer and investors interests through their analysis. As discussed herein, as well as throughout Staff's Testimony and Initial Brief, the Companies' analysis unreasonably and overwhelmingly favors shareholders' interests to the detriment of customers' interests.

B. Return on Equity

Staff has demonstrated that its recommended 8.2% ROE meets the "just and reasonable" standard because Staff has applied the Commission's preferred and well-established methodology to appropriately balance the interests of the Companies' shareholders and those of its customers. Further, Staff's resulting ROE is predicated on a methodology which comports with the reasonable expectations of the Companies' shareholders and investors. Moreover, it will enable the Companies to maintain their current credit ratings during the Rate Year.

According to the Companies, Staff's recommended ROE is significantly lower than the authorized ROEs in other jurisdictions and lower than Value Line's forecasted ROE data.[189] The Companies ROE reliance on such comparison is flawed and misleading. While Staff recognizes that New York State's authorized ROEs have generally been lower than most other jurisdictions, Staff asserts that its 8.2% ROE is consistent with investors' expectations of ROEs in New York.[190] In addition, Staff asserts that significant risk-reducing mechanisms in New York have enabled the utilities in New York State to maintain an average credit rating of "A-" compared to the national average of "BBB+/Baa1," which similarly benefit the Companies.[191]

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[188] Energy Assn. v PSC, 169 Misc 2d 924, 939 (1996).

[189] Companies IB, p. 144.

[190] Staff IB, p. 149.

[191] Staff IB, pp. 135 – 136.

More importantly, the Commission has previously rejected the Companies' argument that the Commission's decision-making should be constrained by the range of authorized returns in other jurisdictions. The Commission addressed this argument in Case 05-E-1222. The Commission stated, "[t]he New York Commission has never set any allowed returns for jurisdictional utility companies on the basis of any allowed returns set by regulatory bodies elsewhere."[192] The Commission explained further, "allowed returns [from other jurisdictions] may reflect stale data, other regulatory regimes, and different weighting of evidence presented in other records."[193] Further, the Commission found no basis to depart from its application of the Generic Financing methodology, which allows the Commission to maintain a reasonable level of consistency for all utilities, and has for many years.[194]

The Companies' critique of Staff's 8.2% ROE as compared to Value Line's forecasted ROE is also misleading and inappropriate because Value Line's ROEs pertain to holding companies with investments in riskier non-regulated ventures.[195] Holding companies with non-regulated ventures are expected to have additional earnings from non-regulated ventures. Moreover, the Commission sets ROEs to reflect what investors require on forecasted returns on book equity. Staff analysis indicates that equity investors, those invested in Staff's proxy group, consisting of 28 companies are paying well above book value at an average of approximately 211%.[196]

The Companies also contend that Staff's "recommended ROE is likely to be viewed by the credit rating agencies as negative."[197] Staff disagrees. Investors derive their expectations for utility stocks informed by the approach used by each state's commission or regulatory body to determine allowed ROEs for utilities operating in that particular jurisdiction.[198] Staff provided clear evidence that investors can reasonably expect the

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192 Case 05-E-1222, NYSEG - Rates, Order on Rehearing (issued December 15, 2006) (2006 NYSEG Rehearing Order), pp. 31 – 32.

193 2006 NYSEG Rehearing Order, p. 31.

194 2006 NYSEG Rehearing Order, p. 32.

195 Staff IB, p. 136.

196 Ex. 440.

197 Companies IB, p. 151.

198 Staff IB, p. 149.

Commission to adopt an ROE below 9% for a multi-year rate plan for KEDNY and KEDLI.[199] The Companies has failed to provide any evidence that any rational investors reasonably expect the Commission to adopt an ROE of 9.65% for a multi-year rate plan.

It strains credulity to further assume rational investors would reasonably expect an ROE of 9.65% to result for a fully litigated case setting rates for a single rate year. More specifically, Staff acknowledged that rational investors and rating agencies are well aware of the Commission's preference for a formulaic approach to determine the cost of common equity, would expect an ROE below 9%. Staff stated investors can reasonably expect an ROE approximating 8% for a one-year rate plan.[200] Consistency and predictability are features looked upon favorably by rating agencies.[201] The Companies use of "unpredictability as an additional risk" to justify their proposed 9.65% ROE stands in contravention of that clear understanding by investors and rating agencies.

The Companies also contend that Staff's ROE recommendation is completely at odds with Commission policy of supporting the efforts of New York State utilities to maintain low "A" credit quality."[202] In fact, the opposite is true. Staff testified that its recommended common equity ratio and ROE recommendation when combined with other quantitative metrics and qualitative factors produce credit metrics that are generally consistent with the performance required by Moody's and S&P to maintain the Companies' current ratings of "A3" and "A-" respectively.[203] Staff also testified that, when practical, the Commission has generally supported rate levels that provide utilities the opportunity to achieve and maintain a bond rating within the "A" range.[204] The Companies must also recognize, however, that regulatory action to maintain their credit ratings is also subject to constraints. The impact or cost of credit rating maintenance or improvements are borne by the Companies' customers. The Companies' insistence must, as described above, be balanced with customer interests. The Companies have not demonstrated

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199 T. 3154.

200 Staff IB, p. 150.

201 Ex. 669.

202 Companies IB, p. 150, Fn. 106.

203 T. 3114.

204 T. 3114.

that placing the burden on its customers to improve its credit ratings is an appropriate balance, rather it favors the Companies and their investors.

Staff appropriately balances these interests through its recommendations.[205] Currently, every major utility in New York State that issues its own debt has a credit rating at or above "BBB+ or Baa1." As Staff stated previously, in an unlikely event of a downgrade by Moody's, the Companies will be able to access the debt market at reasonable interest rates.[206] For example, in November and December 2019, O&R, rated "A-/Baa1," was able to raise a total of $125 million of reasonably priced debt, consisting of $38 million 20-year long-term debt at 3.46%, $43 million 30-year long-term debt at 3.730%, and $44 million 10-year long-term debt at 2.940%.[207] Given that the yield spread between the Companies current "A3" rating and "Baa1" has reduced considerably from approximately 20 basis points, in both 15-year and 10-year average historical levels, to an average of 10 basis points since December 2019, the Companies will be able to access the capital market at reasonably-priced interest rates in the event of a downgrade during the Rate Year.[208]

2. Proxy Groups

The Companies argue that the composition of Staff's proxy group is flawed, understating the ROE results generated therefrom. The Companies argue that Staff's "failure to include an appropriate number of gas distribution utilities in the proxy group used to establish the ROE in this proceeding understates the cost of equity for the Companies."[209] Moreover, the Companies claim that Staff's approach of augmenting its 28-member proxy group with five pure-play gas companies that meet Staff's selection criteria does not capture the risks and opportunities of gas distribution companies.[210]

The Companies' argument that Staff failed to include an "appropriate number of gas distribution utilities in the proxy group" distorts the facts. Moreover, any further assertion

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[205] Staff IB, p. 156.

[206] Staff IB, p. 156.

[207] Case 17-M-0541, O&R – Securities, Issuance Series 2019 A, B and C Debentures Report (filed December 19, 2019).

[208] Staff IB, p. 156.

[209] Companies' IB, p. 153.

[210] Companies' IB, pp. 155 – 156.

that Staff should change or modify its selection criteria and accept the use of the Companies' seven-company gas-only proxy group is also inappropriate. Staff finds the Companies' position unpersuasive and concerning. Staff addressed its numerous concerns with the Companies' proxy groups and the selection criteria used to derive them.[211] Staff disagreed with combined use of the Natural Gas Proxy Group and the Combined Utility Proxy Group.[212] In many cases, the Companies' selection criteria excluded companies with comparable risk characteristics.[213] In addition, the Companies' use of inappropriate selection criteria led them to construct a Combined Utility proxy group with 45% fewer companies than Staff's.[214] Moreover, the Companies' Natural Gas Proxy Group represents an inadequate sample size of the natural gas distribution companies.[215] The removal of these companies via the Companies' selection criteria and the resulting sample size undermine the quality and validity of the Companies' results, therefore the Commission should reject the Companies' results and their arguments. Instead, the Commission should adopt Staff's analysis.

The Companies criticize Staff for relying upon Dr. Roger Morin's book for support that an adequate sample size should be between 15 to 30 companies.[216] The Companies also argue that, if Staff are to accept this aspect of Dr. Morin's analyses, then Staff should also accept any proposition Dr. Morin has made previously.[217] The Companies' argument is improper. The Commission has never once accepted Dr. Morin's recommendations. While it is true that Dr. Morin testified in numerous cases in New York on behalf of various utilities, Case 08-G-0609 resulted in a negotiated settlement in which the Commission never adopted any parties' proxy group.[218] Therefore, the Companies' reliance on Dr. Morin's proxy group presentation in the 2008 case has no precedential value in a litigated proceeding.

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211 Staff IB, pp. 129 – 134.

212 Staff IB, p. 132.

213 Staff IB, p. 130 – 132.

214 Staff IB, p. 132.

215 Staff IB, p. 130.

216 Companies IB, p. 155, Fn. 114.

217 Companies IB, p. 155, Fn. 114.

218 Case 08-G-0609, Niagara Mohawk – Rates, Order Adopting the Terms of a Joint Proposal and Implementing a State Assessment Surcharge (issued May 15, 2009) p. 36. See, Joint Proposal p. 4.

Staff considered the inclusion of pure-play gas distribution companies as additions to its 28-member proxy group, to the extent that such companies meet Staff's selection criteria.[219] Staff reiterates that the inclusion of the five pure-play gas distribution utilities creates no material difference from Staff's initial approach. Further, as Staff acknowledged at the Evidentiary Hearing, inclusion of these utilities in Staff's analysis, including updated information from December 2019 would have lowered the resulting ROE to approximately 8.0%.[220]

Nonetheless, using Staff's methodology and any combination of the proposed utility proxy groups including the five pure-play gas companies which meet our selection criteria will not result in an ROE approximating the Companies' 9.65% proposed ROE. Therefore, the Commission should reject the Companies' arguments and adopt Staff's analysis and its results.

3. Discounted Cash Flow (DCF)

Staff used dividend growth projections in its DCF model, yet, the Companies contend that using Earnings Per Share (EPS) growth rates would be more appropriate.[221] The Companies' use of earnings growth rates to determine short-term dividend growth rates is in direct contrast to the basic premise of the DCF, which measures the present value of future dividends. Utilizing earnings growth simply assumes that dividend growth will match earnings growth, an assertion the Companies proffered without providing any supporting evidence.[222] The Companies criticize Staff's use of Value Line for its long-term growth rate estimate as being "one analyst's" forecast of growth.[223] Each Value Line report goes through a continual evaluation and quality control process where multiple analysts review the reports.[224] Staff also notes that the median and average Value Line earnings per share growth rates for the Companies' proxy groups are not materially different from those of Yahoo Finance and Zacks as

[219] Staff IB, p. 132, Ex. 649.
[220] Staff IB, p. 132.
[221] Companies IB, p. 156.
[222] Staff IB, p. 137.
[223] Companies IB, p. 157.
[224] Ex. 448.

used by the Companies.[225] This implies that Value Line's estimates are reasonable.[226] Therefore, Staff's reliance on Value Line in its DCF analysis is appropriate.

The Companies argue again that "the record shows that economists believe that current forecasts of GDP growth are understated due to the impact of the financial crisis and great recession that began in 2007 on subsequent GDP growth …."[227] Continuing, "it is very reasonable to assume that GDP growth will return to levels approaching the historical average levels achieved since the great depression."[228] The Companies argument is speculative and does not have a basis in statistical fact. The economy has experienced record growth and to assert that it is impacted by decade-old events is absurd.

The Companies also argue that the electric industry is expected to grow at an accelerated rate.[229] This too is mere speculation and should be rejected. In fact, contrary to the Companies' assertion, recent disruptions in the economic environment suggests that GDP is not returning to historical levels, at least in the near term. Further, Staff adequately addressed the Companies argument.[230] Stock prices reflect all known factors, which would include any growth prospects from electrification. The efficient market hypothesis also supports Staff's contention.[231] As with EPS growth, growth from the electrification of buildings is essentially Capex growth, which the Companies have not demonstrated matches the dividend growth rate. Typically, Capex and EPS growth rates are higher, yet they are also more volatile than dividend growth rates, hence Staff's opposition to the Companies' use of EPS growth rates in their DCF analysis.[232] Moreover, no matter the extent of growth from electrification, such growth is not guaranteed to exceed the overall GDP for a sustainable period, e.g., the 195 year timeframe for Staff's sustainable growth rate. Staff's sustainable growth rate of 4.64% is more optimistic

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[225] To be specific, the Companies' three-month multi-stage DCF shows that while the median EPS growth rate of the Companies' Combined Proxy Group of 20 companies are 6.0%, 6.0%, and 5.9% from Value Line, Yahoo! Finance, and Zacks respectively, the average EPS growth rates are 6.68%, 5.53%, and 5.63% for Value Line, for Yahoo! Finance, and Zacks, respectively.

[226] Ex. 160, p. 1.

[227] T. 5094 – 5095.

[228] Companies IB, p. 157.

[229] Companies IB, p. 158, Fn. 120, 121.

[230] T. 3251 – 3252.

[231] Ex. 453.

[232] Staff IB, p. 137.

concerning utility growth prospects than the 4.0% consensus long-range estimate of nominal GDP growth, projected out to 2026-2030 as reported in the March 10, 2019 edition of Blue Chip Economic Indicators.[233] Thus, Staff's 4.64% sustainable growth rate accounts for growth prospects from electrification.

As part of its DCF model, Staff used the regular internal rate of return (IRR), while the Companies used the extended version (XIRR). As we discussed, the Companies contend that the internal rate of return (IRR) formula "cannot take into account the timing of quarterly dividend payments when applied to annualized calculations," however, the Companies' own DCF Excel worksheet calculations contradict their assertion.[234] If the Companies could properly account for the timing of the dividend cash flows, their DCF results would have produced results consistent with the results of the regular IRR.[235] To be clear, the analysis using IRR or XIRR is not the actual issue. It is the Companies' DCF results that are inflated because the Companies applied the XIRR by inexplicably accelerating their projected cash flows by six months. Staff also explained that this is not the first time the Companies have argued that Staff's annual dividend DCF model ignores time value of money, yet the Commission has rejected such arguments in the past.[236]

For these reasons we recommend that the Commission reject the Companies' arguments and analyses and instead adopt Staff's analyses and results.

4. Capital Asset Pricing Model (CAPM)

The Companies argue that Staff's CAPM results do not properly reflect an appropriate Market Risk Premium (MRP).[237] Staff's MRP is derived from Merrill Lynch's two forward-looking market returns; a required return and an implied return. The Commission has consistently applied this MRP methodology since 1996.[238] Merrill Lynch's, and therefore

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[233] Ex. 441.

[234] Staff IB, pp. 138 – 139.

[235] On p. 139 of Staff's Initial Brief, where it states "Staff believes that the correct date for the timing of the $2.46 dividend payment should have been February 28th, 2019 not August 31st," it should read "Staff believes that the correct date for the timing of the $2.46 dividend payment should have been February 28, 2020 not August 31, 2019."

[236] Staff IB, p. 140.

[237] Companies IB, pp. 164 – 165.

[238] T. 3147 – 3148; 1996 Central Hudson Rate Order, p. 14.

Staff's, approach of using a multi-stage DCF approach to determine the market return is superior to the single-stage DCF-derived market return utilized by the Companies.[239] The single-stage DCF is problematic because it unreasonably assumes that unsustainably high near-term growth rates will continue forever. Therefore, the Commission should adopt Staff's analysis as it implements the Commission's preferred MRP methodology and avoids the issues inherent in the Companies' approach.

The Companies also argue that recent market turmoil has rendered Staff's use of the 10-year and 30-year Treasury bond yields in the CAPM analysis inappropriate, because such rates are anomalously low. While it is true that interest rates are low, the declining trend in interest rates has been evident for the past decade. "Conditions that have persisted since the past decade should not be considered anomalous instead they should be viewed as the new normal."[240] Supposing Staff were to use only 30-year Treasury bond yields in its CAPM analysis, the results would not approach the Companies' proposed 9.65% ROE because current interest rates are extremely low by historical standards.[241] Staff opposes the Companies' argument that the Commission should consider the use of Treasury yield projections in the calculation of risk-free rate for CAPM analysis. Staff and the Commission have consistently opined that current rates are the best indicator of future rates.[242]

In addition, the Companies' use of forward yield curve to estimate Treasury rates suffers the same flaws as their use of forward yield curve to estimate interest rates associated with issuing new long-term debt as discussed below. Therefore, the Commission should adopt Staff's analysis and reject the Companies' arguments.

5. DCF/CAPM Weighting

Regarding the Companies' contention that the DCF and the CAPM should be accorded equal weight, Staff has more than adequately addressed the issue.[243] Staff believes the Companies' argument is unpersuasive because Staff has demonstrated that the Companies' DCF results are not understated. Yet, the Companies employ a methodology that yields such an

[239] Staff IB, p. 144.
[240] T. 3198.
[241] Staff IB, p. 149.
[242] T. 3195.
[243] Staff IB, pp. 145 – 147.

egregiously high market return in their CAPM analysis, it is not surprising that their DCF analysis yields a lower ROE determination. Such a finding would not be the case if the Companies' CAPM analysis employed reasonable assumptions such as included in Staff's analysis.[244]

Further, the Companies' proposal to utilize an equal weighting has been rejected by the Commission in previous litigated rate proceedings.[245] Staff continues to recommend the two-thirds DCF, one-third CAPM weighting which the Commission has adopted as part of its preferred and well-established methodology.[246]

D. Long Term Debt: Forecasting Using Future Versus Existing Rates

Staff disagrees with the Companies' use of forward yield curve to estimate the interest rate associated with KEDNY's planned debt issuance; however, both agree that interest rates should be updated just prior to the Commission's decision.[247] Staff recommends using current 10-year Treasury rates plus the current spread requirement at the time of the Commission's decision. This would reflect that spreads have widened due to COVID-19 and recent market conditions.[248]

Staff disagrees with the Companies' contention that the Commission should reconsider its practice of using current interest rates and rather use forward yield curve to determine interest rates for KEDNY's planned debt issuances.[249] Staff disagrees because Staff conducted a look-back analysis of the Companies' forward yield curve approach, the results of which reveal the inaccuracy of the Companies' approach.

As an example, in the 2016 Rate Cases for the Companies, Staff opposed the Companies' proposed 4.56%, 4.72% and 4.79% cost of 30-year senior notes for KEDNY's 2017, 2018 and 2019 planned debt issuances based on forward yield curve set in April 2016.[250] In

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244 Staff IB, p. 146.

245 Staff IB, p. 147; 2017 NFGD Rate Order, p. 56.

246 Staff IB. p. 147.

247 Staff IB, p. 159.

248 Staff IB, p. 154.

249 Companies IB, p. 168.

250 Cases 16-G-0058 & 16-G-0059, supra, Corrections and Updates Testimony and Exhibits of Stephen H. Caldwell Ex. SHC-1CU Schedule 2, pp. 1 – 3 (filed April 4, 2016).

contrast, Staff recommended using the then-current interest rate of 4.16%.[251] One year later, although KEDNY had not issued any debt, the yield requirement on "A-" public utility long-term debt was trading at 4.25%.[252] This indicated a forecast variance between 31 basis point for the Companies and nine basis points for Staff. In February 2019, two years later, KEDNY issued 30-year long-term debt at 4.27%, a variance of 52 basis points from the Companies' forecast and only 11 basis points from Staff's forecast. This further indicates that the Companies approach produced increasing forecast variances. Given this analysis, Staff asserts that the current interest rate approach provides a more accurate estimate than the Companies' forward yield curve approach. The Companies' use of forward yield curve to estimate both interest rates associated with issuing new long-term debt and Treasury yields is flawed because it does not provide an accurate estimate when compared with Staff's approach.

Therefore, Staff recommends that the Commission adhere to its use of current interest rates to establish Rate Year rate levels. Current interest rates remain the best indicator of Rate Year levels. As such, Staff recommend the most current rate be used by the Commission in establishing the cost of debt.

E. Credit Metrics

Based on the credit rating methodology guidelines from Moody's and Standard and Poor's, Staff has demonstrated that its recommended 48% common equity ratio and 8.2% ROE, when combined with other quantitative metrics and qualitative factors produce credit metrics that are generally consistent with the performance required by Moody's and S&P to maintain the Companies' current ratings of "A3" and "A-," respectively.[253] The Companies argue against Staff's results, raising issues regarding Staff's resulting core metrics for KEDLI, and the treatment of three cash flow items relating to net Pension and OPEB accruals, uncollectibles (bad debt), and current deferred income taxes for both KEDNY and KEDLI.

The Companies criticized Staff's calculated core metric for KEDLI, complaining that Staff's core metric results for KEDLI do not meet the "high teens" standard articulated by

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[251] Cases 16-G-0058 & 16-G-0059, supra, Prepared Testimony of Patrick Piscitelli, pp. 12, 15; Ex. PP-3 (filed May 20, 2016).

[252] Mergent FIS, Inc., & Mergent, Inc, *Mergent bond record*. New York, N.Y: Mergent FIS, May 2013, Vol. 80 No. 5, p. 14.; April 2020 Vol. 87 No. 4, p. 85.

[253] Staff IB, p. 159.

Moody's under either of the calculations provided by Staff.[254] While it is true that Moody's stated in its credit opinion reports that KEDNY and KEDLI could be downgraded if their CFO pre-WC/Debt core metrics fall below "high teens" over a long term period, the Companies did not acknowledge that, in those same reports, Moody's stated the Companies could maintain their current "A3" ratings with Moody's CFO pre-WC/Debt Rate Year forecast of 12.2% for KEDNY and 16.3% for KEDLI, in the near term.[255] Staff's analysis accounts for all the factors considered by Moody's analysis including business risk and all four financial metrics. As Staff illustrated, the CFO pre-WC/Debt core metric may be weaker for KEDLI at "Baa," however, KEDLI's rating by Moody's for "Debt to Total Capital ratio" is "A." Moreover, its rating for "Consistency and Predictability of Regulation" and "Regulatory Framework" is "A." KEDLI's rating for "Timeliness of Recovery of and Capital Cost" is "Aa." Taken together with the other financial metrics, the result is in an implied rating of "A3."[256]

The Companies also opposed the inclusion of net Pension and OPEB accruals and uncollectibles in Staff's cash flow analysis. Staff argues that those items reflect the amount reported by the Companies with no adjustments performed by Staff. Moreover, Staff's approach is consistent with the Companies' own practice of including those items in their financial statements, and therefore, it is unreasonable to zero out those items.[257] Moreover, the Companies' position is inconsistent with their own credit metric analysis.[258] Staff demonstrated that, with or without those two items, the CFO pre-WC/Debt core metric for KEDNY is likely to range between 17.29% and 19.69%, as compared to Moody's forecast of 12.2% for the Rate Year. For KEDLI, the core metric is likely to range between 13.87% and 15.64%, which approximates Moody's forecast of 16.3% for the Rate Year.[259]

Finally, the Companies argue that Staff incorrectly used current deferred taxes of $111.376 million for KEDNY and $34.028 million for KEDLI, respectively. The Companies claim that the correct deferred tax amounts are $65.241 million for KEDNY and $45.067 million

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254 Companies IB, p. 169, referencing Ex. 645.

255 Ex. 428, 429.

256 Ex. 433.

257 T. 3329 – 3332.

258 Ex. 424, pp. 18 – 33 (Response to IR DPS-590).

259 Ex. 645; Ex. 428, p. 2; Ex. 429, p. 2.

for KEDLI after appropriate adjustment for excess deferred taxes that are being refunded to customers.[260] The Companies continued, "[t]he income taxes included in the revenue requirement become a source of deferred taxes and a source of funds from operations because the Companies are in a net operating loss position for tax purposes."[261] The Companies' argument is unpersuasive because they failed to provide the calculations nor any explanation of the net operating loss assumption underlying their current deferred income tax adjustments.[262] Neither Staff's testimony nor Companies' filing is premised on a net operating loss position, therefore the Commission should reject the Companies' argument and adopt Staff's methodology.

VIII. REVENUE ALLOCATION AND RATE DESIGN ISSUES

B. Revenue Allocation

Staff recommends using a historical ECOS study to allocate revenues to the service classes.[263] For KEDNY, Staff recommends allocating 20% more revenue change for service classes below the tolerance band and 20% less revenue change for classes above the tolerance band, resulting in a positive revenue requirement.[264] For KEDLI, Staff recommends allocating 20% less revenue change for service classes below the tolerance band and 20% more revenue change for classes above the tolerance band, resulting in a negative revenue requirement.[265] Staff recommends that those classes within the band be allocated the average revenue changes for both Companies.[266]

The Companies assert that Staff's revenue allocation produces inconsistent results for service classes with similar returns.[267] Exhibit 523 shows that Staff treated classes with a similar return (such as Service Class 2-1 – Non-Residential Non-Heat and Service Class 4A –

[260] Companies IB, p. 171.
[261] Companies IB, p. 171, Fn. 138.
[262] Ex. 515.
[263] Staff IB, p. 166.
[264] Staff IB p. 167 – 168.
[265] Staff IB p. 168.
[266] Staff IB p. 168.
[267] Companies IB, p.185.

High Load Factor) the same when allocating the base revenue increase.[268] However, in the Companies' purported analysis of Staff's revenue allocations, the Companies lumped together the allocation of the base revenue increase and the allocation of credits and surcharges, and did not account for credits or surcharges that are allocated differently than the base revenue increase.[269] Instead, certain credits and surcharges, such as the tax credits, located in column O, and the ETIP surcharge, located in Column P, are allocated differently than the base revenue increase, specifically, based on Staff's priced out surcharge revenues.[270] The tax credit and ETIP surcharge are allocated similarly to how the Companies priced out the revenues in Exhibit 405, for KEDNY and KEDLI. The Companies have not provided any reason to allocate surcredit and surcharge revenues in a different manner than they were priced out. The Commission determined that the Tax Credit should be allocated by each Service Class's contribution to annual delivery revenue in its order in Case 17-M-0815.[271] The Companies allocated the ETIP surcharge to each service class based on usage shown in Exhibit 405, for KEDNY and KEDLI.[272]

For the reasons stated above, as well as those provided in Staff's Initial Brief, the Commission should adopt Staff's recommended revenue allocation.

E. Non-Firm Service Sales Customers Cost of Gas

Staff recommends that Tier 1 non-firm demand response customers receive a 30% discount off the otherwise applicable firm total bill and that Tier 2 non-firm demand response customers receive a 40% discount.[273] Additionally, Staff recommends that the discounts reflect the Companies' planned weighted incremental cost of gas (ICOG) to ensure the same delivery discounts to sales and transport customers.[274] The Companies would also need to update the delivery discount at the beginning of each month.[275]

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[268] Ex. 523, p. 1, columns M and N.

[269] Ex. 358, Schedule 1.

[270] Ex. 523, p. 1.

[271] Case 17-M-0815, Proceeding on Motion of the Commission on Changes in Law that May Affect Rates, Order Determining Rate Treatment of Tax Changes (issued August 9, 2018).

[272] Ex. 405, p. 1.

[273] Staff IB, p. 172.

[274] Staff IB, p. 172.

[275] Staff IB, p. 172.

The Companies oppose Staff's recommended discounts, arguing that they could lead to different discounts for sales and transportation customers.[276] The Companies' assertion is incorrect. As explained in Staff's Initial Brief, the distribution discount would be based on the otherwise applicable firm rates and the Companies weighted ICOG, as determined at the beginning of each month.[277] The discount to delivery rates would be the same for both sales and transportation customers because the discount is based on the Companies' sales customers total bills.

To clarify how Staff's discount would be calculated, consider the following simplified example. Assume the total bill for a firm customer would be $100, with $60 as the delivery charges and $40 as the gas cost charges (commodity costs). Staff's proposed non-firm demand response discount would be 30%, for Tier 1, and 40%, for Tier 2, of the $100 total bill, i.e., $30 and $40, respectively. The discount would only be applied to the delivery portion of the bill, thus providing the same discount to both sales and transportation customers.

The Companies propose to include the gas costs incurred and recovered from non-firm demand response sales customers in the annual gas cost reconciliation so these customers would share in the over/under recoveries that currently apply to firm sales customers.[278] Staff recommends that this proposal be rejected since non-firm demand response sales customers should pay the weighted ICOG. Thus, their gas costs should be reconciled separately.[279] If the non-firm demand response customers are included in the annual gas cost reconciliation with firm customers, then non-firm demand response customers would inadvertently be paying for peaking costs that are incurred when they are interrupted.[280] The Companies state that the Order Authorizing Combined Gas Portfolios requires "KEDNY and KEDLI to manage their gas supply portfolio on a combined basis."[281] However, the Companies' reference is irrelevant. That Order does not mention non-firm customers, nor does it specify how the Companies should price gas

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[276] Companies IB, p.190.

[277] Staff IB, p. 172.

[278] Companies IB, p. 191.

[279] Exhibit 644, p. 14 – 15.

[280] Exhibit 644, p. 6.

[281] Case 05-G-0903, Joint Petition of KEDNY and KEDLI Regarding Gas Supply, Order Authorizing Combined Gas Portfolios (issued October 28, 2005); Companies IB, p. 191.

supplied to non-firm sales customers. It only mentions firm sales customers and capacity release to ESCOs serving retail access customers.

The Companies argue that the gas supply for non-firm sales customers down to the interruption temperature is accounted for in their gas supply planning process.[282] Additionally, the Companies assert that non-firm sales customers' cost of gas should be calculated using the WACOG since all sales customers should contribute to the cost of the entire supply portfolio.[283] Although other utilities perform similar actions as the Companies, i.e., purchase gas for non-firm sales customers as part of their supply portfolio, other utilities do not charge non-firm sales customers the same price of gas charged to firm sales customers. This is appropriate because non-firm customers do not have reservation rights, meaning they are not guaranteed gas 100% of the time.[284] Thus, non-firm sales customers should pay for the commodity costs caused by their non-firm supply and only contribute to, but not pay the full, demand charge. Additionally, to Staff's knowledge, all other utilities in New York charge the ICOG to their non-firm sales customers. The Companies' previous use of the ICOG was consistent with all other utilities before this was changed in the 2016 Rate Order. Despite this temporary aberration, use of the ICOG remains the best practice for charging non-firm sales customers for the gas they use at the price it costs to serve them.

The Companies also proposed that customers under the new non-firm demand response service classes would receive a demand charge.[285] The demand charge would reflect the per-unit 100% load factor fixed costs associated with the monthly highest baseload gas pipeline transportation cost.[286] The Companies should not charge non-firm customers demand charges based on a 100% load factor because these customers are not guaranteed firm gas service.[287] Non-firm customers should only contribute to demand costs to the extent that they contribute to demand.[288] A separate demand charge for Tier 1 customers is appropriate since it identifies the cost of continuing to serve these customers to a lower temperature than Tier 2

[282] Companies IB, p. 191.
[283] Companies IB, p.191.
[284] Ex. 644, p. 13.
[285] Companies IB, p. 191.
[286] Companies IB, p. 191.
[287] Ex. 644, p. 13.
[288] Ex. 644, p. 13.

customers. Furthermore, serving Tier 1 customers imposes different costs of necessary peaking and other delivered services.

The Companies argue that Staff's ICOG recommendation should be rejected because it contradicts Staff's goal to incentivize customers to choose non-firm service since the ICOG is almost always higher than the WACOG.[289] However, the Companies did not calculate the ICOG appropriately when they used the highest priced 100% load factor supply.[290] This calculation overstates the ICOG significantly because it does not account for the gate allocations in the Gas Transportation and Operating Procedures (GTOP) manual that ESCOs are required to follow, nor does it account for the amount of gas available through each of these supply sources.[291] The ICOG price must be representative of the gas planned to be used for non-firm demand response customers or actually supplied to them. The ICOG should be a weighted average price of the highest cost of incremental gas supplies that meets the volumes required for this service. Thus, Staff recommends that the Companies charge non-firm sales customers the ICOG weighted on gate allocations from the GTOP, and the incremental price and volumes used by non-firm customers.[292]

Furthermore, the Companies' ICOG appears to almost always be higher than the WACOG because the Companies insist on charging non-firm sales customers a 100% load factor demand charge. This is not just unreasonable, it is unjust for a non-firm customer to pay 100% load factor when they do not have the same rights as a firm customer paying 100% load factor. If the Companies did not charge non-firm sales customers a 100% demand load factor, then the ICOG may not be higher than the WACOG, especially on an annual basis. Demand charges for non-firm customers can resemble a capacity release payment. Thus, the only capacity release payments that are guaranteed 100% load factor are those to firm transportation customers receiving mandatory assignment of pipeline capacity under Commission approved retail access programs.

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289 Companies IB, p. 192.

290 Ex. 641, p. 43.

291 Ex. 642, p. 32-33 (Response to IR DPS-1086, Attachment 3).

292 Staff IB, p. 174.

The Companies also dispute Staff's statement that the use of the WACOG will result in firm sales customers subsidizing non-firm sales customers.[293] The Companies argue that when non-firm customers are interrupted, it does not cause the Companies to purchase gas that is priced at the ICOG, and conclude that using the ICOG instead of the WACOG will charge non-firm customers costs for supply they did not use.[294] The Companies assertion is incorrect because the WACOG includes peaking costs and other gas costs incurred when non-firm customers are interrupted. Non-firm customers should not be paying these costs. This is exacerbated if non-firm customers are included in the same annual gas cost reconciliation as firm customers. In addition, as stated previously, the weighted ICOG would be lower than the WACOG if the Companies included an appropriate demand charge. Furthermore, Staff recommends calculating the non-firm demand response discounts using total bills. This will ensure that even if the ICOG is higher than the WACOG in any specific month, non-firm customers will still receive a discount. If the non-firm sales customers pay the ICOG, then it will minimize the gas costs paid by firm customers before peaking assets are used.

The Companies proposal that non-firm sales customers pay the WACOG conflicts with the Commission's Statement of Policy Regarding Gas Purchasing Practices (1998 Statement of Policy).[295] This states that utilities are to have diversified gas supply portfolios and that "effective reliance on any one gas pricing mechanism or strategy does not appear to reflect the best management of a gas portfolio."[296] Charging non-firm sales customers the same gas costs as firm customers does not meet the heavy burden of proof required by the Commission.[297] The Companies failed to diversify its gas pricing and although the portfolio itself may be diversified, application of the portfolio to specific customer classes is not.[298] This is the just and reasonable approach to differentiate gas costs between different levels of service, especially when it is between firm and non-firm services.

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293 Companies IB, p. 192.

294 Companies IB, p. 192.

295 Case 97-G-0600, Gas cost Volatility and Alternate Gas Purchasing Mechanisms, Statement of Policy Regarding Gas Purchasing Practices (issued April 28, 1998).

296 1998 Statement of Policy, p. 5.

297 1998 Statement of Policy, p. 5.

298 1998 Statement of Policy, p. 5.

For the reasons stated above, and those set forth in Staff's Initial Brief, the Commission should adopt Staff's recommended non-firm demand response customer bill discounts and charge non-firm customers the ICOG.

F. Paperless Billing Credit

Staff did not object to the Companies' methodology for calculating the paperless billing credit. Staff supports and recommends adoption of KEDLI's proposed billing credit but took issue with the lack of billing data that was available for KEDNY. Thus, Staff recommends an update on KEDNY's data, submitted by the Companies through their Brief on Exceptions, so Staff can utilize a full year of data to calculate KEDNY's paperless billing credit with better accuracy.[299]

PULP expressed concern that the paperless billing credit might disadvantage vulnerable customers.[300] PULP argues that the paperless billing credit should not extend through the Rate Year, absent the Companies quantifying and taking action for customers without internet access.[301] PULP's concern is misplaced. First, the paperless billing credit is calculated from the difference in the average costs of issuing a paper bill versus a paperless one, and the savings is credited to the customers. Customers who are able to use paperless billing should be incentivized to do so, particularly since the paperless billing credit merely reflects actual costs, not a subsidy. Thus, customers who use paperless billing should get the associated credit, even if there are customers who cannot go paperless. For these reasons, the Commission should continue the paperless billing credit and deny PULP's proposal for additional conditions.

IX. GAS POLICY AND ENERGY EFFICIENCY

F. Geothermal

The Companies propose to provide shared geothermal ground loops to interested parties who live outside the footprint of the Companies' current and planned gas networks. Staff recommends rejecting the Companies' proposal.[302] In addition to the arguments already

[299] Staff IB, p. 175.
[300] PULP IB, p. 26.
[301] PULP IB, p. 26.
[302] Staff IB, pp. 195 – 196.

addressed in Staff's Initial Brief, the Companies state that the Commission stated that heat pumps "are an important alternative to be considered in natural gas supply constrained areas."[303] The Companies further state that "gas utilities can play a vital role in meeting GSHP implementation targets because of the relationship they currently have with natural gas customers."[304] Staff agrees with both of these statements, however neither provides support for the Companies' proposed geothermal project.

The Companies argument is misleading for two reasons. First, the Companies proposed geothermal project does not target existing natural gas customers,[305] therefore the Companies existing relationship with natural gas customers is irrelevant. Second, the Companies' proposal targets end-users that are beyond the Companies' existing or planned footprints,[306] meaning they are not currently gas customers and are not likely to become gas customers. Therefore the proposed expansion of the Demonstration project will not help address gas supply constraints. As Stated in Staff's Initial Brief, the Companies can pursue geothermal projects within the framework for non-pipeline solutions.[307]

For the reasons stated above, as well as those stated in Staff's Initial Brief, the Commission should reject the Companies' geothermal proposal.

H. Power-to-Gas Project (KEDLI)

In their Initial Brief, the Companies state, "rather than consider the [Power-to-Gas] project on the basis it was proposed – i.e., to evaluate the potential for converting excess renewable electricity to natural gas or hydrogen – Staff considered the merits of the [Power-to-Gas] project as if it were proposed to explore the merits of using the bulk electric system to produce RNG."[308] Any realistic operation of a Power-to-Gas facility in KEDLI's service territory during the Rate Year, or indeed in the near future, will necessarily rely predominantly on bulk electric power, since excess renewable energy is not currently available.[309] Although the

303 Companies IB, p 216.

304 Companies IB, p 216.

305 Ex. 605, p. 2 (Response to IR DPS-1017).

306 Ex. 605, p. 2 (Response to IR DPS-1017); T. 78.

307 Staff IB, p. 197, Fn. 928.

308 Companies IB, p. 218.

309 T. 266 – 267.

Companies claim that they are seeking to test the concept of creating natural gas or hydrogen using excess renewable energy, in reality the Companies will only be testing the ability to use bulk electric power to create hydrogen or natural gas.

For the reasons stated above, as well as those stated in Staff's Initial Brief, the Commission should reject the Companies' Power-to-Gas proposal.

J. Renewable Natural Gas Interconnection Program

While Staff supports the Companies' endeavors to interconnect renewable natural gas (RNG) with their systems, because of the nascent development of these programs, the Companies requests for Rate Year funding and FTEs are not justified. Accordingly, Staff recommends denying the requested incremental FTEs for both Companies, and denying the non-labor O&M costs for KEDNY.[310]

The Companies, however, continue to claim that the RNG interconnection queue has grown, and that this requires additional resources.[311] However, according to the Companies' response to IR DPS-1046, the Companies' RNG interconnection queues do not necessitate additional resources during the Rate Year. Indeed, there is only one project presently in the design phase, which would interconnect with KEDLI's system. The in-service date for this project is during the Rate Year, on November 30, 2020. There are two projects for which a non-disclosure agreement has been signed that would interconnect with KEDNY's system, however neither have firm proposed in-service dates. One is "TBD" and the other merely specifies "Q1/Q2 2021."[312] Thus, the actual RNG interconnection queue demonstrates the reasonableness of Staff's recommendation to provide KEDLI, but not KEDNY, with its requested non-labor O&M funding during the Rate Year, and to refrain from funding the Companies' requested FTEs during the Rate Year. The Companies should continue to use existing staff resources until a consistent trend of increased interconnection requests develops. For the same reasons, EDF's support for the Companies' requested Future of Heat engineering group is premature.[313]

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310 Staff IB, p. 200.

311 Companies IB, p. 220.

312 Ex. 736 (Response to IR DPS-1046).

313 EDF IB, p. 9.

For the reasons stated above, as well as those set forth in Staff's Initial Brief, the Commission should adopt Staff's recommendation regarding RNG interconnection FTEs and expenses.

L. Earnings Adjustment Mechanisms

Staff recommends significant changes to the Companies' proposed earning adjustment mechanisms (EAMs), including that the Commission reject many of the proposed EAMs, such as the Affordability EAM.[314] Staff's Initial Brief amply explains the reasons for these recommendations. At this time, Staff provides an additional response to the Companies' claims regarding the Affordability EAM set forth in their Initial Brief.

In their initial brief, the Companies state that they "accept Staff's position that the targets initially proposed for the Affordability metric should be higher, and therefore the Companies agreed to increase the target from [a] 0.2 percent to 1.0 percent reduction in the low-income customer bill."[315] Additionally, the Companies state that they "believe that the increased performance targets for the Affordability EAM metrics are also responsive to the criticisms of the metrics raised by UIU and PULP."[316] Although the Companies did provide updated targets in their rebuttal testimony to make progress on this issue, even with the five-fold increase in targets, the Companies' proposed EAM still provides shareholders with an unreasonably high share of the supposed customer benefits of the metric, and in some instances would be well over the full value of the benefits.

As the City noted in its initial testimony, the Companies original targets would have resulted in KEDNY earning $1.75 in incentives for every $1.00 in low-income customer savings, and KEDLI earning $7.00 in incentives for every $1.00 in low-income customer savings.[317] Under the Companies' updated proposal which would provide a one basis point incentive for each percent decrease in the average low-income customer bill, the shareholder rewards would still be unreasonable.[318] For example, if low-income customers' bills decreased by 2%, KEDNY would earn approximately $0.35 in financial awards for every dollar of low-

[314] Staff IB, pp. 201 – 208.

[315] Companies IB, p. 224.

[316] Companies IB, p. 224.

[317] T. 5327.

[318] T. 201.

income customer savings achieved ($1.75 divided by 5), or 35% of the identified benefits. The issue is even worse for KEDLI, which would retain $1.40 in financial awards for every dollar of low-income customer savings achieved ($7.00 divided by 5), or 140% of the identified benefits. As stated in Staff's Initial Brief, since the shortfall in revenues would be collected from customers, including the very low income customers that the Affordability EAM is designed to help,[319] the Companies would actually retain an even higher percentage of the true benefits.

For the reasons set forth above, as well as those in Staff's Initial Brief, the Commission should reject the Companies' proposed EAMs and adopt Staff's recommended EAMs.

N. EmPower Replacement Program Incentive Mechanism (KEDLI)

KEDLI runs a unique HEAT program, which provides benefits to customers in its service territory analogous to the EmPower program run by NYSERDA in other utilities' service territories. Both Staff and the Companies agree that KEDLI should continue to have an incentive, provided on a per household served basis, to encourage it to serve customers under Tier 3 and Tier 4 of the HEAT program. However, the Companies seek a much larger incentive than Staff recommends.[320]

In their initial brief, the Companies state that "Staff proposes a Tier 3 incentive of $125/household and a Tier 4 incentive of $62.50/ the household … while KEDLI proposes incentive levels be set at $240 for each household participating in Tier 3 and $120 for each household participating in Tier 4 …. Staff does not explain why Tier 3 incentive levels should be reduced to approximately half of comparable current levels."[321] However, Staff has not reduced the Tier 3 incentive level. In fact, Staff has increased the Tier 3 incentive level.

Specifically, Staff recommends increasing the Tier 3 incentive payment from the existing $122.88 per household served at Tier 3 to $125 per household.[322] In contrast, the Companies, in their rebuttal testimony, proposed to increase the existing $122.88 per household Tier 3 incentive to $240 per household,[323] nearly doubling the existing incentive level, with no

[319] Staff IB, p. 206.

[320] Staff IB, pp. 211 – 212.

[321] Companies IB, p. 227 (internal citations omitted).

[322] T. 605.

[323] T. 206.

justification beyond the desire to continue earning the same level of incentive for households served under both Tier 3 and Tier 4 of the HEAT program.[324] Staff's proposal maintains a similar, but somewhat higher per-household incentive for Tier 3, and lowers the Tier 4 incentive significantly, since Tier 4 activities are related to necessary household improvements to accommodate energy efficiency but do not themselves provide significant energy-related benefits.[325]

Staff's recommended incentive levels maintain the existing incentive for KEDNY to promote HEAT program participation at Tier 3, and also provides an adequate incentive for Tier 4 so that the incentive mechanism properly incentivizes energy-saving activities. For these reasons, as well as those stated in Staff's Initial Brief, the Commission should adopt Staff's recommendations for the HEAT program incentive.

X. GAS SAFETY

A. Pipeline Safety Performance Measures

Staff amply explained why the Commission should adopt Staff's recommended pipeline safety performance measures in its Initial Brief.[326] In addition to the arguments already addressed there, the Companies assert concerns about the impact of COVID-19, and the timing of the imposition of the targets, which would be for calendar year 2020.[327]

First, the Companies argue "that the current COVID-19 situation will require the Companies' to focus their full attention on providing safe and reliable service under extraordinary circumstances, and to prioritize essential work given work restrictions and resource constraints, which will certainly impact the Companies' ability to meet performance targets."[328] At this point, the Companies' assertion is nothing more than conjecture, and does not merit discarding the pipeline safety performance measures in their entirety before the impacts of COVID-19 can even be known. For example, it is unclear how COVID-19 would affect the Companies' ability to respond to emergency calls in a timely fashion. A more rational step to

[324] T. 206.

[325] T. 604.

[326] Staff IB, pp. 213 – 229.

[327] Companies IB, p. 230.

[328] Companies IB, p. 230.

take at this time would be to provide for a *force majeure* exclusion to the pipeline safety performance measures, whereby the Companies could seek relief from any NRAs that may or may not result from the Companies' performance during calendar year 2020. A similar provision in the 2016 Rate Order allows the Companies to demonstrate that their "inability to meet any of the established incentive targets was attributable to *force majeure* circumstances," i.e., causes that are outside the control of the Companies and could not be avoided with the exercise of due care.[329]

The Companies further argue that the earliest the Commission could issue a ruling for these proceedings is midway through the calendar year; or "six to seven months into the performance period."[330] Thus, argue the Companies, they should not be subject to "retroactive performance measures, with tens of millions of dollars at risk."[331] Yet, at the same time the Companies continue to request additional funding during the Rate Year for several proposed improvements to pipeline safety including "additional field inspections; damage prevention enhancements; investments in technology solutions; enhanced training and simplified procedures and practices in the field; and efforts to implement the American Petroleum Institutes' recommended comprehensive risk identification and management framework (Recommended Practice 1173)."[332] Additionally, the Companies state that they remain "committed to continuing this progress through the proposed safety investments and programs reflected in their filings," which included pipeline safety performance measures with associated NRAs.[333] Therefore, the "Commission should support these proposals in the interest of promoting gas safety."[334]

Additionally, the Companies original proposed pipeline safety performance measures and associated NRAs also would have been effective on January 1, 2020, even though the Companies' proposed Rate Year does not start until April 1, 2020.[335] Thus, given the approximately 11-month statutory suspension period, at that time they began these proceedings in late April 2019, the Companies accepted that they would have to meet targets for calendar

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329 2016 Rate Order, Attachment 1, Joint Proposal, pp. 48 – 49, 95.

330 Companies IB, p.235.

331 Companies IB, p. 236.

332 Companies IB, pp. 229 – 230.

333 Companies IB, p. 230; T. 3750 – 3767.

334 Companies IB, p. 230.

335 T. 3751.

year 2020 even though the targets would not be established until late March of 2020. Moreover, while the targets may not be formally set until the Commission issues a rate order in these proceedings, the efforts the Companies must undertake to meet them, whatever the specific thresholds, are known and understood already. For example, the Companies already know that they must respond to emergency calls as quickly as possible. They also know that they must work to minimize damages to their facilities and comply with every provision of the Commission's pipeline safety regulations. None of that will change before August 1, 2020, or December 31, 2020.

For the reasons set forth above, as well as those stated in Staff's Initial Brief, the Commission should adopt Staff's recommended pipeline safety performance measures for calendar year 2020.

XII. LOW INCOME PROGRAM

F. Increasing EAP Participation

PULP recommends expanding the Companies' proposal of 0.5 FTE, to an additional 0.5 FTE, which brings it to a total of 1 full FTE.[336] PULP recommends this additional 0.5 FTE dedicated, specifically, to increasing KEDLI's EAP enrollment.[337] Staff supports PULPs recommendation for a full FTE, but recommends it is split between both companies.[338] While the addition of an FTE may benefit the Companies EAP enrollment, it is not the sole solution.[339] Issues of EAP participation are being addressed in Case 14-M-0565, the ongoing Generic Affordability Proceeding.[340] On March 5, 2020 a stakeholder meeting was held to discuss Phase 2, among other topics, for the Generic Affordability Proceeding.[341]

During Phase 2, Department Staff, as well as, the other stakeholders to the proceeding will engage with the New York Office of Temporary Disability Assistance (NYS OTDA) to explore the matching criteria for the EAP program. The stakeholder engagement

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336 T. 1215, PULP IB, p. 42.

337 PULP IB p. 42; T. 1645.

338 Staff IB, p. 259.

339 Staff IB, p. 259.

340 Case 14-M-0565, Proceeding on Motion of the Commission to Examine Programs to Address Energy Affordability for Low Income Utility Customers.

341 Case 14-M-0565, supra, Notice of Stakeholder Meeting Agenda (issued February 26, 2020).

process as set forth in the Generic Affordability Proceeding is a more appropriate forum to address issues such as any disparity in participation between KEDNY and KEDLI. Further, the stakeholder engagement process can determine whether there are adequate methods for matching participants in the Companies' service territories which may also require engagement with different entities within multiple jurisdictions. The Commission should adopt Staff's FTE recommendations as the EAP enrollment issues will be further and more appropriately addressed by the stakeholders in the ongoing Generic Affordability Proceeding.

XIII. MANAGEMENT AUDIT COMPLIANCE

PULP seeks to bring in information from an ongoing comprehensive management audit of the National Grid utilities (KEDNY, KEDLI, and Niagara Mohawk) into these rate proceedings.[342] PULP's proposal is without basis in the PSL, and reflects a misunderstanding of the interplay between management audits and the role of outside entities in management audits. Accordingly, PULP's proposal should be rejected.

PULP states: "Historically, the scope, procedures and findings of utility management and operations audits have direct implications for the issues addressed in rate cases."[343] With regard to the interplay between management audits and rate proceedings, PSL §66(19)(c) states in full:

> Upon the application of a gas or electric corporation for a major change in rates as defined in subdivision twelve of this section, the commission shall review that corporation's compliance with the directions and recommendations made previously by the commission, as a result of the most recently completed management and operations audit. The commission shall incorporate the findings of such review in its opinion or order, and such findings shall be enforceable by the commission.

Thus, the utilities compliance with the results of prior audits is reviewed in rate proceedings. However, PULP seeks to discuss a currently ongoing audit in these rate proceedings. The PSL does not provide for that. Indeed, it would be, at best, an inefficient outcome, as both the audit and the rate proceedings are currently progressing on their own separate tracks which cannot, and should not, be meshed together. PULP has cited not a single example of where the materials

[342] PULP IB, pp. 44 – 45.

[343] PULP IB, p. 44.

of an ongoing management audit, i.e., one for which a final report has not yet been issued, have been substantively addressed in a rate proceeding.

Further, PULP seems to misunderstand the role interested entities have in audits, when it requests that the "communications and information exchanged in Case 18-M-0195 through April 6, 2020 … be made available to the parties and ALJs in these proceedings." A management audit is an "investigation" which the Commission has "discretion to have such audits performed by its staff, or by independent auditors." The PSL does not provide for interested third parties to participate in the performance of the audit/investigation. Interested third parties may provide comments at any time in an audit, and are invited to do so by the Commission once the Audit's report has been issued. However PULP's desire to intrude into an ongoing audit and investigation is not appropriate.

Moreover, whatever its merits, PULP has used its Initial Brief to make an extensively broad discovery request. PULP could have made such a request at any time earlier in these proceedings, but it chose not to do so. While Staff likely would have objected to such a discovery request, there is a process for addressing discovery requests and objections. That process is not the briefing stage of these rate proceedings.

For the reasons stated above, the Commission should reject PULP's proposal to inject the "communications and information exchanged" in the ongoing management audit into these rate proceedings.

XIV. CONCLUSION

For the reasons stated herein and in Staff's Initial Brief, the Commission should adopt Staff's recommendations and adjustments.

Respectfully submitted,

/s/
Brandon F. Goodrich
Nicholas Forst
Raquel Parks
Staff Counsel

Dated: Albany, New York
April 21, 2020

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Statement of Operating Income
For the Rate Year Ending March 31, 2021
($000's)

Schedule 1

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021	Base Revenue Increase Required	Rate Year Ending March 31, 2021 with Base Revenue Requirement
Operating Revenues	$ 1,163,744	23	$ 22,056	31	$ (12,970)	$ 1,172,830	$ (37,915)	$ 1,134,915
Deductions								
Purchased Gas Costs	$ 323,066	24	$ 8,700	32	$ (376)	$ 331,390		$ 331,390
Revenue Taxes	17,358	25	(68)	33	(5,350)	11,940	(565)	11,375
Total Deductions	$ 340,424		$ 8,632		$ (5,726)	$ 343,330	$ (565)	$ 342,765
Gross Margin	$ 823,320		$ 13,424		$ (7,244)	$ 829,500	$ (37,350)	$ 792,150
Total Operation & Maintenance Expenses	$ 259,173	26	$ 1,206	34	$ 2,430	$ 262,809	$ (240)	$ 262,569
Amortization of Regulatory Deferrals	9,342		-			9,342		9,342
Depreciation, Amort. & Loss on Disposition	96,002	27	773	35	348	97,123		97,123
Taxes Other Than Revenue & Income Taxes	185,860		-	36	1,080	186,940		186,940
Total Operating Revenue Deductions	$ 550,377		$ 1,979		$ 3,858	$ 556,214	$ (240)	$ 555,974
Operating Income Before Income Taxes	$ 272,944		$ 11,445		$ (11,102)	$ 273,287	$ (37,110)	$ 236,177
Income Taxes								
Federal Income Taxes	$ 33,661	28	$ 1,808	37	$ (2,136)	$ 33,333	$ (7,140)	$ 26,193
State Income Taxes	16,718	29	786	38	(931)	16,573	(3,110)	13,463
Total Income Taxes	$ 50,379		$ 2,594			$ 49,906	$ (10,250)	$ 39,656
Operating Income After Income Taxes	$ 222,565		$ 8,851		$ (11,102)	$ 223,381	$ (26,861)	$ 196,521
Rate Base	$ 3,165,897	30	$ 50,641	39	$ 31,721	$ 3,248,259		$ 3,248,259
Rate of Return	7.03%					6.88%		6.05%

	Present Rates	Proposed	Difference
Base Delivery Revenues	$ 1,172,830	$ 1,134,915	**$ (37,915)**
GRT	(11,940)	(11,375)	565
Purchased Gas	(331,390)	(331,390)	-
Add Tax Surcredit	(31,827)	-	31,827
Add Back ETIP	9,478	-	(9,478)
Base Revenue Increase	$ 807,151	$ 792,150	$ (15,001)

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Operation and Maintenance Expense
For the Rate Year Ending March 31, 2021
($000's)

Schedule 2

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Operation & Maintenance Expenses:						
Departmental Items:						
Consultants	$ 7,151					$ 7,151
Contractors	32,961					32,961
Donations	-					-
Employee Expenses	3,016					3,016
Hardware	203					203
Software	3,816					3,816
Other	683					683
Rents	4,501					4,501
Service Company Rents	29,323					29,323
Construction Reimbursement	(69)					(69)
FAS 106	(4,924)					(4,924)
FAS 112	153					153
Health Care	10,398					10,398
Group Life Insurance	662					662
Other Benefits	525					525
Pension	5,302					5,302
Thrift Plan	3,535					3,535
Workers Comp	877					877
Materials Outside Vendor	2,323					2,323
Materials From Inventory	2,175					2,175
Materials Stores Handling	193					193
Postage	3,740					3,740
Total Labor	83,644					83,644
Transportation	4,190					4,190
Energy Efficiency Program	9,649	26a	1,232	34a	(166)	10,715
Injuries & Damages	4,949					4,949
Other Initiatives	32,112	26b	(174)	34b	184	32,122
Productivity Adjustment	(1,977)					(1,977)
Rate Case Expense	241			34c	722	963
Regulatory Assessment Fees	4,393					4,393
Uncollectible Accounts	6,477	26c	148	34d	228	6,853
Site Investigation & Remediation Expenses	4,896					4,896
Joint Facilities	-					-
Savings	(9,677)			34e	140	(9,537)
Legal	727					727
Accounting	1,510					1,510
Economic Development Program	2,750					2,750
Low Income Program	5,544			34f	1,156	6,700
Incentive Program	-					-
Paving	3,201					3,201
Clean Energy Fund	-		-	34g	166	166
Sub Total - Departmental	$ 259,173		$ 1,206		$ 2,430	$ 262,809
TOTAL	**$ 259,173**		**$ 1,206**		**$ 2,430**	**$ 262,809**

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Taxes Other Than Income Taxes
For the Rate Year Ending March 31, 2021
($000's)

Schedule 3

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Real Estate Taxes						
Real Property	$ 179,555		$ -	**36**	$ 1,080	$ 180,635
Special Franchise	-		-		-	-
Total Real Estate Taxes	$ 179,555		$ -		$ 1,080	$ 180,635
Payroll Taxes	$ 5,585					$ 5,585
Other	$ 720					$ 720
Total Taxes Other Than Revenue and Income Taxes	$ 185,860		$ -		$ 1,080	$ 186,940

KEYSPAN GAS EAST CORPORATION d/b/a
NATIONAL GRID PSC Case No. 19-G-0310
Federal and State Income Taxes
For the Rate Year Ending March 31, 2021
($000's)

Schedule 4

Federal Income Tax - Company Adjustments Second Supplemental and Third Supplemental

	Adj. #	Federal Taxable Income	Deferrable Basis	Federal Taxable Income	At the Statutory Federal Tax Rate	DFIT Reversals	Net FIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 284,389		$ 284,389	$ 59,722		
Interest		(68,538)		(68,538)	(14,393)		
Total Pretax Income / (Loss)		**$ 215,850**		**$ 215,850**	**$ 45,329**		**$ 45,329**
New York State Income Taxes		$ (17,504)		$ (17,504)	$ (3,676)		$ (3,676)
Flow-through AFUDC		(2,437)		(2,437)	(512)		(512)
Flow-through Depreciation		286		286	60		60
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		95		95	20		20
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	-		-
Tax Only Item - Federal Rate Change		-		-	-		-
Excess ADIT Amortization		-		-	(331)		(331)
Excess ADIT Amortization - Staff Adjustment	**21**				(5,421)		(5,421)
TOTAL FEDERAL INCOME TAX EXPENSE		**$ 196,290**		**$ 196,290**	**$ 35,469**		**$ 35,469**
Federal Income Tax Rate:	21%						

State Income Tax - Company Adjustments Second Supplemental and Third Supplemental

	Adj. #	State Taxable Income	Deferrable Basis	State Taxable Income	At the Statutory State Tax Rate	DSIT Reversals	Net SIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 284,389		$ 284,389	$ 23,832		
Interest		(68,538)		(68,538)	(5,744)		
Total Pretax Income / (Loss)		**$ 215,850**		**$ 215,850**	**$ 18,088**		**$ 18,088**
New York State Income Taxes		$ -		$ -	$ -		$ -
Flow-through AFUDC		(2,437)		(2,437)	(204)		(204)
Flow-through Depreciation		286		286	24		24
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		90		90	8		8
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	(412)		(412)
Tax Only Item - Federal Rate Change		-		-	-	0	-
Excess ADIT Amortization		-		-	-		
TOTAL FEDERAL INCOME TAX EXPENSE		**$ 213,789**	**$ -**	**$ 213,789**	**$ 17,504**	**$ -**	**$ 17,504**
State Income Tax Rate	8.38%						

KEYSPAN GAS EAST CORPORATION d/b/a
NATIONAL GRID PSC Case No. 19-G-0310
Federal and State Income Taxes
For the Rate Year Ending March 31, 2021
($000's)

Schedule 4

Federal Income Tax - Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments

	Adj. #	Federal Taxable Income	Deferrable Basis	Federal Taxable Income	At the Statutory Federal Tax Rate	DFIT Reversals	Net FIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 273,287		$ 273,287	$ 57,390		
Interest		(68,538)		(68,538)	(14,393)		
Total Pretax Income / (Loss)		**$ 204,748**		**$ 204,748**	**$ 42,997**		**$ 42,997**
New York State Income Taxes		$ (16,573)		$ (16,573)	$ (3,480)		$ (3,480)
Flow-through AFUDC		(2,437)		(2,437)	(512)		(512)
Flow-through Depreciation		286		286	60		60
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		95		95	20		20
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	-		-
Tax Only Item - Federal Rate Change		-		-	-		-
Excess ADIT Amortization		-		-	(331)		(331)
Excess ADIT Amortization - Staff Adjustment	**21**				(5,421)		(5,421)
TOTAL FEDERAL INCOME TAX EXPENSE		**$ 186,119**		**$ 186,119**	**$ 33,333**		**$ 33,333**
Federal Income Tax Rate:	21%						

State Income Tax - Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments

	Adj. #	State Taxable Income	Deferrable Basis	State Taxable Income	At the Statutory State Tax Rate	DSIT Reversals	Net SIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 273,287		$ 273,287	$ 22,901		
Interest		(68,538)		(68,538)	(5,744)		
Total Pretax Income / (Loss)		**$ 204,748**		**$ 204,748**	**$ 17,157**		**$ 17,157**
New York State Income Taxes		$ -		$ -	$ -		$ -
Flow-through AFUDC		(2,437)		(2,437)	(204)		(204)
Flow-through Depreciation		286		286	24		24
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		90		90	8		8
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	(412)		(412)
Tax Only Item - Federal Rate Change		-		-	-	0	-
Excess ADIT Amortization		-		-	-		
TOTAL FEDERAL INCOME TAX EXPENSE		**$ 202,687**	**$ -**	**$ 202,687**	**$ 16,573**	**$ -**	**$ 16,573**
State Income Tax Rate	8.38%						

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Summary of Rate Base
For the Rate Year Ending March 31, 2021
($000's)

Schedule 5

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Net Utility Plant	$ 3,904,058	30a	$ 54,280	39a	$ 30,124	$ 3,988,462
Regulatory Assets / Liabilities	4,889			39b	(843)	4,046
Accumulated Deferred Income Taxes - Federal	(763,451)	30b	(2,930)	39c	1,010	(765,371)
Accumulated Deferred Income Taxes - State	(126,678)	30c	(1,285)	39d	1,155	(126,808)
Working Capital						
Materials and supplies (inc Gas Inventory & deferred Fuel)	$ 54,604		$ -		$ -	$ 54,604
Prepayments	2,216		-		-	2,216
O&M Cash Allowance (1/8 O&M exp)	31,586	30d(1)	132	39e	275	31,993
Supply Cash Allowance (Dec 18 lead/lag study)	24,882		-		-	24,882
City/State Construction Accounts Receivable	0		-		-	-
Change in Supply Cash Allowance (4.77 % x RY PP exp)	(9,789)	30d(2)	444		-	(9,345)
Change in City/State Construction Accounts Receivable	0		-			-
Subtotal Working Capital	$ 103,499		$ 576		$ 275	$ 104,350
Subtotal Avg. Before EBCAP Adj.	$ 3,122,317		$ 50,641		$ 31,721	$ 3,204,679
Excess Earnings Base Adjustment	$ 43,580		$ -		$ -	$ 43,580
Total Rate Base	**$ 3,165,897**		**$ 50,641**		**$ 31,721**	**$ 3,248,259**

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Capital Structure Forecast
For the Rate Year Ending March 31, 2021
($000's)

Schedule 6

Staff's Capital Structure Forecast

	Total Annual Avg	Weighting Percent	Cost	Weighted Cost	Pre-Tax Weighted Cost
Long Term Debt	$ 1,668,513	51.37%	4.06%	2.09%	2.09%
Customer Deposits	20,581	0.63%	2.45%	0.02%	0.02%
Common Equity	1,559,164	48.00%	8.20%	3.94%	5.44%
Total	$ 3,248,259	100.00%		6.05%	7.55%

Per Staff's Corrected Rate Year Capital Structure Forecast

	Total Annual Avg	Weighting Percent	Cost	Weighted Cost	Pre-Tax Weighted Cost
Long Term Debt	$ 1,625,685	51.35%	4.06%	2.08%	2.08%
Customer Deposits	20,581	0.65%	2.45%	0.02%	0.02%
Common Equity	1,519,631	48.00%	8.20%	3.94%	5.44%
Total	$ 3,165,897	100.00%		6.04%	7.54%

Company's Capital Structure Forecast

	Total Annual Avg	Weighting Percent	Cost	Weighted Cost	Pre-Tax Weighted Cost
Long Term Debt	$ 1,679,330	51.37%	4.06%	2.09%	2.09%
Customer Deposits	20,581	0.63%	2.45%	0.02%	0.02%
Common Equity	1,569,149	48.00%	9.65%	4.63%	6.40%
Total	$ 3,269,061	100.00%		6.74%	8.51%

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OTHER REVENUE REQUIREMENT INPUTS

Forecast Rate Year Rates To Apply To Rev Req	
Bad Debt % For Rev Req	**0.63%**
GRT Rate For Rev Req	**1.49%**
Federal Income Tax Rate	**21.00%**
NYS Income Tax Rate	**8.38%**
General Inflation (from 12/31/2018 to 3/31/2021)	**3.96%**

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KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Staff Adjustments for the Rate Year Ending March 31, 2021
($000's)

Schedule 7c
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Adj. 16		Operating and Maintenance Expenses	Witness		
(a)		**Consultants**			
		To adjust Consultants to remove charges from Alix Partners	SRRP	(714)	(714)
(c)		**Other**	SAP		
	1	To adjust other expense to remove the unaccrued amounts relating to PSEG electric bill payments		(1,153)	
	2	To correct adjustment 16b(1) to adjust other expense to remove unaccrued amounts related to PSSEG bill payments		22	(1,131)
(d)		**Service Company Rents**	SITP		
	1	To adjust Service Company Rents to remove certain projects		(37)	
	2	To remove Gas Business Enablement (GBE) CapEx contingencies		(1,526)	
	3	To reduce Service Company Rents to reflect Staff's ROE		(2,805)	
	4	To adjust Service Company Rents to reflect Staff's forecasted Budget		(2,988)	
	5	To correct adjustment 16c (1) to adjust Service Company Rents to remove certain projects		(13)	
	6	To correct adjustment 16c (2) to remove Gas Business Enablement (GBE) CapEx contingencies		87	
	7	To correct adjustment 16c (3) to reduce Service Company Rents to reflect Staff's ROE		1,461	
	8	To correct adjustment 16c (4) to adjust Service Company Rents to reflect Staff's forecasted Budget		2,909	(2,912)
(e)		**Total Labor**			
	1	To reduce Labor expense to reflect a 3% management wage increase	Gadomski	(167)	
	2	To reduce Labor expense to reflect a vacancy rate	SRRP	(3,229)	(3,396)
		Transportation	SRRP		
	1	To reflect Staff's forecast of vehicles to be replaced		(559)	
	2	To correct adjustment 16(e) to reflect the Company's correction per DPS-661		(387)	(946)
(f)		**Other Initiatives**			
	1	To include the CapEx costs of Low-Pressure Main Valve Installations (offset by the amortization of NRAs)	SPSP	50	
	2	To remove 1 FTE from GSP Contractor Safety Inspection	SPSP	(9)	
	3	To reduce management salary increase to 3%	Gadomski	(12)	
	4	Staff adjustment to the Hydrogen Blending Research project	SESP	(24)	
	5	To remove 3 FTEs from GIOP OpEx Support For Capital Program	SGIOP	(33)	
	6	To remove 0.3 FTE from FOH Demand Response	SESP	(40)	
	7	To remove 0.5 FTE from FOH Green Gas Tariff	SGSP	(62)	
	8	To remove 0.6 FTE from GSP Enhanced Methane Detection	SPSP	(65)	
	9	To remove 0.5 FTE from GIOP Research and Development	SGIOP	(70)	
	10	To update labor burdens for Staff's Rate Year forecast	SRRP	(76)	
	11	To remove 0.5 FTE from FOH Geothermal	SESP	(80)	
	12	To remove 1 FTE from FOH Utility Energy Services Contract	SESP	(103)	
	13	To adjust allocation of costs for the Customer Online Fuel Switch Calculator	SESP	(104)	
	14	To remove 1.4 FTEs from GIOP Storm Hardening	SGIOP	(135)	
	15	To remove UESC costs to reflect costs being funded through the ETIP budget	SESP	(138)	
	16	To remove 3 FTEs from GIOP IMP/IVP OpEx	SGIOP	(215)	
	17	To remove EM&V costs to reflect costs being funded through the ETIP budget	SESP	(474)	
	18	To remove Demand Response Program costs, recovered through a non-bypassable delivery surcharge	SESP	(577)	
	19	Staff adjustment to Power to Gas project	SESP	(650)	
	20	To remove Storm Hardening to reflect pushing program out a year	SGIOP	(877)	
	21	Staff adjustment to the Geothermal project	SESP	(877)	
	22	To adjust Gas IS Opex/RTB to apply slippage to Opex/RTB	SITP	(996)	
	23	Staff adjustment to IMP/IVP OpEx - IMP (PHMSA Rules)	SGIOP	(2,134)	
	24	To adjust Gas IS Opex/RTB to remove CIS	SITP	(4,885)	
	26	To correct adjustment 16f (9) remove 0.5 FTE from GIOP Research and Development	SGIOP	70	
	27	To correct adjustment 16f (10) to update labor burdens for Staff's Rate Year forecast	SRRP	(1)	
	28	To correct adjustment 16f (20) for Storm Hardening	SGIOP	289	
	29	To remove 2.2 FTEs from Future of Heat for Renewable Natural Gas and Non-Pipeline Alternative (previously on Sch 7b)	SESP	(177)	(12,405)
(g)		**Productivity Adjustment**	SRRP		
		To adjust productivity to reflect Staff's Labor forecast		43	43
(h)		**Uncollectible Accounts**	SAP		
	1	To adjust Uncollectibles to reflect the latest rolling 3 year average		(319)	
	2	To correct adjustment 17h(1) for Staff's forecast of Uncollectible Accounts		(123)	(442)

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Staff Adjustments for the Rate Year Ending March 31, 2021
($000's)

Schedule 7c
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(i)		**Site Investigation and Remediation**	SSIR		
		To reduce SIR Expense to reflect a projected average of MGP Costs for FY21-FY24		(1,734)	(1,734)
(j)		**Savings**	SRRP		
	1	To adjust savings to include savings associated with initiatives #17533 and #24611		(73)	
	2	To adjust savings, reducing the cost to achieve		(132)	
	3	To adjust savings to reflect the updated Level 4 and Level 5 savings		(762)	
	4	To adjust savings to reflect Level 3 savings in the Rate Year		(3,220)	(4,187)
(k)		**Economic Development**	SESP		
	1	To adjust economic development to reflect Staff's incremental program costs		500	
	2	To correct adjustment 17(k) to reflect costs associated with projected grant program spending		1,750	2,250
		Low Incoem program	SESP		
	1	To reflect the latest known Low Income Program budgets			
		Total Operating and Maintenance Expense Adjustment			**$ (25,574)**
Adj. 17		**Amortization of Regulatory Deferrals**	SRRP		
	1	To amortize the Economic Development program deferral account to offset Staff's incremental program costs		(500)	
	2	To amortize Gas Safety NRAs deferral accounts to offset the costs of specific Gas Safety programs reflected in Other Initiatives		(1,231)	
	3	To amortize the unexpended EEPS and ETIP deferral balances over a 5-year period		(2,050)	
	4	To correct adjustment 17(1) to amortize the Economic Development program deferred account balance to offset program costs		(1,750)	
	5	To correct adjustment17(2) to amortize the correct amount of Gas Safety NRA deferrals to offset the costs of specific gas safety programs		705	**$ (4,826)**
Adj. 18		**Depreciation Expense**			
	1	To adjust Depreciation Expense tracking Staff's forecast of Plant additions	SGIOP	(1,033)	
	2	To adjust Depreciation Expense to reflect Staff's Depreciation Rates	SRP	(10,624)	
	3	To correct adjustment 18(1) tracking Staff's forecast of Plant additions		(124)	
	4	To correct adjustment 18(1) by removing NESE related depreciation expense from Staff's forecast (removing double count)		660	**$ (11,121)**
Adj. 19		**Taxes Other Than Revenue & Income Taxes**			
(a)		**Real Estate Taxes**	SAP		
		To reduce Property Taxes to reflect a 3-Year Average Growth Rate		(2,326)	**$ (2,326)**
(b)		**Payroll Taxes**	SRRP		
		To adjust Payroll Taxes to Reflect Staff's Labor Forecast		(227)	**$ (227)**
		Total Taxes Other Than Revenue & Income Taxes Adjustments			**$ (2,553)**
Adj. 20		**Federal Income Taxes**			
		To reflect an amortization period of 10 years for excess ADIT		(5,421)	
		To adjust current Federal Income Taxes, tracking Staff's adjustments		8,717	**$ 3,296**
Adj. 21		**State Income Taxes**			
		To adjust current State Income Taxes, tracking Staff's adjustments		3,798	**$ 3,798**
		Total Current Income Tax Adjustments			**$ 7,094**

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Staff Adjustments for the Rate Year Ending March 31, 2021
($000's)

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Adj. 22		Rate Base			
(a)		**Utility Plant**	SGIOP		
	1	To reflect Staff's forecast of plant additions		(81,227)	
	2	To correct adjustment 22a(1) to reflect Staff's forecast of plant additions		(8,916)	**$ (90,143)**
(b)		**Accumulated Depreciation**			
	1	To adjust Accumulated Depreciation tracking Staff's adjustments to Utility Plant	SGIOP	(15,768)	
	2	To adjust Accumulated Depreciation tracking Staff's adjustment to Depreciation expense	SRP/SGIOP	5,312	
	3	To correct adjustment 22b(1) tracking Staff's adjustment to Utility Plant		(866)	**$ (11,322)**
		NESE			
		To correct Staff's Net Utility Plant, by removing NESE related Net Plant from Staff's forecast (removing double count)			**$ 61,113**
		Total Net Utility Plant Adjustments			**$ (40,352)**
(c)		**Regulatory Assets/Liabilities**	SRRP		
		To remove the regulatory deferred asset balance related to CSC reimbursable projects from rate base		(3,368)	**$ (3,368)**
(d)		**Accumulated Deferred Income Taxes - Federal**			
	1	Staff Adjustment to ADIT tracking Staffs adjustment to the amortization of other non-plant excess ADIT	SAP	(1,493)	
	2	Staff Adjustment to ADIT tracking Staffs adjustment to the amortization of excess unprotected plant ADIT	SAP	4,203	
	3	To adjust ADFIT tracking Staffs adjustment to Net Utility Plant	SAP/SGIOP	1,917	
	4	To correct adjustment 22d(3) adjusting ADFIT tracking Staff's forecast of plant additions		(348)	
	5	To correct Staff's ADIT, by removing NESE related ADFIT from Staff's forecast (removing double count)		(3,254)	**$ 1,025**
(e)		**Accumulated Deferred Income Taxes - State**	SAP/SGIOP		
	1	To adjust ADSIT tracking Staffs adjustment to Net Utility Plant		764	
	2	To correct adjustment 22e(1) to reflect Staff's adjustment to ADSIT tracking Staff's forecast of Plant Additions		(138)	
	3	To correct Staff's ADIT, by removing NESE related ADSIT from Staff's forecast (removing double count)		(1,428)	**$ (802)**
(f)		**Working Capital**	SRRP		
		To adjust working capital to reflect Staff's O&M adjustments		(3,142)	(3,142)
(g)		**Excess Earnings Base (EB/CAP)**	SRRP		
		To reflect an EB/Cap adjustment tracking Staff's adjustment to Regulatory Assets/Liabilities		2,802	2,802
		Total Rate Base Adjustments			**$ (43,837)**

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Company adjustments Second Supplemental, and Company Third Supplemental for the Rate Year Ending March 31, 2021
($000's)

Schedule 7d

Adj. 23		**Operating Revenues**		
	1	To reflect updated Sales forecast (2nd Supplemental)	22,589	
	2	To reflect updated Sales forecast (3rd Supplemental)	(322)	
	3	To reflect updated Sales forecast (3rd Supplemental /EE Order)	(211)	$ 22,056
Adj. 24		**Purchased Gas Costs**		
	1	To reflect updated Purchased Gas Costs (2nd Supplemental)	8,950	
	2	To reflect updated Purchased Gas Costs (3rd Supplemental /EE Order)	(250)	$ 8,700
Adj. 25		**Revenue Taxes**		
	1	To adjust Taxes associated with Company's latest sales forecast (2nd Supplemental)	256	
	2	To adjust Taxes associated with Company's latest sales forecast (3rd Supplemental)	(321)	
	3	To adjust Taxes associated with Company's latest sales forecast (3rd Supplemental /EE Order)	(3)	$ (68)
Adj. 26		**Operating and Maintenance Expenses**		
(a)		**Energy Efficiency**		
		To reflect the latest known EE budgets (3rd Supplemental)	1,232	$ 1,232
(b)		**Other Initiatives**		
	1	Damage Prevention Mark Out Contract Update (2nd Supplemental)	1,937	
	2	Capex related Opex - CNG sites (2nd Supplemental)	78	
	3	Adjustment for No NESE (2nd Supplemental)	53	
	4	Updated for 2020 EE Order - Empower (3rd Supplemental)	(2,500)	
	5	Updated for 2020 EE Order - Incremental FTE's (3rd Supplemental)	258	$ (174)
(c)		**Uncollectible Accounts**		
	1	Flow through for updated sales forecast (2nd Supplemental)	144	
	2	Flow through for updated sales forecast (3rd Supplemental)	4	$ 148
		Total Operating and Maintenance Expense Adjustment		$ 1,206
Adj. 27		**Depreciation Expense**		
	1	Update for LPP Contractor Unit Costs	(4)	
	2	Update for Damage Prevention Contractor Unit Costs	11	
	3	Updates to include projects to continue new gas supply connections	766	$ 773
Adj. 28		**Federal Income Taxes**		
		To adjust current Federal Income tax flow through	1,808	$ 1,808
Adj. 29		**State Income Taxes**		
		To adjust current State Income tax flow through	786	$ 786
		Total Income Tax Adjustments		**$ 2,594**
Adj. 30				
(a)		**Rate Base**		
		Net Utility Plant		
	1	Update for LPP Contractor Unit Costs	(495)	
	2	Update for Damage Prevention Contractor Unit Costs	1,290	
	3	Updates to include projects to continue new gas supply connections	53,485	$ 54,280
(b)		**Accumulated Deferred Income Taxes - Federal**	(2,930)	$ (2,930)
		To adjust ADFIT flow through related to adjustment to Net Utility Plant		
(c)		**Accumulated Deferred Income Taxes - State**	(1,285)	$ (1,285)
		To adjust ADSIT flow through related to adjustment to Net Utility Plant		
(d)		**Working Capital**		
	1	Change in Supply Cash Allowance associated with updated sales forecast (2nd Supplemental)	457	
	2	Change in Supply Cash Allowance associated with updated sales forecast (3rd Supplemental)	(13)	
	3	To adjust working capital to reflect O&M adjustments	132	$ 576
		Total Rate Base Adjustments		**$ 50,641**

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments for the Rate Year Ending March 31, 2021
($000's)

Schedule 7e

Adj. 31		**Operating Revenues**		
		To reflect Staff's latest Sales Forecast	(13,510)	
		To reflect Staff's latest Sales Forecast(post-hearing)	540	$ (12,970)
Adj. 32		**Purchased Gas Costs**		
		To reflect Staff's latest purchased gas costs	(668)	
		To reflect Staff's latest purchased gas costs (post-hearing)	292	$ (376)
Adj. 33		**Revenue Taxes**		
		To reflect Staff's latest revenue taxes	(5,353)	
		To reflect Staff's latest revenue taxes (post hearing)	3	$ (5,350)
Adj. 34		**Operating and Maintenance Expenses**		
(a)		**Energy Efficiency**		
		To remove clean energy fund from EE	(166)	$ (166)
(b)		**Other Initiatives**		
	1	To correct the Company's Damage Prevention Mark Out Contract Update	168	
	2	To reflect Staff's adjustment removing the Damage Prevention Mark Out Contract Update	(2,236)	
	3	To reflect Staff's adjustment removing the EE Incremental FTEs	(258)	
	4	To reflect Staff's adjustment including the funds associated with the Empower Program	2,500	
	5	To add back 0.3 FTE from FOH Demand Response	39	
	6	To remove 0.5 FTE from FOH Green Gas Tariff	(61)	
	7	To add an additional 0.25 FTE for the Energy Assistance Program (Staff Reply Brief)	32	$ 184
(c)		**Rate Case Expense**		
		To adjust Rate Case Expense to reflect recovery over 1-year (Staff Reply Brief)	722	$ 722
(d)		**Uncollectible Accounts**		
		Flow through for updated sales forecast	228	$ 228
(e)		**Savings**		
		To update for level 3 savings initiatives (January 2020)	140	$ 140
(f)		**Low Income program**		
		To reflect the latest known Low Income Program budgets	1,156	$ 1,156
(g)		**Clean Energy Fund**		
		To reflect the clean energy fund as a separate line item	166	$ 166
		Total Operating and Maintenance Expense Adjustment		**$ 2,430**
Adj. 35		**Depreciation Expense**		
	1	Update for LPP Contractor Unit Costs	4	
	2	Update for Damage Prevention Contractor Unit Costs	(11)	
	3	To adjust depreciation expense tracking Staff's forecast of plant additions	354	
	4	To adjust depreciation expense tracking Staff's latest forecast of plant additions (Staff Reply Brief)	1	$ 348
Adj. 36		**Other Taxes**		
		Property Taxes		
		Staff Concession to reflect property taxes 3-year average growth rate on a fiscal year basis (Staff Reply Brief)	1,080	$ 1,080
Adj. 37		**Federal Income Taxes**		
		To adjust current Federal Income tax flow through	(2,136)	$ (2,136)
Adj. 38		**State Income Taxes**		
		To adjust current State Income tax flow through	(931)	$ (931)
		Total Income Tax Adjustments		**$ (3,067)**
Adj. 39		**Rate Base**		
(a)		**Net Utility Plant**		
	1	To reflect Staff's adjustment removing the Update for LPP Contractor Unit Costs	495	
	2	To reflect Staff's adjustment removing the Update for Damage Prevention Contractor Unit Costs	(1,290)	
	3	To reflect Staff's updated forecast of plant additions	30,849	
	4	To reflect Staff's latest forecast of plant additions (Staff Reply Brief)	70	$ 30,124
(b)		**Regulatory Assets and Liabilities**		
		To remove the unamortized Rate Case expense balances	(843)	$ (843)
(c)		**Accumulated Deferred Income Taxes - Federal**		
		To adjust ADFIT flow through related to Staff's adjustment to Net Utility Plant	1,010	$ 1,010
(d)		**Accumulated Deferred Income Taxes - State**		
		To adjust ADSIT flow through related to Staff's adjustment to Net Utility Plant	1,155	$ 1,155
(e)		**Working Capital**		
		To adjust working capital to reflect O&M adjustments	275	$ 275
		Total Rate Base Adjustments		**$ 31,721**

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Summary of Depreciation and Amortization Expense, and Amortization of Regulatory Deferrals
For the Rate Year Ending March 31, 2021
($000's)

Schedule 8

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Depreciation Expense (acct 403)	$ 96,002	**27**	$ 773	**35**	$ 348	$ 97,123
Amortization Expense (acct 404-405)	-		-		-	-
Accretion Expense (acct 411.10)	-		-		-	-
(Gain) Loss on Disposition of Utility Plant (acct 411.7)	-		-		-	-
Total Depreciation & Amortization Expense	$ 96,002		$ 773		$ 348	$ 97,123

Summary of Amortization of Regulatory Deferrals

Amortization of Regulatory Deferrals						
SIR Deferral (Dec 2016)	14,168		-		-	14,168
Economic Development	(2,250)		-		-	(2,250)
Gas Safety NRAs	(526)		-		-	(526)
EEPS and ETIP	(2,050)		-		-	(2,050)
	$ 9,342		$ -		$ -	$ 9,342

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Tax Deduction for Interest Expense
For the Rate Year Ending March 31, 2021
($000's)

Schedule 9

	Staff Corrected Rate Year Ending March 31, 2021	Company Adjustments Second and Third Supplemental	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Avg Rate Base Per Books	$ 3,122,317	$ 50,641	$ 31,721	$ 3,204,679
Plus: Forecast of Avg Interest Bearing CWIP	-	-	-	-
Less: Rate Base Moved to GAC	-	-	-	-
Less: Excess Earnings Adj (EBCAP)	(43,580)	-	-	(43,580)
	$ 3,165,897	$ 50,641	$ 31,721	$ 3,248,259
Weighted Cost of LTD Debt	2.08%	0.01%	0.00%	2.09%
Weighted Cost of Cust Deposits	0.02%	0.00%	0.00%	0.02%
	2.10%	0.01%	0.00%	2.11%
Total Income Tax Interest Deduction	**$ 66,484**	**$ 2,054**	**$ -**	**$ 68,538**

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Working Capital - Cash Allowance
For the Rate Year Ending March 31, 2021
($000's)

Schedule 10

Description	Staff Corrected Rate Year Ending March 31, 2021	Company Adjustments Second and Third Supplemental	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Total O&M Expense	$ 259,173	$ 1,206	$ 2,430	$ 262,809
Remove Major Non-Cash Items Included in O&M Expense:				
Bad Debt Expense	(6,477)	(148)	(228)	(6,853)
Other (Energy Efficiency, 18-a Assessment)	0	-	-	-
Subtotal	$ (6,477)	$ (148)	$ (228)	$ (6,853)
Add Major Cash Items Not Included in O&M Expense:				
Other	$ -	$ -	$ -	$ -
Subtotal	$ -	$ -	$ -	$ -
Total Adjustments	$ (6,477)	$ (148)	$ (228)	$ (6,853)
Adjusted O&M Expense	$ 252,696	$ 1,058	$ 2,202	$ 255,956
Departmental Cash Allowance - 1/8 (45 days)	$ 31,587	$ 132	$ 275	$ 31,995
Supply Cost Cash Allowance (4.77% x HY Gas exp)	$ -	$ -	$ -	$ -

(note: The Supply Cost Allowance is being presented separately, therefore will be removed from the historic Excess Earnings Base Adjustment)

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Average Historic Rate Base and Capitalization
For the Rate Year Ending March 31, 2021
($000's)

Schedule 11

		TOTAL	Staff Adjustments	TOTAL
(A)	AVERAGE RATE BASE - PER BOOKS	$ 2,456,561	$ -	$ 2,456,561
(B)	ADD: Average Interest-Bearing CWIP	134,448	-	134,448
(C)	TOTAL EARNINGS BASE (A+B)	$ 2,591,009	$ -	$ 2,591,009
	Percent	100.00%		
(D)	AVERAGE CAPITALIZATION (CE excludes merger Goodwill, and may be adj for TCI if required):			
	Long Term Debt	$ 1,200,000		$ 1,200,000
	Notes Payable	0		0
	Gas Supplier Refunds	243		243
	Customer Deposits	14,814		14,814
	Preferred Stock	0		0
	Common Equity (excludes merger GW; incl TCI adj)	1,263,345		1,263,345
	Avg. Allocated to Elec / Gas based on Earnings Base	$ 2,478,402		$ 2,478,402
(E)	Add Dividends Declared But Unpaid (representing the timing difference between declaration and payment)	-	-	-
(F)	SUBTOTAL (D+E)	$ 2,478,402		$ 2,478,402
	LESS Average Investments In:			
	Detailed Balance Sheet Accounts	$ (237,600)	-	$ (237,600)
	Accumulated Def Inc Tax Adjustment	59,333	-	59,333
	Goodwill	n/a		
(G)	Total Deductions	$ (178,267)	$ -	$ (178,267)
(H)	Capitalization Dedicated to Public Service (F-G)	$ 2,656,669		$ 2,656,669
(J)	Excess Earnings Base (Total Earnings Base) less Average Capitalization Devoted to Service Current Customers) (C-H)	$ (65,660)		$ (65,660)

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310 Workpaper
Revenue Requirement
For the Rate Year Ending March 31, 2021
($000's)

	Company RY 3/31/21	Staff RY 3/31/21
Adjusted Rate Base	$ 3,269,061	$ 3,248,259
Rate of Return	6.74%	6.05%
Required Utility Operating Income	220,335	196,520
Utility Operating Income Before Increase	192,410	223,381
Under Operating Income	27,925	(26,861)
Retention Factor	69.4006%	70.8424%
Revenue Requirement	$ 40,238	$ (37,916)

	Company Retention Factor	Staff Retention factor
Revenues	100.000%	100.000%
Less: Revenue Taxes	3.482%	1.490%
Uncollectible Accounts	0.634%	0.634%
Total	95.884%	97.876%
Reciprocal of State Tax Rate	91.620%	91.620%
Net	87.849%	89.674%
Reciprocal of Federal Tax Rate	79.000%	79.000%
Retention Factor	69.401%	70.842%

	Company Rate of Return			**Staff Rate of Return**		
	Ratios	Cost	Weighted Cost	Ratios	Cost	Weighted Cost
Long-Term Debt	51.37%	4.06%	2.09%	51.37%	4.06%	2.09%
Customer Deposits	0.63%	2.45%	0.02%	0.63%	2.45%	0.02%
Common Equity	48.00%	9.65%	4.63%	48.00%	8.20%	3.94%
Totals	100.00%		6.74%	100.00%		6.05%

KEYSPAN GAS EAST CORPORATION d/b/a NATIONAL GRID
PSC Case No. 19-G-0310
Revenue Requirement Workpaper
For the Rate Year Ending March 31, 2021
($000's)

	Retention Factor
Revenues	100.0000%
Less: Revenue Taxes	1.4900%
Uncollectible Accounts	0.6341%
Total	97.8759%
Reciprocal of State Tax Rate	91.6200%
Net	89.6739%
Reciprocal of Federal Tax Rate	79.0000%
Retention Factor	70.8424%

Check

Operating Income Before Rate Increase	223,381
RY Operating Income Needed	196,520
Net Rate Increase Needed	(26,861)
Retention Factor	70.8424%
Base Rate Increase	(37,916)
Uncollectibles on SBC Revenues	0
Total Base Rate Increase	(37,916)
Base Rate Increase on Schedules	(37,915)
Difference	(1)

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Statement of Operating Income
For the Rate Year Ending March 31, 2021
($000's)

Schedule 1

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021	Base Revenue Increase Required	Rate Year Ending March 31, 2021 with Base Revenue Requirement
Operating Revenues	$ 1,760,576	**24**	$ 7,987	**32**	$ 37,750	$ 1,806,313	$ 31,332	$ 1,837,645
Deductions								
Purchased Gas Costs	$ 429,993	**25**	$ 6,997	**33**	$ 31,515	$ 468,505		$ 468,505
Revenue Taxes	62,065	**26**	362	**34**	1,128	63,555	1,102	64,657
Total Deductions	$ 492,058		$ 7,359		$ 32,643	$ 532,060	$ 1,102	$ 533,162
Gross Margin	$ 1,268,518		$ 628		$ 5,107	$ 1,274,253	$ 30,230	$ 1,304,483
Total Operation & Maintenance Expenses	$ 607,661	**27**	$ 7,257	**35**	$ 6,123	$ 621,041	$ 286	$ 621,327
Amortization of Regulatory Deferrals	3,624		-			3,624		3,624
Depreciation, Amort. & Loss on Disposition	145,014	**28**	383	**36**	436	145,833		145,833
Taxes Other Than Revenue & Income Taxes	179,161		-	**37**	4	179,165		179,165
Total Operating Revenue Deductions	$ 935,460		$ 7,640		$ 6,563	$ 949,663	$ 286	$ 949,949
Operating Income Before Income Taxes	$ 333,058		$ (7,012)		$ (1,456)	$ 324,590	$ 29,944	$ 354,534
Income Taxes								
Federal Income Taxes	$ 29,992	**29**	$ (1,649)	**38**	$ (280)	$ 28,063	$ 5,761	$ 33,824
State Income Taxes	18,806	**30**	(717)	**39**	(122)	17,967	2,509	20,476
Total Income Taxes	$ 48,798		$ (2,366)		$ (402)	$ 46,030	$ 8,270	$ 54,300
Operating Income After Income Taxes	$ 284,260		$ (4,646)		$ (1,054)	$ 278,560	$ 21,674	$ 300,234
Rate Base	$ 4,880,293	**31**	$ 33,344	**40**	$ 16,306	$ 4,929,943		$ 4,929,943
Rate of Return	5.82%					5.65%		6.09%

	Present Rates	Proposed	Difference
Base Delivery Revenues	$ 1,806,313	$ 1,837,645	**$ 31,332**
GRT	(63,555)	(64,657)	(1,102)
Purchased Gas	(468,505)	(468,505)	-
Add Tax Surcredit	(44,641)	-	44,641
Add Back ETIP	18,487	-	(18,487)
Base Revenue Increase	$ 1,248,099	$ 1,304,483	$ 56,384

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Operation and Maintenance Expense
For the Rate Year Ending March 31, 2021
($000's)

Schedule 2

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Operation & Maintenance Expenses:						
Departmental Items:						
Consultants	$ 10,893					$ 10,893
Contractors	72,260					72,260
Donations	-					-
Employee Expenses	5,022					5,022
Hardware	256					256
Software	6,114					6,114
Other	20,844					20,844
Rents	8,366					8,366
Service Company Rents	40,018					40,018
Construction Reimbursement	400					400
FAS 106	(2,389)					(2,389)
FAS 112	279					279
Health Care	17,377					17,377
Group Life Insurance	768					768
Other Benefits	526					526
Pension	11,313					11,313
Thrift Plan	7,010					7,010
Workers Comp	1,626					1,626
Materials Outside Vendor	4,274					4,274
Materials From Inventory	14,817					14,817
Materials Stores Handling	1,340					1,340
Postage	8,661					8,661
Total Labor	164,566					164,566
Transportation	7,780					7,780
Energy Efficiency Program	18,879	27a	142	35a	(261)	18,760
Injuries & Damages	7,473					7,473
Other Initiatives	47,964	27b	7,041	35b	(6,986)	48,019
Productivity Adjustment	(3,856)					(3,856)
Rate Case Expense	241			35c	722	963
Regulatory Assessment Fees	7,509					7,509
Uncollectible Accounts	14,354	27c	74	35d	797	15,225
Site Investigation & Remediation Expenses	70,920					70,920
Joint Facilities	-					-
Savings	(21,055)			35e	(1,344)	(22,399)
Legal	1,841					1,841
Accounting	2,589					2,589
Economic Development Program	2,250					2,250
Low Income Program	25,466			35f	12,934	38,400
Incentive Program	500					500
Paving	30,465					30,465
Clean Energy Fund	-		-	35g	261	261
Sub Total - Departmental	$ 607,661		$ 7,257		$ 6,123	$ 621,041
TOTAL	**$ 607,661**		**$ 7,257**		**$ 6,123**	**$ 621,041**

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Taxes Other Than Income Taxes
For the Rate Year Ending March 31, 2021
($000's)

Schedule 3

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Real Estate Taxes						
Real Property	$ 166,820		$ -		$ -	$ 166,820
Special Franchise	-		-	37	4	4
Total Real Estate Taxes	$ 166,820		$ -		$ 4	$ 166,824
Payroll Taxes	$ 11,146					$ 11,146
Other	$ 1,195					$ 1,195
Total Taxes Other Than Revenue and Income Taxes	$ 179,161		$ -		$ 4	$ 179,165

THE BROOKLYN UNION GAS COMPANY d/b/a
NATIONAL GRID PSC Case No. 19-G-0309
Federal and State Income Taxes
For the Rate Year Ending March 31, 2021
($000's)

Schedule 4

Page 1 of 2

Federal Income Tax - Company Adjustments Second Supplemental and Third Supplemental

	Adj. #	Federal Taxable Income	Deferrable Basis	Federal Taxable Income	At the Statutory Federal Tax Rate	DFIT Reversals	Net FIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 326,046		$ 326,046	$ 68,470		
Interest		(105,994)		(105,994)	(22,259)		
Total Pretax Income / (Loss)		**$ 220,052**		**$ 220,052**	**$ 46,211**		**$ 46,211**
New York State Income Taxes		$ (18,089)		$ (18,089)	$ (3,799)		$ (3,799)
Flow-through AFUDC		(142)		(142)	(30)		(30)
Flow-through Depreciation		700		700	147		147
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		95		95	20		20
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	-		-
Tax Only Item - Federal Rate Change		-		-	-		-
Excess ADIT Amortization		-		-	(3,278)		(3,278)
Excess ADIT Amortization - Staff Adjustment					(10,928)		(10,928)
TOTAL FEDERAL INCOME TAX EXPENSE		**$ 202,616**		**$ 202,616**	**$ 28,343**		**$ 28,343**
Federal Income Tax Rate:	21%						

State Income Tax - Company Adjustments Second Supplemental and Third Supplemental

	Adj. #	State Taxable Income	Deferrable Basis	State Taxable Income	At the Statutory State Tax Rate	DSIT Reversals	Net SIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 326,046		$ 326,046	$ 27,323		
Interest		(105,994)		(105,994)	(8,882)		
Total Pretax Income / (Loss)		**$ 220,052**		**$ 220,052**	**$ 18,441**		**$ 18,441**
New York State Income Taxes		$ -		$ -	$ -		$ -
Flow-through AFUDC		(142)		(142)	(12)		(12)
Flow-through Depreciation		700		700	59		59
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		95		95	8		8
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	(407)		(407)
Tax Only Item - Federal Rate Change		-		-	-	0	-
Excess ADIT Amortization		-		-	-		
TOTAL FEDERAL INCOME TAX EXPENSE		**$ 220,705**	**$ -**	**$ 220,705**	**$ 18,089**	**$ -**	**$ 18,089**
State Income Tax Rate	8.38%						

THE BROOKLYN UNION GAS COMPANY d/b/a
NATIONAL GRID PSC Case No. 19-G-0309
Federal and State Income Taxes
For the Rate Year Ending March 31, 2021
($000's)

Schedule 4

Federal Income Tax - Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments

	Adj. #	Federal Taxable Income	Deferrable Basis	Federal Taxable Income	At the Statutory Federal Tax Rate	DFIT Reversals	Net FIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 324,590		$ 324,590	$ 68,164		
Interest		(105,994)		(105,994)	(22,259)		
Total Pretax Income / (Loss)		**$ 218,596**		**$ 218,596**	**$ 45,905**		**$ 45,905**
New York State Income Taxes		$ (17,967)		$ (17,967)	$ (3,773)		$ (3,773)
Flow-through AFUDC		(142)		(142)	(30)		(30)
Flow-through Depreciation		700		700	147		147
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		95		95	20		20
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	-		-
Tax Only Item - Federal Rate Change		-		-	-		-
Excess ADIT Amortization		-		-	(3,278)		(3,278)
Excess ADIT Amortization - Staff Adjustment	**21**				(10,928)		(10,928)
TOTAL FEDERAL INCOME TAX EXPENSE		**$ 201,282**		**$ 201,282**	**$ 28,063**		**$ 28,063**
Federal Income Tax Rate:	21%						

State Income Tax - Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments

	Adj. #	State Taxable Income	Deferrable Basis	State Taxable Income	At the Statutory State Tax Rate	DSIT Reversals	Net SIT Before Rev Req
Net Income Before Federal & State Income Taxes		$ 324,590		$ 324,590	$ 27,201		
Interest		(105,994)		(105,994)	(8,882)		
Total Pretax Income / (Loss)		**$ 218,596**		**$ 218,596**	**$ 18,319**		**$ 18,319**
New York State Income Taxes		$ -		$ -	$ -		$ -
Flow-through AFUDC		(142)		(142)	(12)		(12)
Flow-through Depreciation		700		700	59		59
Flow-through Unamortized Debt		-		-	-		-
Flow-through Bond Redemption		-		-	-		-
Meals and Entertainment		95		95	8		8
Gain On Redemption Bonds		-		-	-		-
Other -2		-		-	-		-
Other - 3		-		-	-		-
Tax Only Item - State Rate Change		-		-	(407)		(407)
Tax Only Item - Federal Rate Change		-		-	-	0	-
Excess ADIT Amortization		-		-	-		
TOTAL FEDERAL INCOME TAX EXPENSE		**$ 219,249**	**$ -**	**$ 219,249**	**$ 17,967**	**$ -**	**$ 17,967**
State Income Tax Rate	8.38%						

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Summary of Rate Base
For the Rate Year Ending March 31, 2021
($000's)

Schedule 5

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Net Utility Plant	$ 5,739,593	31a	$ 36,587	40a	$ 29,165	$ 5,805,345
Regulatory Assets / Liabilities	18,500			40b	(843)	17,657
Accumulated Deferred Income Taxes - Federal	(963,458)	31b	(3,115)	40c	(10,533)	(977,106)
Accumulated Deferred Income Taxes - State	(187,569)	31c	(1,360)	40d	(2,149)	(191,078)
Working Capital						
Materials and supplies (inc Gas Inventory & deferred Fuel)	$ 113,951		$ -		$ -	$ 113,951
Prepayments	107,530		-		-	107,530
O&M Cash Allowance (1/8 O&M exp)	74,163	31d(1)	898	40e	666	75,727
Supply Cash Allowance (Dec 18 lead/lag study)	31,865		-		-	31,865
City/State Construction Accounts Receivable	0		-		-	-
Change in Supply Cash Allowance (4.77 % x RY PP exp)	(11,672)	31d(2)	334		-	(11,338)
Change in City/State Construction Accounts Receivable	0		-		-	-
Subtotal Working Capital	$ 315,837		$ 1,232		$ 666	$ 317,735
Subtotal Avg. Before EBCAP Adj.	$ 4,922,903		$ 33,344		$ 16,306	$ 4,972,553
Excess Earnings Base Adjustment	$ (42,610)		$ -		$ -	$ (42,610)
Total Rate Base	**$ 4,880,293**		**$ 33,344**		**$ 16,306**	**$ 4,929,943**

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Capital Structure Forecast
For the Rate Year Ending March 31, 2021
($000's)

Schedule 6

Staff's Capital Structure Forecast

	Total Annual Avg	Weighting Percent	Cost	Weighted Cost	Pre-Tax Weighted Cost
Long Term Debt	$ 2,542,515	51.57%	4.14%	2.14%	2.14%
Customer Deposits	21,055	0.43%	2.45%	0.01%	0.01%
Common Equity	2,366,373	48.00%	8.20%	3.94%	5.44%
Total	$ 4,929,943	100.00%		6.09%	7.59%

Per Staff's Corrected Rate Year Capital Structure Forecast

	Total Annual Avg	Weighting Percent	Cost	Weighted Cost	Pre-Tax Weighted Cost
Long Term Debt	$ 2,516,697	51.57%	4.14%	2.13%	2.13%
Customer Deposits	21,055	0.43%	2.45%	0.01%	0.01%
Common Equity	2,342,541	48.00%	8.20%	3.94%	5.44%
Total	$ 4,880,293	100.00%		6.08%	7.58%

Company's Capital Structure Forecast

	Total Annual Avg	Weighting Percent	Cost	Weighted Cost	Pre-Tax Weighted Cost
Long Term Debt	$ 2,560,965	51.58%	4.11%	2.12%	2.12%
Customer Deposits	21,055	0.42%	2.45%	0.01%	0.01%
Common Equity	2,383,403	48.00%	9.65%	4.63%	6.40%
Total	$ 4,965,423	100.00%		6.76%	8.53%

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OTHER REVENUE REQUIREMENT INPUTS

Forecast Rate Year Rates To Apply To Rev Req	
Bad Debt % For Rev Req	**0.91%**
GRT Rate For Rev Req	**3.52%**
Federal Income Tax Rate	**21.00%**
NYS Income Tax Rate	**8.38%**
General Inflation (from 12/31/2018 to 3/31/2021)	**3.96%**

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THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Staff Adjustments for the Rate Year Ending March 31, 2021
($000's)

Schedule 7c
Page 1 of 3

			Witness		
Adj. 16		**Operating Revenues**			
		To reflect increased revenues associated with the Newtown Creek project	SPP	3,281	$ 3,281
Adj. 17		**Operating and Maintenance Expenses**			
(a)		**Consultants**	SRRP		
		To adjust Consultants to remove charges from Alix Partners		(1,146)	(1,146)
(b)		**Contractors**			
	1	To adjust Contractors to reflect a 3-year average of snow removal	SRRP	(1,263)	
	2	To adjust Contractors to reflect the proper forecast for Local Law 30		(5,201)	(6,464)
(c)		**Other**	SAP		
		To adjust Other expense to reflect a 25% reduction in costs for Notice Of Violations		(920)	(920)
(d)		**Service Company Rents**	SITP		
	1	To adjust Service Company Rents to remove certain projects		(62)	
	2	To reduce Service Company Rents to reflect Staff's ROE		(3,553)	
	3	To remove Gas Business Enablement CapEx contingencies		(2,136)	
	4	To adjust Service Company Rents to reflect Staff's forecasted budget		(4,572)	
	5	To correct adjustment 16d(1) to adjust Service Company Rents to remove certain projects		(21)	
	6	To correct adjustment 16d(2) to reduce Service Company Rents to reflect Staff's ROE		2,015	
	7	To correct adjustment 16d(3) to remove Gas Business Enablement CapEx contingencies		155	
	8	To correct adjustment 16d(4) to adjust Service Company Rents to reflect Staff's forecasted budget		4,446	(3,728)
(e)		**Total Labor**			
	1	To reduce Labor expense to reflect a 3% management wage increase	Gadomski	(270)	
	2	To reduce Labor expense to reflect a vacancy rate	SRRP	(2,759)	(3,029)
		Transportation	SRRP		
		To reflect Staff's forecast of vehicles to be replaced		(619)	(619)
(f)		**Other Initiatives**			
	1	To include the CapEx costs of Low-Pressure Main Valve Installations (offset by the amortization of NRA deferral)	SPSP	2,460	
	2	To reduce management salary increase to 3%	Gadomski	(16)	
	3	Staff adjustment to the Hydrogen Blending Research project	SESP	(24)	
	4	To remove 2 FTEs from GSP Contractor Safety Inspection	SPSP	(27)	
	5	To remove 0.4 FTE from GSP Enhanced Methane Detection	SPSP	(44)	
	6	To remove 0.6 FTE from GIOP Storm Hardening	SGIOP	(55)	
	7	To remove 0.5 FTE from FOH Green Gas Tariff	SGSP	(64)	
	8	To remove 0.5 FTE from FOH Geothermal	SESP	(82)	
	9	To remove 0.7 FTE from FOH Demand Response	SESP	(86)	
	10	To adjust allocation of costs for the Customer Online Fuel Switch Calculator	SESP	(92)	
	11	To remove 1 FTE from FOH Utility Energy Services Contract	SESP	(105)	
	12	Staff adjustment to Renewable Natural Gas	SESP	(111)	
	13	Staff adjustment to the Geothermal project	SESP	(117)	
	14	To update labor burdens for Staff's Rate Year forecast	SRRP	(123)	
	15	To remove UESC costs to reflect costs being funded through the ETIP budget	SESP	(138)	
	16	To remove 2 FTEs from GIOP IMP/IVP OpEx	SGIOP	(192)	
	17	To remove 9 FTEs from GIOP OpEx Support For Capital Program	SGIOP	(319)	
	18	To remove Storm Hardening to reflect pushing program out a year	SGIOP	(521)	
	19	To remove EM&V costs to reflect costs being funded through the ETIP budget	SESP	(924)	
	20	To remove Demand Response Program costs, recovered through a non-bypassable delivery surcharge	SESP	(1,216)	
	21	To adjust Gas IS Opex/RTB to apply slippage to Opex/RTB	SITP	(1,600)	
	22	Staff adjustment to IMP/IVP OpEx - IMP (PHMSA Rules)	SGIOP	(4,285)	
	23	To adjust Gas IS Opex/RTB to remove CIS	SITP	(10,526)	
	24	To remove 2.4 FTEs from Future of Heat for Renewable Natural Gas and Non-Pipeline Alternative (previously on Sch 7b)	SESP	(233)	
	25	To correct adjustment 16f(18) for Storm Hardening		164	(18,276)

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			Witness		
(g)		**Productivity Adjustment**	SRRP		
		To adjust productivity to reflect Staff's Labor forecast		38	38
(h)		**Uncollectible Accounts**	SAP		
	1	To adjust Uncollectibles to reflect the latest rolling 3 year average		(621)	
	2	To correct adjustment 17h(1) for Staff's forecast of Uncollectible Accounts		(1,180)	(1,801)
(i)		**Site Investigation and Remediation**	SSIR		
		To reduce SIR Expense to reflect a projected average of MGP Costs for FY21-FY24		(15,168)	(15,168)
(j)		**Savings**	SRRP		
	1	To adjust savings to include savings associated with initiatives #17533 and #24611		(119)	
	2	To adjust savings, reducing the cost to achieve		(211)	
	3	To adjust savings to reflect the updated Level 4 and Level 5 savings		(985)	
	4	To adjust savings to reflect Level 3 savings in the Rate Year		(9,475)	(10,790)
(k)		**Economic Development**	SESP		
	1	To adjust economic development to reflect Staff's incremental program costs		500	
	2	To correct adjustment 17(k) to reflect costs associated with projected grant program spending		1,250	1,750
(l)		**Paving**			
		To adjust Contractors to reflect the proper forecast for Local Law 30	SRRP	(1,177)	(1,177)
		Total Operating and Maintenance Expense Adjustment			**$ (61,330)**
Adj. 18		**Amortization of Regulatory Deferrals**	SRRP		
	1	To amortize the Economic Development program deferred account balance to offset Staff's incremental program costs		(500)	
	2	To amortize Gas Safety NRA deferred balance to offset the costs of specific Gas Safety programs reflected in Other Initiatives		(5,852)	
	3	To amortize the unexpended EEPS and ETIP deferred account balances over a 5-year period		(7,295)	
	4	To correct adjustment 18(1) to amortize the Economic Development program deferred account balance to offset program costs		(1,250)	**$ (14,897)**
Adj. 19		**Depreciation Expense**			
	1	To adjust Depreciation Expense tracking Staff's forecast of Plant additions	SGIOP	(761)	
	2	To adjust Depreciation Expense to reflect Staff's depreciation rates	SRP	(16,784)	
	3	To correct adjustment 19(1) tracking Staff's forecast of Plant additions		170	
	4	To correct adjustment 19(1) by removing NESE related depreciation expense from Staff's forecast (removing double count)		382	
	5	To correct adjustment 19(2) to reflect Staff's depreciation rates		3,047	**$ (13,946)**
Adj. 20		**Taxes Other Than Revenue & Income Taxes**			
(a)		**Real Estate Taxes**	SAP		
		To reduce Property Taxes to reflect a 3-Year Average Growth Rate		(1,274)	**$ (1,274)**
(b)		**Payroll Taxes**	SRRP		
		To adjust Payroll Taxes to Reflect Staff's Labor Forecast		(205)	**$ (205)**
(c)		**Other Taxes**	SAP		
	1	To adjust Other Taxes to remove out of period non-recurring amounts		(184)	
	2	To correct adjustment 20c to adjustment Other Taxes to remove out of period non-recurring amounts		24	**$ (160)**
		Total Taxes Other Than Revenue & Income Taxes Adjustments			**$ (1,639)**

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			Witness		
Adj. 21		**Federal Income Taxes**			
		To reflect an amortization period of 10 years for excess ADIT		(10,928)	
		To adjust current Federal Income Taxes, tracking Staff's adjustments		18,427	**$ 7,499**
Adj. 22		**State Income Taxes**			
		To adjust current State Income Taxes, tracking Staff's adjustments		8,026	**$ 8,026**
		Total Current Income Tax Adjustments			**$ 15,525**
Adj. 23		**Rate Base**			
(a)		**Utility Plant**	SGIOP		
	1	To reflect Staff's forecast of plant additions		(48,573)	
	2	To correct adjustment 23a(1) to reflect Staff's forecast of plant additions		(1,331)	**$ (49,904)**
(b)		**Accumulated Depreciation**			
	1	To adjust Accumulated Depreciation tracking Staff's adjustments to Utility Plant	SGIOP	(12,772)	
	2	To adjust Accumulated Depreciation tracking Staff's adjustment to Depreciation expense	SRP/SGIOP	8,392	
	3	To correct adjustment 23b(1) tracking Staff's adjustment to Utility Plant		(487)	
	4	To correct adjustment 23b(2) tracking Staff's adjustment to Depreciation expense		(1,523)	**$ (6,390)**
		NESE			
(c)		To correct Staff's Net Utility Plant, by removing NESE related Net Plant from Staff's forecast (removing double count)			**$ 29,754**
		Total Net Utility Plant Adjustments			**$ (26,540)**
(c)		**Regulatory Assets/Liabilities**	SRRP		
		To remove the regulatory deferred asset balance related to CSC reimbursable projects from rate base		(22,316)	**$ (22,316)**
(d)		**Accumulated Deferred Income Taxes - Federal**			
	1	Staff Adjustment to ADIT tracking Staffs adjustment to the amortization of other non-plant excess ADIT	SAP	(929)	
	2	Staff Adjustment to ADIT tracking Staffs adjustment to the amortization of excess unprotected plant ADIT	SAP	6,392	
	3	Staff Adjustment to ADFIT Tracking Staff's forecast of Plant Additions	SAP/SGIOP	4,722	
	4	To correct adjustment 23d(3) adjusting ADFIT tracking Staff's forecast of plant additions		(595)	
	5	To correct Staff's ADIT, by removing NESE related ADFIT from Staff's forecast (removing double count)		(2,443)	**$ 7,147**
(e)		**Accumulated Deferred Income Taxes - State**	SAP/SGIOP		
	1	Staff Adjustment to ADSIT Tracking Staff's forecast of Plant Additions		1,884	
	2	To correct adjustment 23e(1) to reflect Staff's adjustment to ADSIT tracking Staff's forecast of Plant Additions		(252)	
	3	To correct Staff's ADIT, by removing NESE related ADSIT from Staff's forecast (removing double count)		(1,068)	**$ 564**
(f)		**Working Capital**	SRRP		
	1	Staff adjustment to remove the HTY CSC Accounts Receivable Balance from Working Capital		(58,744)	
	2	Staff adjustment to reduce working capital removing the projected change in CSC accounts receivable balance in RY		(28,273)	
	3	To adjust working capital to reflect Staff's O&M adjustments		(7,441)	(94,458)
(g)		**Excess Earnings Base (EB/CAP)**	SRRP		
	1	Staff adjustment to include the Historic Test Year City/State Accounts Receivable balance in EB/CAP rather than in working capital		58,744	
	2	To reflect an EB/Cap adjustment tracking Staff's adjustment to Regulatory Assets/Liabilities		22,083	80,827
		Total Rate Base Adjustments			**$ (54,776)**

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
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Company adjustments Second Supplemental, and Company Third Supplemental for the Rate Year Ending March 31, 2021
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Schedule 7d

Adj. 24		**Operating Revenues**		
	1	To reflect updated Sales forecast (2nd Supplemental)	31,403	
	2	To reflect updated Sales forecast (3rd Supplemental)	(22,112)	
	3	To reflect updated Sales forecast (3rd Supplemental /EE Order)	(1,304)	$ 7,987
Adj. 25		**Purchased Gas Costs**		
	1	To reflect updated Purchased Gas Costs (2nd Supplemental)	28,936	
	2	To reflect updated Purchased Gas Costs (3rd Supplemental)	(21,413)	
	3	To reflect updated Purchased Gas Costs (3rd Supplemental /EE Order)	(526)	$ 6,997
Adj. 26		**Revenue Taxes**		
	1	To adjust Taxes associated with Company's latest sales forecast (2nd Supplemental)	946	
	2	To adjust Taxes associated with Company's latest sales forecast (3rd Supplemental)	(547)	
	3	To adjust Taxes associated with Company's latest sales forecast (3rd Supplemental /EE Order)	(37)	$ 362
Adj. 27		**Operating and Maintenance Expenses**		
(a)		**Energy Efficiency**		
	1	Flow through for updated sales forecast	72	
	2	To reflect the latest known EE budgets (3rd Supplemental)	70	$ 142
(b)		**Other Initiatives**		
	1	Damage Prevention Mark Out Contract Update	6,829	
	2	Adjustment for No NESE	9	
	3	Updated for 2020 EE Order - Incremental FTE's (3rd Supplemental)	203	$ 7,041
(c)		**Uncollectible Accounts**		
	1	Flow through for updated sales forecast (2nd Supplemental)	287	
	2	Flow through for updated sales forecast (3rd Supplemental)	(202)	
	3	Flow through for updated sales forecast (3rd Supplemental/ EE Order)	(11)	$ 74
		Total Operating and Maintenance Expense Adjustment		$ 7,183
Adj. 28		**Depreciation Expense**		
		Updates to include projects to continue new gas supply connections	383	$ 383
Adj. 29		**Federal Income Taxes**		
		To adjust current Federal Income tax flow through	(1,649)	$ (1,649)
Adj. 30		**State Income Taxes**		
		To adjust current State Income tax flow through	(717)	$ (717)
		Total Income Tax Adjustments		**$ (2,366)**
Adj. 31				
(a)		**Rate Base**		
		Net Utility Plant		
		Updates to include projects to continue new gas supply connections	36,587	$ 36,587
(b)		**Accumulated Deferred Income Taxes - Federal**		
		To adjust ADFIT flow through related to adjustment to Net Utility Plant	(3,115)	$ (3,115)
(c)		**Accumulated Deferred Income Taxes - State**		
		To adjust ADSIT flow through related to adjustment to Net Utility Plant	(1,360)	$ (1,360)
(d)		**Working Capital**		
	1	Change in Supply Cash Allowance associated with updated sales forecast (2nd Supplemental)	1,381	
	2	Change in Supply Cash Allowance associated with updated sales forecast (3rd Supplemental)	(1,022)	
	3	Change in Supply Cash Allowance associated with updated sales forecast (3rd Supplemental/ EE Order)	(25)	
	4	To adjust working capital to reflect O&M adjustments	898	$ 1,232
		Total Rate Base Adjustments		**$ 33,344**

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments for the Rate Year Ending March 31, 2021
($000's)

Schedule 7e

Adj. 32	**Operating Revenues**			
	To reflect Staff's latest Sales Forecast		37,722	
	To reflect Staff's latest sales forecast (post-hearing)		28	$ 37,750
Adj. 33	**Purchased Gas Costs**			
	To reflect Staff's latest purchased gas costs		31,504	
	To reflect Staff's latest purchased gas costs (post-hearing)		11	$ 31,515
Adj. 34	**Revenue Taxes**			
	To reflect Staff's latest revenue taxes		1,127	
	To reflect Staff's latest revenue taxes (post-hearing)		1	$ 1,128
Adj. 35	**Operating and Maintenance Expenses**			
(a)	**Energy Efficiency**			
	To remove clean energy fund from EE		(261)	$ (261)
	Other Initiatives			
(b)	1 To correct the Company's Damage Prevention Mark Out Contract Update		(1,888)	
	2 To reflect Staff's adjustment removing the Damage Prevention Mark Out Contract Update		(4,950)	
	3 To reflect Staff's adjustment removing the EE Incremental FTEs		(203)	
	4 To add back 0.7 FTE from FOH Demand Response		85	
	5 To remove 0.5 FTE from FOH Green Gas Tariff		(63)	
	6 To add an additional 0.25 FTE for the Energy Assistance Program(Staff Reply Brief)		33	$ (6,986)
(c)	**Rate Case Expense**			
	To adjust Rate Case Expense to reflect recovery over 1-year (Staff Reply Brief)		722	$ 722
(d)	**Uncollectible Accounts**			
	Flow through for updated sales forecast		797	$ 797
(e)	**Savings**			
	To update for level 3 savings initiatives (January 2020)		(1,344)	$ (1,344)
(f)	**Low Income program**			
	To reflect the latest known Low Income Program budgets		12,934	$ 12,934
(g)	**Clean Energy Fund**			
	To reflect the clean energy fund as a separate line item		261	$ 261
	Total Operating and Maintenance Expense Adjustment			**$ 6,123**
Adj. 36	**Depreciation Expense**			
	To adjust depreciation expense tracking Staff's forecast of plant additions		436	$ 436
Adj. 37	**Other Taxes**			
	Property Taxes			
	To reflect property taxes 3-year average growth rate on a fiscal year basis (Staff Reply Brief)		4	$ 4
Adj. 38	**Federal Income Taxes**			
	To adjust current Federal Income tax flow through		(280)	$ (280)
Adj. 39	**State Income Taxes**			
	To adjust current State Income tax flow through		(122)	$ (122)
	Total Income Tax Adjustments			**$ (402)**
Adj. 40	**Rate Base**			
(a)	**Net Utility Plant**			
	1 To reflect Staff's updated forecast of plant additions		29,058	
	2 To reflect Staff's latest forecast of plant additions (Staf Reply Brief)		107	$ 29,165
(b)	**Regulatory Assets and Liabilities**			
	To remove the unamortized Rate Case expense balances		(843)	$ (843)
(c)	**Accumulated Deferred Income Taxes - Federal**			
	To adjust ADFIT flow through related to Staff's adjustment to Net Utility Plant		(10,533)	$ (10,533)
(d)	**Accumulated Deferred Income Taxes - State**			
	To adjust ADSIT flow through related to Staff's adjustment to Net Utility Plant		(2,149)	$ (2,149)
(e)	**Working Capital**			
	To adjust working capital to reflect O&M adjustments		666	$ 666
	Total Rate Base Adjustments			**$ 16,306**

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Summary of Depreciation and Amortization Expense, and Amortization of Regulatory Deferrals
For the Rate Year Ending March 31, 2021
($000's)

Schedule 8

	Staff Corrected Rate Year Ending March 31, 2021	Adj. #	Company Adjustments Second and Third Supplemental	Adj. #	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Depreciation Expense (acct 403)	$ 145,014	**28**	$ 383	**36**	$ 436	$ 145,833
Amortization Expense (acct 404-405)	-		-		-	-
Accretion Expense (acct 411.10)	-		-		-	-
(Gain) Loss on Disposition of Utility Plant (acct 411.7)	-		-		-	-
Total Depreciation & Amortization Expense	$ 145,014		$ 383		$ 436	$ 145,833

Summary of Amortization of Regulatory Deferrals

Amortization of Regulatory Deferrals						
SIR Deferral (Dec 2016)	18,521		-		-	18,521
Economic Development	(1,750)		-		-	(1,750)
Gas Safety NRAs	(5,852)		-		-	(5,852)
EEPS and ETIP	(7,295)		-		-	(7,295)
	$ 3,624		$ -		$ -	$ 3,624

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Summary of Depreciation and Amortization Expense, and Amortization of Regulatory Deferrals
For the Rate Year Ending March 31, 2021
($000's) **Schedule 9**

	Staff Corrected Rate Year Ending March 31, 2021	Company Adjustments Second and Third Supplemental	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Avg Rate Base Per Books	$ 4,922,903	$ 33,344	$ 16,306	$ 4,972,553
Plus: Forecast of Avg Interest Bearing CWIP	-	-	-	-
Less: Rate Base Moved to GAC	-	-	-	-
Less: Excess Earnings Adj (EBCAP)	42,610	-	-	42,610
	$ 4,880,293	$ 33,344	$ 16,306	$ 4,929,943
Weighted Cost of LTD Debt	2.13%	0.01%	0.00%	2.14%
Weighted Cost of Cust Deposits	0.01%	0.00%	0.00%	0.01%
	2.14%	0.01%	0.00%	2.15%
Total Income Tax Interest Deduction	**$ 104,438**	**$ 1,556**	**$ -**	**$ 105,994**

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Working Capital - Cash Allowance
For the Rate Year Ending March 31, 2021
($000's)

Schedule 10

Description	Staff Corrected Rate Year Ending March 31, 2021	Company Adjustments Second and Third Supplemental	Staff adjustments to Company 2nd and 3rd Supplemental, Staff Updates, & Staff Post-Hearing Adjustments	Per Staff Rate Year Ending March 31, 2021
Total O&M Expense	$ 607,661	$ 7,257	$ 6,123	$ 621,041
Remove Major Non-Cash Items Included in O&M Expense:				
Bad Debt Expense	(14,354)	(74)	(797)	(15,225)
Other (Energy Efficiency, 18-a Assessment)	-	-	-	-
Subtotal	$ (14,354)	$ (74)	$ (797)	$ (15,225)
Add Major Cash Items Not Included in O&M Expense:				
Other	$ -	$ -	$ -	$ -
Subtotal	$ -	$ -	$ -	$ -
Total Adjustments	$ (14,354)	$ (74)	$ (797)	$ (15,225)
Adjusted O&M Expense	$ 593,307	$ 7,183	$ 5,326	$ 605,816
Departmental Cash Allowance - 1/8 (45 days)	$ 74,163	$ 898	$ 666	$ 75,727
Supply Cost Cash Allowance (4.77% x HY Gas exp)	$ -	$ -	$ -	$ -

(note: The Supply Cost Allowance is being presented separately, therefore will be removed from the historic Excess Earnings Base Adjustment)

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Average Historic Rate Base and Capitalization
For the Rate Year Ending March 31, 2021
($000's)

Schedule 11

		TOTAL	Staff Adjustments	TOTAL
(A)	AVERAGE RATE BASE - PER BOOKS	$ 3,550,394	$ -	$ 3,550,394
(B)	ADD: Average Interest-Bearing CWIP	462,738	-	462,738
(C)	TOTAL EARNINGS BASE (A+B)	$ 4,013,132	$ -	$ 4,013,132
	Percent	100.00%		
(D)	AVERAGE CAPITALIZATION (CE excludes merger Goodwill, and may be adj for TCI if required):			
	Long Term Debt	$ 1,562,500		$ 1,562,500
	Notes Payable	0		0
	Gas Supplier Refunds	422		422
	Customer Deposits	23,553		23,553
	Preferred Stock	0		0
	Common Equity (excludes merger GW; incl TCI adj)	1,976,780		1,976,780
	Avg. Allocated to Elec / Gas based on Earnings Base	$ 3,563,255		$ 3,563,255
(E)	Add Dividends Declared But Unpaid (representing the timing difference between declaration and payment)	-	-	-
(F)	SUBTOTAL (D+E)	$ 3,563,255		$ 3,563,255
	LESS Average Investments In:			
	Detailed Balance Sheet Accounts	$ (396,123)	-	$ (396,123)
	Accumulated Def Inc Tax Adjustment	(20,926)	-	(20,926)
	Goodwill	n/a		
(G)	Total Deductions	$ (417,049)	$ -	$ (417,049)
(H)	Capitalization Dedicated to Public Service (F-G)	$ 3,980,304		$ 3,980,304
(J)	Excess Earnings Base (Total Earnings Base) less Average Capitalization Devoted to Service Current Customers) (C-H)	$ 32,828		$ 32,828

THE BROOKLYN UNION GAS COMPANY d/b
PSC Case No. 19-G-0309 Workpaper
Revenue Requirement
For the Rate Year Ending March 31, 2021
($000's)

	Company RY 3/31/21	Staff RY 3/31/21
Adjusted Rate Base	$ 4,965,423	$ 4,929,943
Rate of Return	6.76%	6.09%
Required Utility Operating Income	335,663	300,234
Utility Operating Income Before Increase	214,078	278,560
Under Operating Income	121,584	21,674
Retention Factor	69.1978%	69.1718%
Revenue Requirement	$ 175,705	$ 31,333

	Company Retention Factor	Staff Retention factor
Revenues	100.000%	100.000%
Less: Revenue Taxes	3.482%	3.518%
Uncollectible Accounts	0.914%	0.914%
Total	95.604%	95.568%
Reciprocal of State Tax Rate	91.620%	91.620%
Net	87.592%	87.559%
Reciprocal of Federal Tax Rate	79.000%	79.000%
Retention Factor	69.198%	69.172%

	Company Rate of Return			**Staff Rate of Return**		
	Ratios	Cost	Weighted Cost	Ratios	Cost	Weighted Cost
Long-Term Debt	51.58%	4.11%	2.12%	51.57%	4.14%	2.14%
Customer Deposits	0.42%	2.45%	0.01%	0.43%	2.45%	0.01%
Common Equity	48.00%	9.65%	4.63%	48.00%	8.20%	3.94%
Totals	100.00%		6.76%	100.00%		6.09%

THE BROOKLYN UNION GAS COMPANY d/b/a NATIONAL GRID
PSC Case No. 19-G-0309
Revenue Requirement Workpaper
For the Rate Year Ending March 31, 2021
($000's)

	Retention Factor
Revenues	100.0000%
Less: Revenue Taxes	3.5180%
Uncollectible Accounts	0.9142%
Total	95.5678%
Reciprocal of State Tax Rate	91.6200%
Net	87.5592%
Reciprocal of Federal Tax Rate	79.0000%
Retention Factor	69.1718%

Check

Operating Income Before Rate Increase	278,560
RY Operating Income Needed	300,234
Net Rate Increase Needed	21,674
Retention Factor	69.1718%
Base Rate Increase	31,333
Uncollectibles on SBC Revenues	0
Total Base Rate Increase	31,333
Base Rate Increase on Schedules	31,332
Difference	1